Skills

Advanced Reporting and Performance



Study Guide

2026

Contents

How to use ARP Study Guide **3**
Module 1 – Presentation and Disclosure **4**
Lesson 1: Accounting Principles and the Conceptual Framework 5
Lesson 2: Presentation of Financial Statements, including Interim Reporting 5
Lesson 3: IAS 8 Basis of Preparation of Financial Statements 8
Lesson 4: IAS 10 Events after the Reporting Period 8
Lesson 5: Discontinued Operations 9
Lesson 6: IAS 33 Earnings per Share 11
Lesson 7: IAS 24 Related Party Disclosures 16
Lesson 8: Directors' Remuneration 21
Module 2 – Assets **24**
Lesson 1: Inventories 25
Lesson 2: Property, Plant and Equipment 28
Lesson 3: Investment Property 31
Lesson 4: Intangible Assets 34
Lesson 6: Impairment of assets 36
Lesson 7: Impairment of cash-generating units 37
Lesson 8: Non-current assets held for sale 40
Module 3 – Liabilities **41**
Lesson 1: Lease contracts 42
Lesson 2: Lease term and the recognition exemption 43
Lesson 3: Lessee accounting model – initial recognition 44
Lesson 4: Lessee accounting model – subsequent measurement 45
Lesson 5: Sale and leaseback 45
Lesson 6: Presentation and disclosure of leases 47
Lesson 7: Provisions and contingencies 49
Lesson 8: Measuring and recognising provisions 50
Lesson 9: Application of IAS 37 and interaction with other IFRS Accounting Standards 51
Lesson 10: Presentation and disclosure of provisions 52
Lesson 11: Current tax 53
Lesson 12: An introduction to deferred tax 53
Lesson 13: Tax base and temporary differences 55
Lesson 14: Measuring and recognising deferred tax 57
Lesson 15: Common deferred tax scenarios 58
Lesson 16: Presentation and disclosure of deferred tax 59
Module 4 – Income & Expenses **61**
Lesson 1: Accounting Principles and the Conceptual Framework 62
Lesson 2: IFRS 15 Performance obligations and transaction price 62
Lesson 3: IFRS 15 – Allocation of transaction price and revenue recognition 64
Lesson 4: Revenue recognition scenarios 65
Lesson 5: IFRS 15 – Contract costs, presentation and disclosure of revenue 68
Lesson 6: Foreign currency and exchange differences 70
Lesson 7: Employee benefits 72
Lesson 8: Share-based payments 75
Lesson 9: Equity-settled share-based payments 76
Lesson 10: Cash-settled share-based payments 78
Lesson 11: Disclosure of share-based payments and deferred tax 78
Module 5 – Financial Instruments **81**
Lesson 1: Presentation of financial instruments 82
Lesson 2: Convertible debt and compound financial instruments 83
Lesson 3: Equity shares and distributable profits 84
Lesson 4: Financial Assets – Recognition and classification 87

Lesson 5: Financial Assets - Measurement 89
Lesson 6: Financial assets - Impairment 89
Lesson 7: Financial Assets - Derecognition 91
Lesson 8: Financial liabilities 92
Lesson 9: Financial Instruments - Disclosures 93
Module 6 – Consolidation 96
Lesson 1: Introduction to groups 97
Lesson 2: Acquisition accounting 101
Lesson 3: Changes in ownership 104
Lesson 4: Associates and the equity method 108
Lesson 5: Associates – further issues 110
Lesson 6: Joint arrangements 112
Lesson 7: Foreign subsidiaries 117
Module 7 – Statement of Cash Flows 124
Lesson 1: Statement of cash flows for an individual company 125
Lesson 2: Consolidated statement of cash flows 126
Module 8 – Non-financial Reporting: Sustainability Disclosures 132
Lesson 1: Non-financial reporting concepts and principles 133
Lesson 2: Targeted stakeholders and method of engagement 137
Lesson 3: Materiality approach and expectation 140
Lesson 4: Climate-related disclosures 141
Lesson 5: Governance – Approach and requirements 146
Lesson 6: Strategy – approach and requirements 147
Lesson 7: Risk, Impact and Opportunity Management – Approach and Requirements 149
Lesson 8: Metrics and targets – approach and requirements 150
Module 9 – The Relationship between financial and non-financial reporting 153
Lesson 1: Strategic report 154
Lesson 2: Integrated reporting 157
Lesson 3: The relationship between Financial and Non-Financial Reporting 160

How to use ARP Study Guide

Welcome to Part 1 of the Advanced Reporting and Performance Study Guide!

As you will have discovered working through the Advanced Reporting and Performance Course, the course materials in the majority of topic areas, build on the technical content introduced to you in Reporting and Performance 2.

This ARP study guide has been designed to be used alongside the existing RP2 study guides.

The study guides should be used as an aid to your studying of ARP, whilst working through the course and as a revision resource. They are not a substitute for working through the Advantage course.

The Advantage course does not include a search function. This guide follows the same structure as the Advantage course. One way of finding content on Advantage, is to search for a term in the Study guide and then refer to the corresponding section on Advantage for further details.

Using Permitted Materials

For **ARP** assessment you are allowed the following permitted materials: IFRS Accounting Standards and Extract from Companies Act 2006. You are allowed to highlight, tab, sideline and underline these materials, but you are NOT allowed to write on the materials. You should ensure that you practice using these materials throughout the ARP course. IFRS A book includes the accounting standards and in Advantage the RP2 course will provide references to the specific paragraphs in standards. IFRS B Book includes Illustrative Examples (IE) and Illustrative Guidance (IG) in relation to the accounting standards.

It is not expected that you will need to heavily rely on the permitted materials in the ARP assessment and doing so might create additional time pressure. It's important to go into the assessment understanding what is in the permitted materials and when it be useful.

Module 1 – Presentation and Disclosure

Introduction

Welcome to the study guide for Module 1 of the Advanced Reporting and Performance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

SLO1 Advise on the requirements for financial reporting and performance in accordance with relevant standards.

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

1.1 Construct, with appropriate workings, the financial statements for an individual company.
1.3 Advise on the effect of transactions and adjustments on the financial statements of an individual company and of a group.

This will be achieved by working towards the following performance indicators:

1.1.1 Construct the primary financial statements of an individual company in accordance with IFRS Accounting Standards
1.1.2 Advise on the calculation of basic and diluted earnings per share in accordance with IAS 33 *Earnings per Share* and construct any necessary disclosures
1.1.3 Evaluate the adequacy of disclosure notes accordance with IFRS Accounting Standards for Events after the Reporting Period
1.1.4 Advise on the identification of related parties in accordance with IAS 24 *Related Party Disclosures* and construct any necessary disclosures.
1.1.5 Advise on the disclosures required for directors' remuneration and construct any necessary disclosures
1.1.6 Advise on distributable profits and calculate the amount of distributable profits in non-complex situations.
1.1.7 Advise on the main requirements for interim reports
1.1.8 Advise on the accounting treatment for discontinued operations in accordance with IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations.*
1.3.1 Advise on the effect of the following transactions and adjustments on the financial statements of an individual company:
Events after the reporting period.
1.3.5 Consider the different types of events after the reporting period and advise of the impact on the financial statements.

You will be ‘assessment ready’ for questions in Module 1 when you can confidently complete each set of the learning outcomes above.

Lesson 1: Accounting Principles and the Conceptual Framework

What are the main requirements of the Conceptual Framework for Financial Reporting? What are the main requirements of IFRS 13 Fair Value Measurement?

You learnt all about the Conceptual Framework for Financial Reporting and IFRS 13 Fair Value Measurement at Reporting and Performance 2 and should utilise the RP2 Study guide for this content.

Lesson 2: Presentation of Financial Statements, including Interim Reporting

How would you construct a statement of financial position, a statement of profit or loss and other comprehensive income as well as a statement of changes in equity in accordance with IFRS 18 Presentation and Disclosure in Financial Statements

In Reporting and Performance 2, you learnt about the list of financial statements required by IFRS 18.

A complete set of financial statements comprises:

- A statement of financial position (SOFP) as at the end of the period, covered by IFRS 18 *Presentation and Disclosure in Financial Statements*
- A statement of profit or loss and other comprehensive income (SPLOCI) for the period, covered by IFRS 18 *Presentation and Disclosure in Financial Statements*
- A statement of changes in equity (SOCIE) for the period, covered by IFRS 18 *Presentation and Disclosure in Financial Statements*
- A statement of cash flows (SOCF) for the period, covered by IAS 7 *Statement of Cash Flows*
- Notes, comprising significant accounting policies and other explanatory information
- Comparative information in respect of the preceding period

At RP2 you were introduced to the concept of disaggregation and the objective of IFRS 18 to help ensure that the financial statements provide relevant information that faithfully represents an entity's assets, liabilities, equity, income and expenditure.

Principles of aggregation and disaggregation (IFRS 18.41)

IFRS 18 requires entities to apply the principles of **aggregation and disaggregation** when presenting information in the financial statements. The objective is to ensure that information provided is **relevant** and **faithfully represents** the entity's assets, liabilities, equity, income and expenses. [41, 43]

Aggregation is appropriate when items share similar characteristics and presenting them together does not obscure material information. Disaggregation is required when combining items would reduce the usefulness of the information for users of the financial statements. In such cases, items should be presented separately, either on the face of the financial statements or in the notes.

The application of aggregation and disaggregation requires the use of **professional judgement**, taking into account the nature, size and function of the items and their relevance to users.

In an assessment context, you may be required to **explain** whether items should be aggregated or disaggregated and to **justify their treatment by reference to materiality and IFRS 18 principles.**

Statement of profit or loss

Identification of the entity's main business activities (IFRS 18.49-50)

When classifying income and expenses in the statement of profit or loss, IFRS 18 requires an entity to consider its main business activities. [49–50]

The classification of income and expenses into operating, investing and financing categories depends on how the entity generates value and finances its operations. As a result, the same type of income or expense may be classified differently by different entities, depending on their main business activities.

For example, interest income may form part of operating activities for a financial institution but would normally be classified within the investing category for a manufacturing entity. Correct identification of the entity's main business activities is therefore essential to ensure that income and expenses are presented in the appropriate category.

Categories in the statement of profit or loss

As you learnt at RP2, in the statement of profit or loss an entity will separate income and expenses into one of five categories:

a) The operating category
b) The investing category
c) The financing category
d) The income taxes category
e) The discontinued operations category [47]

Disclosure of expenses

When expenses in the operating category are presented by function, IFRS 18 requires an entity to provide additional information about the nature of expenses in the notes. [83]

You are already familiar with the layout for SPLCOI and SOFP as per IFRS 18, however at ARP you will note additional line item for Discontinued Operations, as requirement of IFRS 5 ***Non-current Assets Held for Sale and Discontinued Operation.*** We will come back to Discontinued operations later in this study guide.

Other comprehensive income (OCI)

Remember, items that are classified as OCI are transferred to components of equity in the same way that profit or loss is transferred to retained earnings in equity. The main purpose of reclassification (where applicable) is to ensure that items affecting the entity's financial performance are ultimately recognised in the profit or loss in the period in which they are realised. This approach avoids the double counting of gains and losses when they are recognised in OCI and subsequently realised.

IFRS 18 requires the items of OCI to be presented separately from profit or loss and to be classified based on whether:

- They will be subsequently **reclassified** ('recycled') to profit or loss if certain conditions are met.
  - For instance, gains and losses on foreign currency translation adjustments may be reclassified to profit or loss on the sale or liquidation of a foreign operation, or gains and losses on certain classifications of financial assets are reclassified to profit or loss when the asset is disposed of (covered in Module 5).
- They **will not be reclassified** ('recycled') subsequently to profit or loss.
  - For instance, gains or losses on property revaluation (this will be explored in Module 2).

The statement of changes in equity (SOCIE)

The **SOCIE** is essentially a table of the movements during the year for each item in equity showing:

- Total comprehensive income for the period, separately the total amounts attributable to owners of the parent and to non-controlling interests
- For each component of equity, the effects of retrospective application or retrospective restatement recognised in accordance with IAS 8 *Basis of Preparation of Financial Statements*
- For each component of equity, a reconciliation between the carrying amount at the beginning and the end of the period, separately (as a minimum) disclosing changes resulting from:
  - Profit or loss
  - OCI
  - Transactions with owners in their capacity as owners

An entity shall present, either in the statement of changes in equity or in the notes, the amount of dividends recognised as distributions to owners during the period and the related amount of dividends per share.

[Refer to your IFRS Standards, B Book, IFRS 18 IG for examples]

Assessment focus: IFRS 18 presentation of financial statements

In assessments, you are expected to demonstrate a clear understanding of IFRS 18 terminology and presentation requirements.

You should use **IFRS 18 terminology** accurately in explanations and journal entries, including references to categories, subtotals, aggregation and disaggregation.

Assessment scenarios will always specify the entity's main business activity. You are expected to:

- Discuss how this affects the classification of income and expenses, and
- Identify the correct category in which items should be presented.

You will be expected to include the required IFRS 18 subtotals in the statement of profit or loss. Any new line items introduced must be presented within the correct category.

Income and expenses should be disaggregated when material. If items are not material, they should be included within existing line items in the appropriate category rather than presented separately.

What are the main requirements for interim reports?

The Listing Rules applicable to the London Stock Exchange mandate specific requirements for interim reports.

Although IAS 34 does not mandate which entities should prepare interim reports, in practice, only listed companies are required to prepare these statements in the UK.

Efficient markets require regular and relevant information. Publicly traded entities are encouraged to: [IAS 34, 1]

- Provide interim reports at least at the end of the first half of the financial year.
- Make interim reports available no later than **60 days** after the end of the interim period.
- The Listing Rules require publication within 3 months of the end of the reporting period.

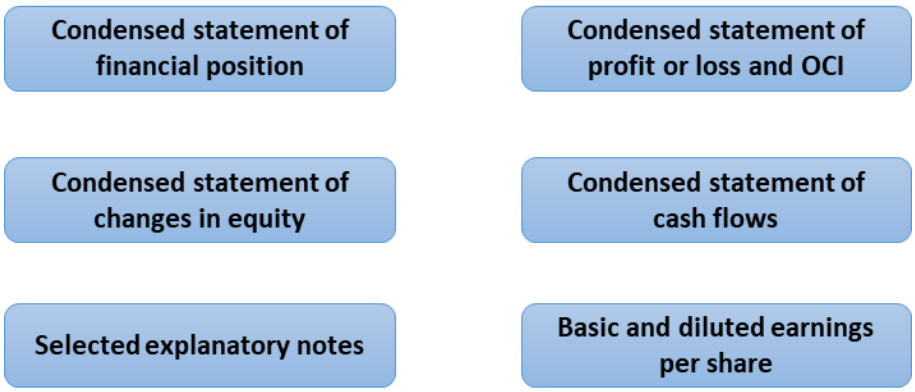
Basis for preparation

The interim period should be treated as a separate accounting period and not just half of the full year.

- This means that financial figures, such as revenue, are reported based on actual figures for the 6-month period, not estimated from annual projections. The same principle applies to expenses.
- However, for items that are typically calculated on an annual basis, such as taxation or volume-based supplier discounts, these should be included in the interim report proportionally, based on anticipated annual totals.
- Throughout this process, the company's standard accounting policies should be consistently applied.

Content:

At a minimum, the interim report should contain:



Comparative figures should also be given.

Lesson 3: IAS 8 Basis of Preparation of Financial Statements

What are the criteria applied in the selection and change of accounting policies?

You should consult the RP2 Module 1 Study Guide for selection and change of accounting policies.

Lesson 4: IAS 10 Events after the Reporting Period

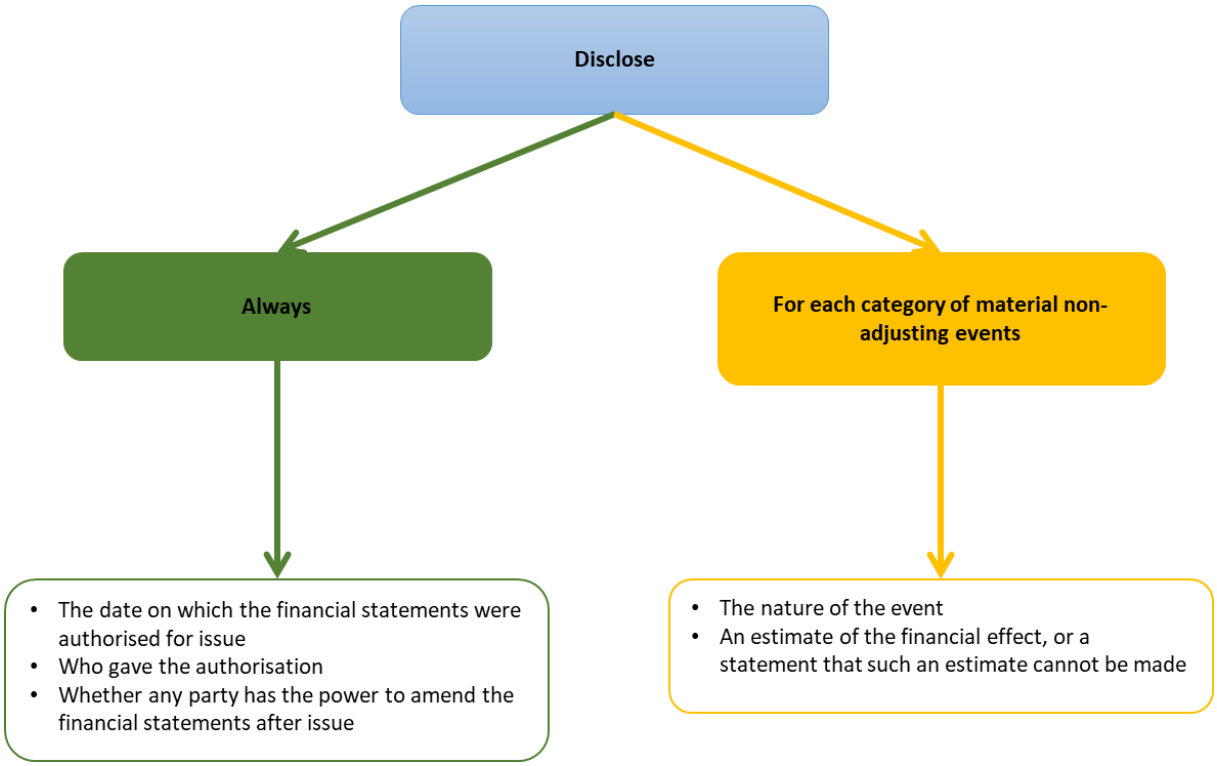
What are the different types of events after the reporting period?

You should refer to RP2 Module 1 Study guide for Events After the Reporting Period.

Tutor tip:
The Advanced Reporting and Performance assessment might require you to analyse a scenario and ascertain whether events occurred after the end of the reporting period. You will not always be told in the scenario or requirement that an event is after the end of the reporting period and instead must pay attention to dates. If an event is after the end of the reporting period, you'll need to determine how it should be accounted for or disclosed.

How would you disclose events that took place after the reporting period in the financial statements?

The following should be disclosed:



Lesson 5: Discontinued Operations

How do we define a discontinued operation?

The Conceptual Framework for Financial Reporting states relevance as a fundamental quality of financial statements. This means the information should have predictive and/or confirmatory value and the users of the financial statements should be able to predict, as far as possible, the future performance of the entity. It is, therefore, important that they can distinguish between the results of those operations which will continue into the future and those which have been discontinued.

Companies could seek to classify loss-making operations as discontinued in order to improve the presentation of profit from continuing operations, so there are strict criteria that must be met before an operation can be classified as discontinued.

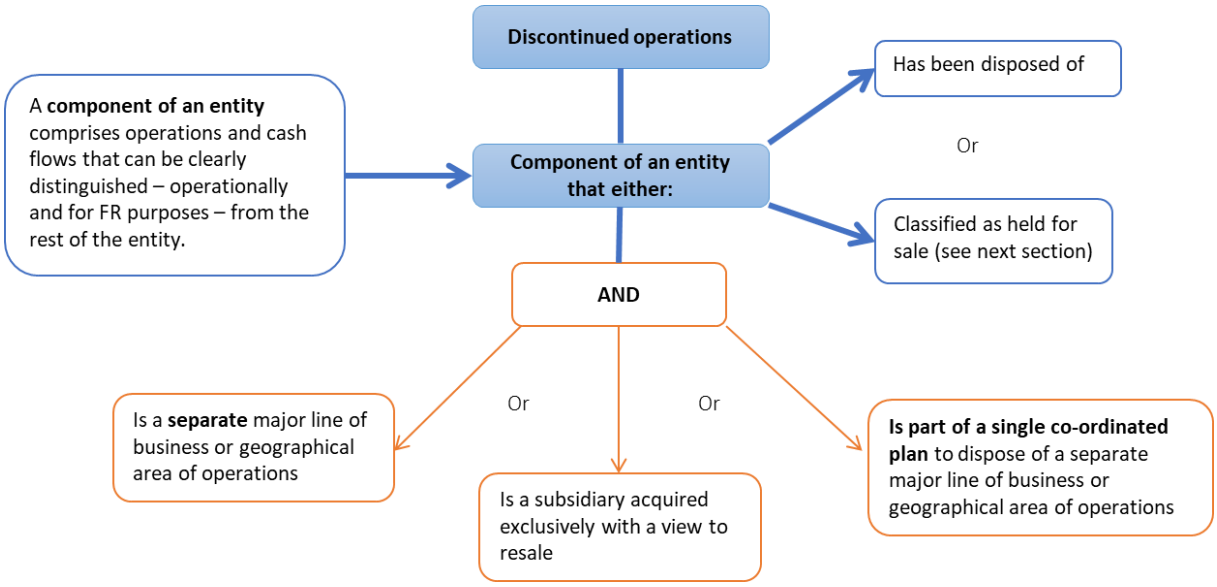
Criteria

You have already been made aware of continuing and discontinued operations in the IFRS 18 illustrations of the statement of profit and loss and other comprehensive income. IFRS 5 deals with discontinued operations. [31-32]

A **discontinued operation** is a component of an entity that has either been disposed of, or is classified as held for sale and:

a) Represents a separate major line of business or geographical area of operations (eg. A multinational organisation decides to close their operations in Canada).
b) Is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operation (e.g. a plan is put in place to sell the distribution segment of a manufacturing business); or
c) Is a subsidiary acquired exclusively with a view to resale (e.g. a parent acquires a group of subsidiaries and wants to close one to simplify the business structure).

A component of an entity is defined in IFRS 5 as comprising operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity. In other words, a component of an entity will have been a cash generating unit (CGU) or a group of CGUs while being used by the organisation.



Discontinued operations can include assets to be **abandoned,** but only if these meet the criteria. The results and cash flows of the asset are treated as discontinued in the year the operations cease but not before, even though closure may be announced well in advance.

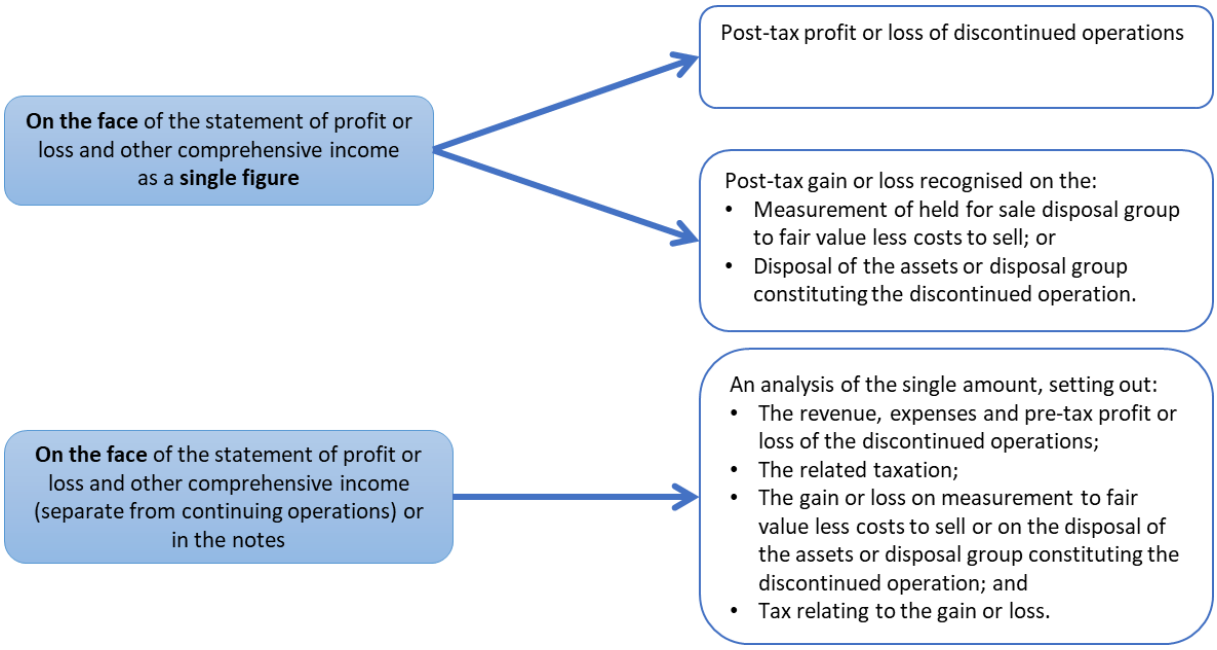
The abandoned category includes assets to be used to the end of their economic life and those that are to be closed rather than sold. An asset temporarily taken out of use cannot be treated as abandoned.

[Held for sale assets also covered by IFRS 5 were covered in RP2 Module 2 and covered further in in Module 2 of ARP].

Tutor tip:
In the Advanced Reporting and Performance assessment, you must consider whether an asset or line of business that has been sold, abandoned or classified as held for sale meets the criteria to be presented as a discontinued operation and prepare the statement of profit or loss accordingly. IFRS 18 requires discontinued operations to be presented as a single line item in the statement of profit or loss.

How do we present and disclose a discontinued operation?

The presentation and disclosure requirements for discontinued operations are as follows:



The net cash flows relating to discontinued operations also must be disclosed.

Comparative figures should be restated so that operations that are classified as discontinued in the current year are also classified as discontinued in the comparative figures.

Similarly, if an operation that was previously classified as discontinued will no longer be discontinued (e.g. because a buyer has not been found), the comparatives should be re-presented.

[Refer to IFRS B Book, IAS 18 IG illustrating financial statements with discontinued operations included.]

Lesson 6: IAS 33 Earnings per Share

How do we calculate earnings per share?

Earnings per share (EPS) fundamentally represents the annual profit divided by the total number of issued shares. It is prominently disclosed on the statement of profit or loss and other comprehensive income and demonstrates the year's profit attributable to equity shareholders, expressed as pence per share.

Basic EPS:

$$\frac{Profit\ or\ loss\ attributable\ to\ ordinary\ shareholders\ ('earnings')}{Weighted\ average\ number\ of\ ordinary\ shares\ ('shares')}$$

'Earnings' are after deducting

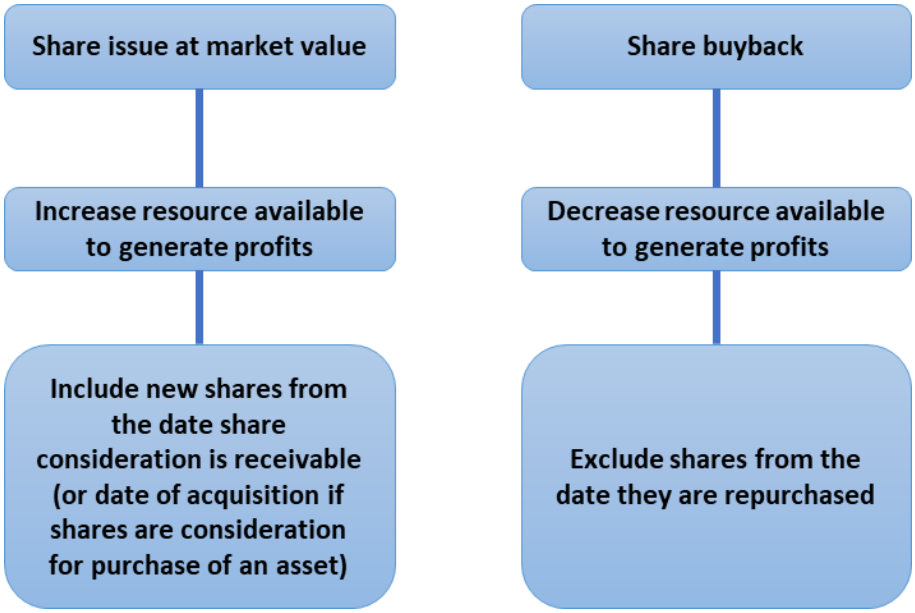
- Tax
- Non-controlling interests
- Preference share dividends (where shares are classified as equity)

'Shares' are calculated considering:

- Issues/Buybacks at market value
- Issue of bonus shares
- Rights issues

The primary objective of IAS 33 is to ensure a uniform approach in calculating both 'earnings' and 'shares'. Consequently, the computation of 'shares' is time weighted. This method accounts for any fluctuations in the number of ordinary shares, which in turn affects the entity's resource capacity and its potential to generate 'earnings'.

When calculating the number of shares you should do the following:



Issue of bonus shares

In the case of a bonus share issue (also known as a 'capitalisation' issue), shareholders receive additional shares at no cost. Since these shares do not correspond to an inflow of new resources for generating 'earnings', time weighting is not applicable. Accordingly, bonus shares are considered as if they had been issued at the beginning of the earliest period that is being reported.

Current period	**Treat the bonus issue as having taken place at the start of the period**
Previous period	**Restate the previous period's EPS as if the bonus shares had been in issue throughout that period**

Rights issue and adjustment factor

In a rights issue, shares are offered to current shareholders at a price lower than the prevailing market value.

Consequently, the issuing company receives consideration, though not equal to the full market value.

Being a 'hybrid' between a full market issue and a bonus share issue, the calculations required for a rights issue are designed to mirror this unique characteristic.

Current period	• **Time weight the 'shares' calculation; and** • **Multiply shares outstanding before the issue by 'bonus' adjustment factor.**
Previous period	• **Restate the previous period's EPS to reflect the adjustment factor.**

Adjustment factor

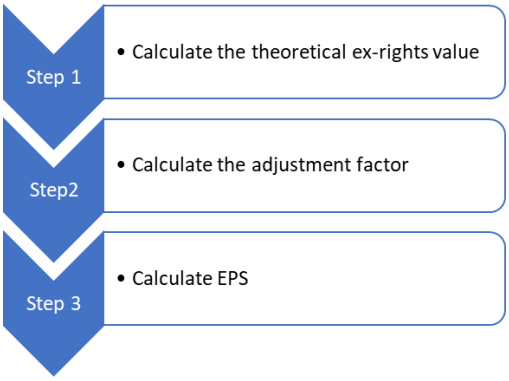
The bonus adjustment factor is calculated as:

$$\frac{Fair\ value\ per\ share\ immediately\ before\ exercise\ of\ rights}{Theoretical\ ex-rights\ fair\ value\ per\ share}$$

The theoretical **ex-rights** value is the expected share price after the rights issue.

$$\frac{Aggregate\ fair\ value\ of\ shares\ immediately\ before\ exercise\ of\ rights + proceeds\ received\ from\ exercise\ of\ rights}{Number\ of\ shares\ outstanding\ after\ exercise\ of\ rights}$$

To deal with a rights issue, you should use the following approach:

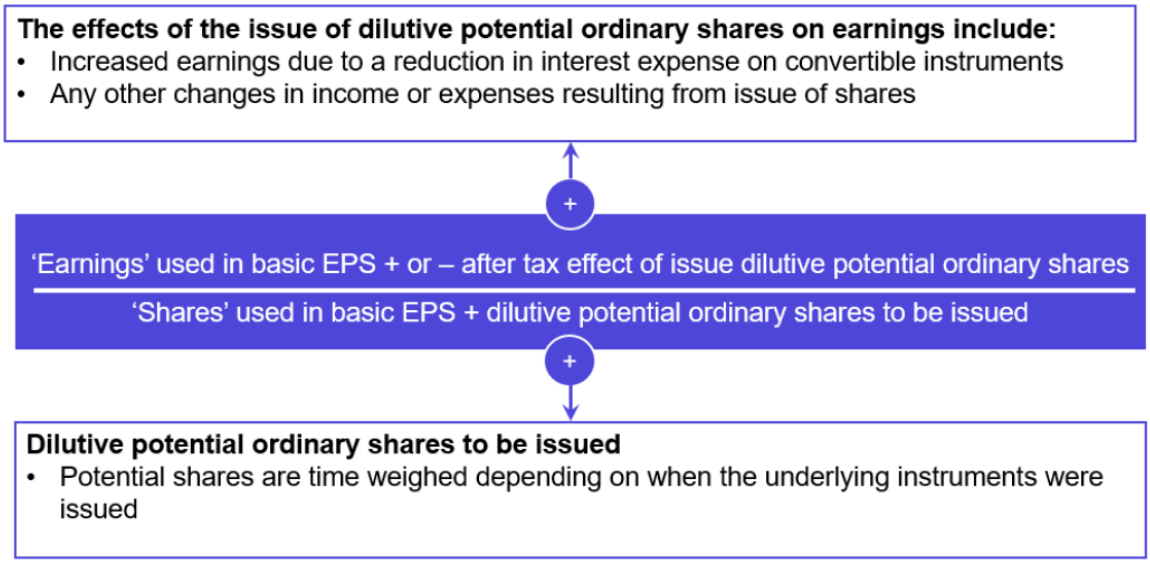


Diluted earnings per share

Certain financial instruments may lead to the issuance of ordinary shares at a future date, commonly referred to as potential ordinary shares. These include instruments such as: [5]

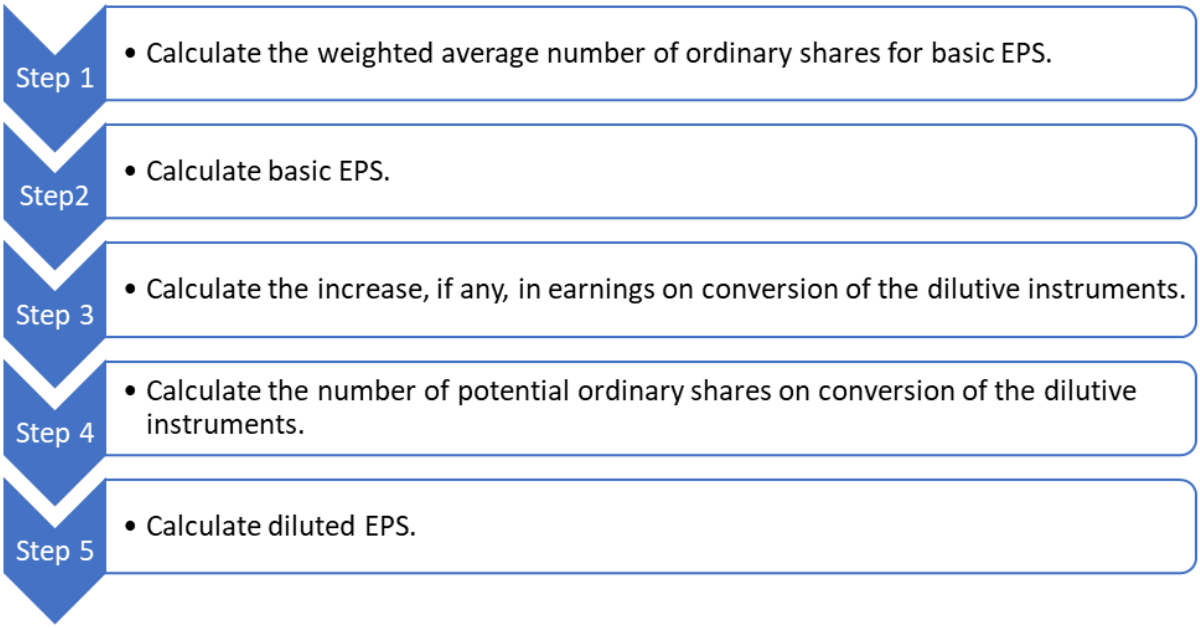
- Convertible debt or preference shares
- Share options or warrants

Diluted EPS is calculated as:



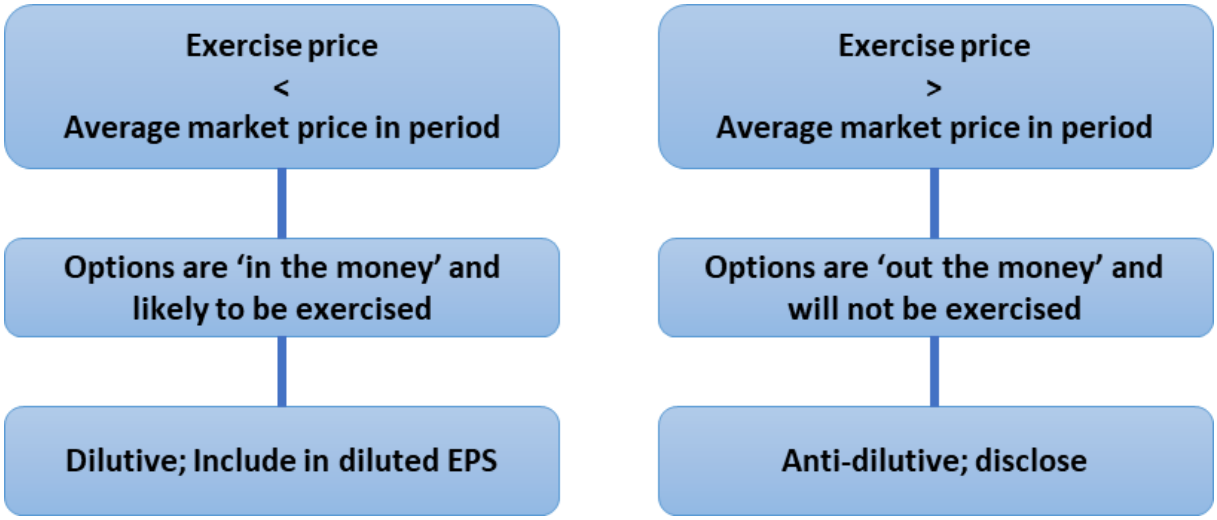
It is important to emphasise that when **calculating diluted EPS**, we must take into account both the **earnings figure (nominator) and the number of shares (the denominator)** as both are **affected by the potential dilution**. This contrasts with the **basic EPS calculation**, where we only need to **adjust the denominator**.

You should note that diluted EPS is a 'worst case scenario' calculation of basic EPS on the assumption that all dilutive potential ordinary shares have been issued in the period. You must always choose the most dilutive option.



Share options

Share options and similar instruments result in the issue of shares at a given exercise price



Diluted earnings

As option holders do not receive interest or dividends, there is no adjustment to basic 'earnings'.

Diluted shares

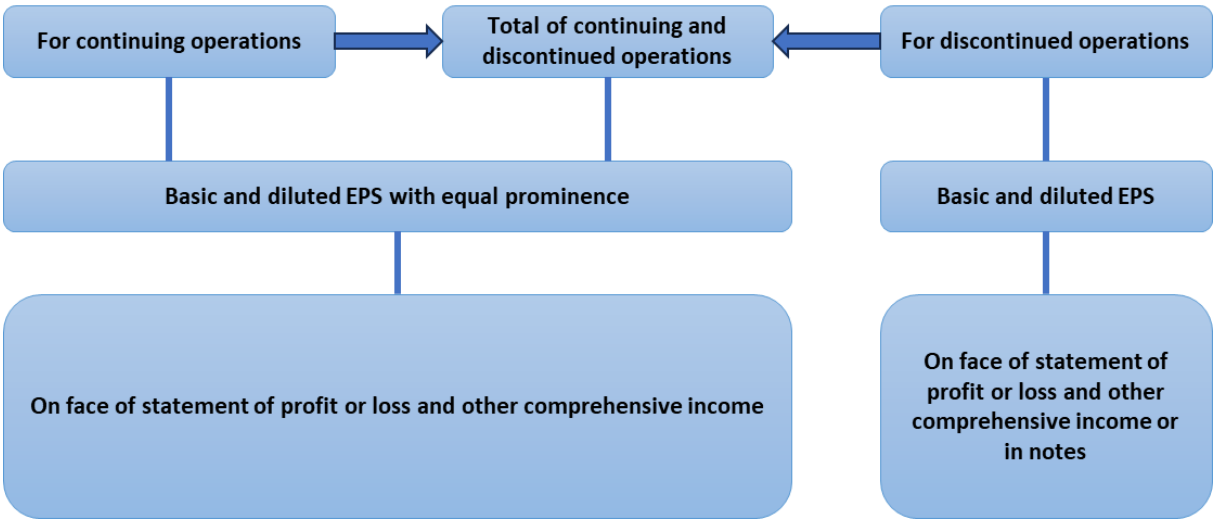
The exercise of share options for less than fair value can be viewed as the issue of:

- Some shares at full market value
- Further shares at no cost

Only those shares deemed to be issued at no cost adjust basic 'shares' as they are the dilutive component.

Tutor tip:
This is an area of the course where you will likely find the IFRS books useful in an assessment. The Illustrative
Examples for IAS 33 have some good examples of the topic covered above and show a useful layout that you can follow for assessment questions.

What are the disclosure requirements for companies under IAS 33?



Lesson 7: IAS 24 Related Party Disclosures

How do we identify a related party?

The objective of IAS 24 Related Party Disclosures is "to ensure that an entity's financial statements contain the disclosures necessary to draw attention to the possibility that its financial position and profit or loss may have been affected by the existence of related parties and by transactions and outstanding balances, including commitments, with such parties."

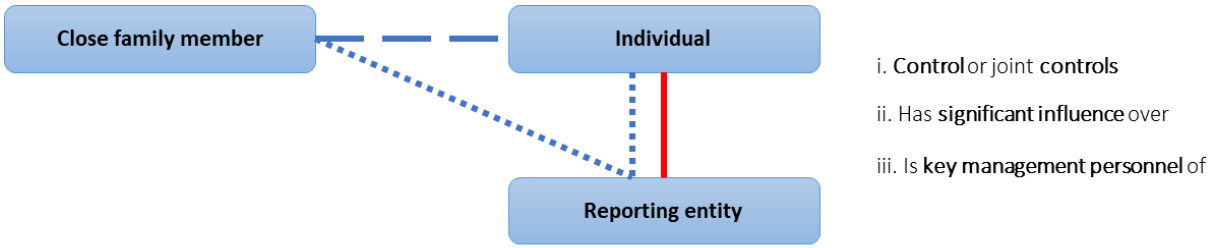
A related party is a person (individual) or entity that is related to the entity that is preparing its financial statements ('the reporting entity').

Person related to the reporting entity

A **person** or a close member of that person's family is related to the reporting entity if that **person:**

- Has control or joint control of the reporting entity
- Has significant influence over the reporting entity

- Is a member of the key management personnel of the reporting entity or of a parent of the reporting entity



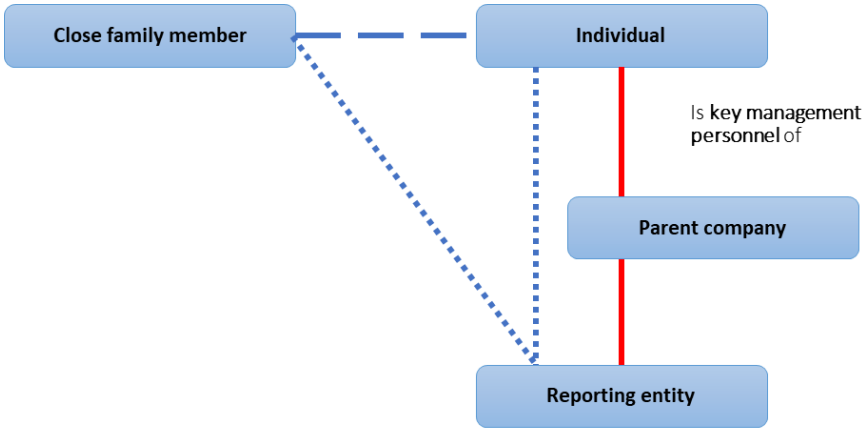
Red line denotes direct related party relationship between the individual and the reporting entity
Dashed line denotes a relationship between a close family member and the individual
The dotted line denotes a related party relationship

Please note that a **close family member** of a person who may be expected to influence, or be influenced by, that person in their dealings with the entity could be:

- That person's children and spouse or domestic partner
- Children of that person's spouse or domestic partner
- Dependants of that person or that person's spouse or domestic partner

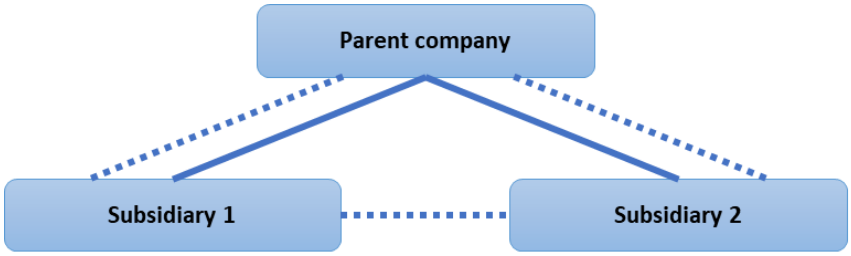
You should also note that **key management personnel** are those persons who have authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (executive or non-executive). Effectively, key management personnel can be individuals or an entity.

The individual and close family member are related to the reporting entity (and also the parent company).



Red line denotes direct related party relationship between the individual, the parent company and the reporting entity
Dashed line denotes a relationship between a close family member and the individual
The dotted line denotes a related party relationship

Entity related to the reporting entity

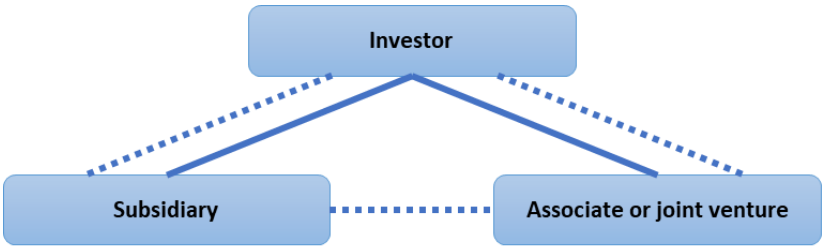


Blue line denotes direct relationship between the parent company and the subsidiaries
The dotted line denotes a related party relationship

An **entity** is related to a reporting entity if any of the following conditions apply:

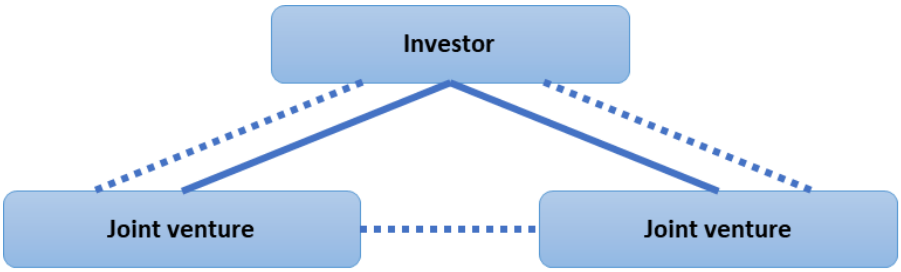
Members of the same group are related

The associate or joint venture is related to the investor and any other group member



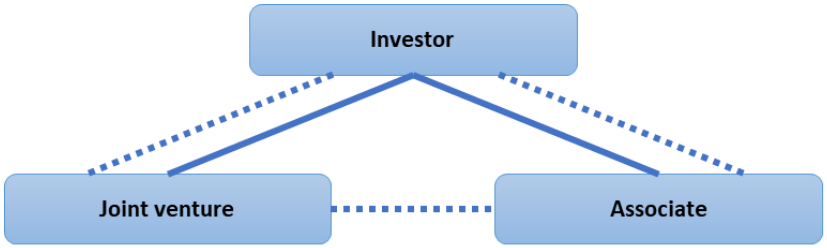
Blue line denotes direct relationship of the investor with a subsidiary and an associate or joint venture.
The dotted line denotes a related party relationship.

The joint ventures are related to each other



Blue line denotes direct relationship of the investor with two joint ventures.
The dotted line denotes a related party relationship.

The joint venture and associate are related to each other



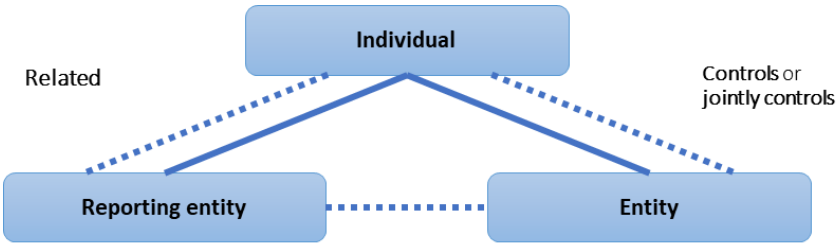
Blue line denotes direct relationship of the investor with a joint venture and an associate.
The dotted line denotes a related party relationship.

A reporting entity is related to its pension plan



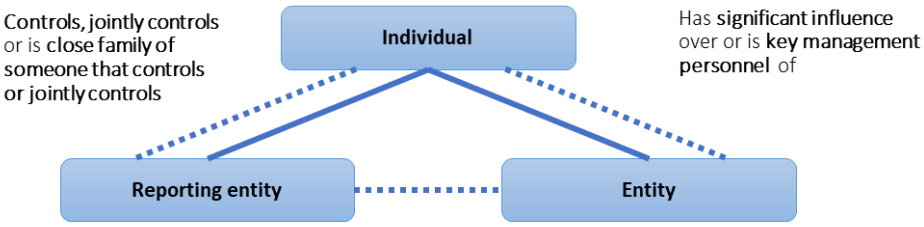
Blue line denotes direct relationship of the reporting entity with a pension plan.
The dotted line denotes a related party relationship.

The reporting entity and the second entity are related (I)



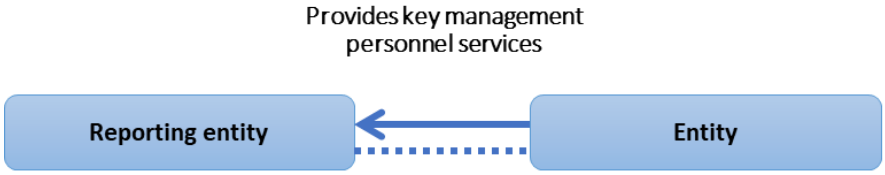
Blue line denotes direct relationship of the individual with the reporting entity and an entity.
The dotted line denotes a related party relationship.

The reporting entity and the second entity are related (II)



Blue line denotes direct relationship of the individual with the reporting entity and an entity.
The dotted line denotes a related party relationship.

The reporting entity and the second entity are related (III)



Blue line denotes direct relationship of the entity with the reporting entity.
The dotted line denotes a related party relationship.

If a related party is defined in terms of an associate or a joint venture, this definition also applies to the subsidiaries of an associate or joint venture. This approach emphasises the importance of considering the **substance** of a relationship over their **legal form**.

Parties that are not related

IAS 24 specifies that the following are not related:

- Two entities
  - Simply because they have key management personnel in common, or
  - Simply because a member of key management personnel of one has significant influence over the other
- Two joint venturers
  - Simply because they share joint control over a joint venture
- An entity and providers of finance, trade unions, public utilities or government departments
  - In the course of normal dealings
- An entity and a customer, supplier, franchisor, distributor or agent
  - Simply by virtue of economic dependence due to the volume of trade carried out

The following steps should be taken when dealing with related party scenarios:

Step 1: Identify related parties
Step 2: Identify related party disclosures
Step 3: Prepare disclosures

Tutor tip:

To enhance clarity and understanding of complex relationships, you can use a diagram that visually represents the connections between the reporting entity and its related parties. Always clearly label the reporting entity within this diagram to distinguish it from other entities involved.

In addition, you need to always consider the relevance of specific accounting standards when discussing transactions in your responses. Even if an assessment question doesn't explicitly mention IAS 24, remember that if a scenario includes a related party and IAS 24 is relevant to the transaction in question, you can earn marks by identifying and stating the applicability of IAS 24.

This is an area of the course where you will likely find the IFRS books useful in an assessment. The Illustrative Examples for IAS 24 have some good examples of the topic covered above and contain diagrams which may aid you in deciding whether a party would be considered related under the standard.

What are the disclosure requirements for companies under IAS 24?

There are three categories of disclosure:

- Group relationships
  - Disclosure is mandatory for relationships between parent companies and their subsidiaries, regardless of the presence or absence of actual transactions between them.
  - It is essential to disclose not only the name of the parent entity but also, if it differs, the name of the ultimate controlling party.
- Related party transactions
  - Information about transactions and balances
  - Nature of related party relationship
- Management compensation
  - Key Management personnel (KMP) compensation disclosed by type: short term benefits (Salary), pension contributions, other long-term benefits, termination benefits, share-based payments

Lesson 8: Directors' Remuneration

What are the disclosure requirements of the Companies Act 2006 relating to directors' remuneration?

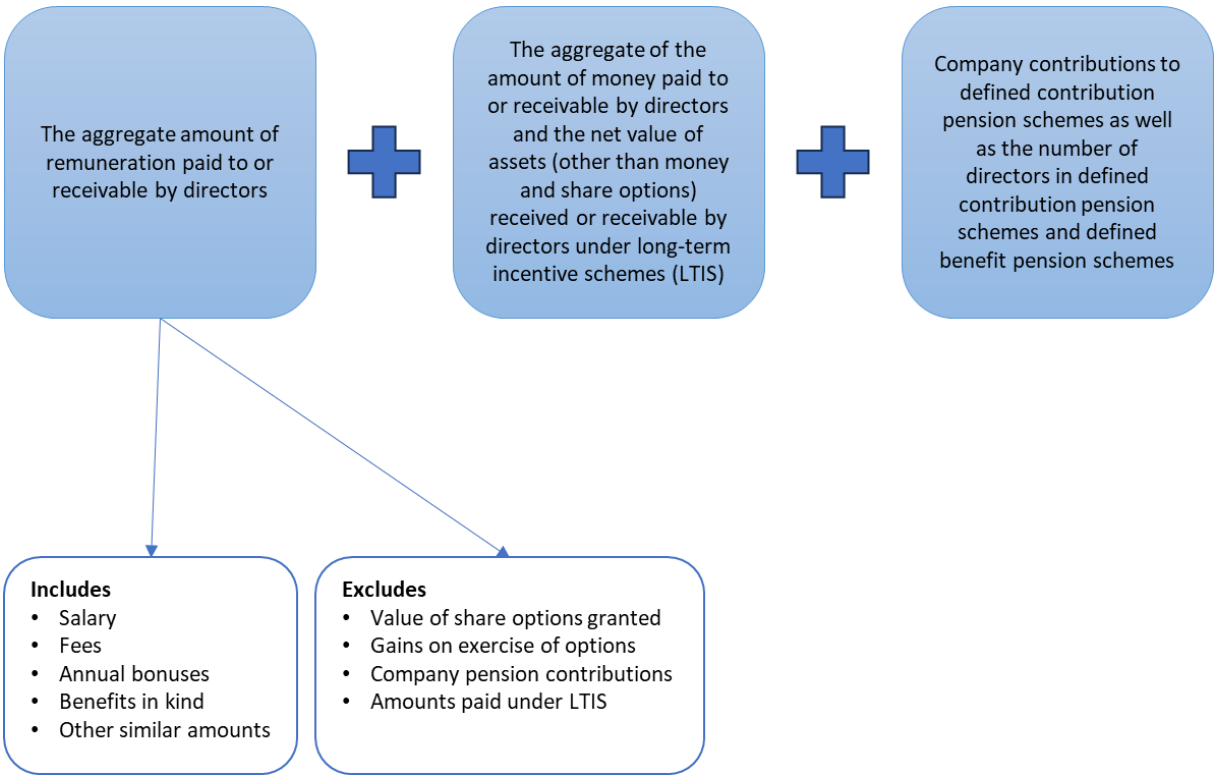
The companies Act 2006 determines company sizes when the company meets the qualifying conditions in a year when it fulfils at least two of the following conditions:

Condition	Micro	Small	Medium	Large
Turnover (revenue)	Not more than £1m	Not more than £15m	Not more than £54m	Thresholds not provided but anything above medium
Balance sheet total (the aggregate of amounts shown as assets)	Not more than £500,000	Not more than £7.5m	Not more than £27m	
Average number of employees	Not more than 10	Not more than 50	Not more than 250	

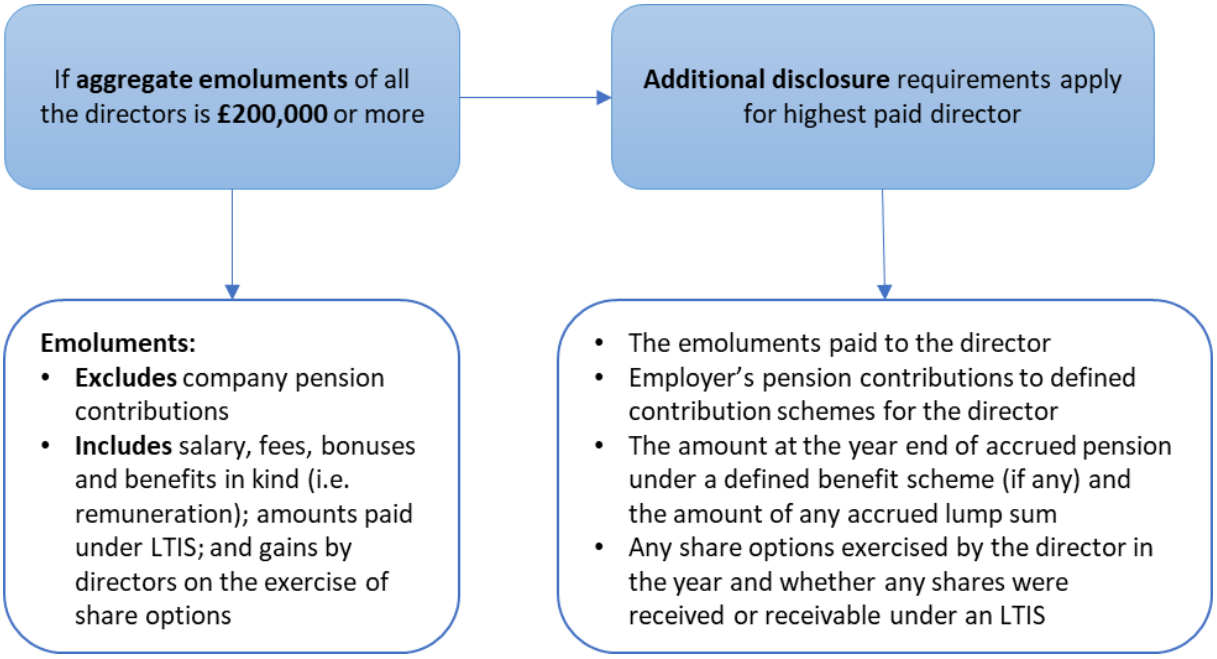
You do not need to memorise these thresholds as an extract of the Companies Act 2006 will be provided in the ARP assessment if it is relevant.

We will address the disclosure applicable to **unquoted companies only**.

The following diagram summarises the information required about directors' remuneration. Bear in mind that, in the total amount of directors' remuneration, employer's national insurance contributions are NOT INCLUDED since they are paid by the company (and, thus, not deducted from the director's salary).



Details of highest paid director



This specific disclosure requirement is **NOT REQUIRED** for small or micro entities.

Compensation for loss of office and from subsidiaries should be disclosed. Note that amounts paid through joint ventures and associates are not included.



Study guide checklist

Have you completed reading module 1?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 2 – Assets

Introduction

Welcome to the study guide for Module 2 of the Advanced Reporting and Performance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

SLO1 Advise on the requirements for financial reporting and performance in accordance with relevant standards

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

1.1 Construct, with appropriate workings, the financial statements for an individual company
1.3 Advise on the effect of transactions and adjustments on the financial statements of an individual company and of a group

This will be achieved by working towards the following performance indicators:

1.1.6 Construct disclosure notes in accordance with IFRS Standards for:
- Property, plant and equipment
- Investment property
- Non-current assets held for sale
- Intangible assets
- Impairment of non-current assets

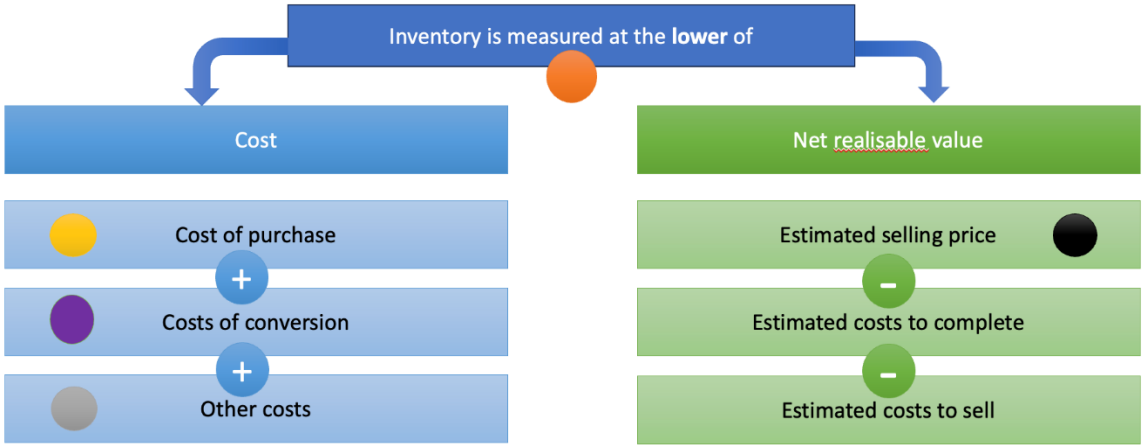
Evaluate the adequacy of disclosure notes in accordance with IFRS Accounting Standards for:
- Inventories

1.3.1 Advise on the effect of the following transactions and adjustments on the financial statements of an individual company
- Property, plant and equipment
- Investment property
- Non-current assets held for sale
- Intangible assets
- Impairment of non-current assets
- Inventories

You will be ‘assessment ready’ for questions in Module 2 when you can confidently complete each set of the learning outcomes above.

Lesson 1: Inventories

How are inventories measured and what is included in the cost of inventories?



Inventories should be measured on a line-by-line basis i.e. each product line should be measured rather than inventories as a whole.

The cost to purchase inventories includes:

- Purchase price less any discounts
- Import duties and other non-recoverable taxes
- Transport, handling and other costs.

Costs of conversion include:

- Direct costs (for example, labour and materials)
- An allocation of fixed production overheads, based on normal production capacity (for example, depreciation of production machinery, the cost of factory management and administration)
- An allocation of variable production overheads, based on actual production levels, for example, supervisors' salaries).

Other costs are other costs incurred in bringing inventories to their present location and condition, for example:

- The costs of designing products specific to a customer
- Borrowing costs in some situations (IAS 23, see Lesson 5).

Selling price should be based on sale in the ordinary course of business.

The following costs are **not** part of the cost of inventories and should be recognised as an expense in profit or loss as incurred:

- Wasted materials and labour and other abnormal production costs
- Storage costs, unless storage is a necessary stage in the production process
- Administrative overheads that are not relevant to bringing inventories to their present location and condition
- Selling costs.

How is a write-down or reversal of inventories recognised?

In Advanced Reporting and Performance scenarios, you should look out for indicators that the NRV of inventories may have fallen below cost so that you can provide relevant accounting advice.

Indicators may include:

- A fall in selling price due to adverse market conditions
- Physical deterioration of inventories
- Product obsolescence
- A marketing strategy decision to sell some products at a loss
- Errors in production or purchasing
- An increase in costs to complete and sell goods.

The journal entry for a write down is:

	Account name	**£**	**£**
Dr	SPL - write-down of invetories (COS)	X	
Cr	Inventories (SOFP)		X

Being the write-down of inventory to NRV

Inventory write-downs subsequent to the posting of the standard closing inventory journal will, by their nature, generally be material. They should therefore be disaggregated from Cost of sales and will show on the face of the SPL and a separate line within the gross profit section

Any subsequent reversal of a write-down, before the inventories are sold, is recognised in profit or loss as a reduction to cost of sales.

Note: In the ARP assessment, if you are required to prepare extracts from the financial statements, you will be given information on whether an inventory write-down is material.

What approximations and assumptions are used when measuring closing inventories?

Refer to RP2 study guide for determining the cost of inventories including standard cost, retail cost. You are also aware from RP2 That inventories are measured at the lower of Cost and NRV.

How are inventories presented and disclosed?

Inventories are:

- Presented as a current asset in the SOFP
- Used to calculate cost of sales

IAS 2 also requires that the following information is disclosed where relevant:

- Accounting policies adopted in relation to inventories, including the cost formula used (FIFO or AVCO)
- The total carrying amount of inventories and carrying amount of classifications of inventories that are appropriate to the reporting company
- The amount of inventories recognised as an expense in the period (cost of goods sold)
- The amount of write-down of inventories recognised as an expense in the period
- The amount of any reversal of write-downs recognised in the period
- The circumstances that led to the reversal of a write-down of inventories
- The carrying amount of inventories pledged as security for liabilities

Tutor tip:
In Advanced Reporting and Performance, you may be required to advise on the disclosure requirements for inventories; however, you will not be required to prepare a detailed disclosure note.

How does IAS 2 interact with other IFRS Accounting Standards?

Inventories is a non-complex area of accounting, and in Advanced Reporting and Performance if an assessment question involves inventories, it is also likely to test other IFRS Accounting Standards.

IAS 16 *Property, Plant and Equipment* (IAS 2.12, IAS 16.48)

IAS 2 requires that an allocation of fixed production overheads are included in the cost of inventories and IAS 16 states that depreciation may be included in the carrying amount of another asset.

You may be required to apply IAS 16 in order to calculate the depreciation charge relating to production machinery for inclusion in the cost of inventories.

IAS 40 *Investment Property* (IAS 40.9)

Depending on the circumstances, property may be classified as investment property, owner-occupied property or inventories.

In an Advanced Reporting and Performance scenario, you may be required to analyse the facts and apply the definitions provided in IAS 40 *Investment Property*, IAS 16 *Property, Plant and Equipment* and IAS 2 *Inventories* in order to determine how a property is classified and apply relevant accounting treatment.

IAS 23 *Borrowing costs* (IAS 2.17, IAS 23.7)

If inventories take a substantial period of time to manufacture or produce, they are a qualifying asset for the purposes of applying IAS 23 and eligible borrowing costs should be recognised as part of the cost of the inventories. Inventories that are produced over a short period of time are not a qualifying asset and borrowing costs must be recognised as an expense.

‘Substantial period of time’ and ‘short period of time’ are not defined, and judgement is required when deciding whether inventories are qualifying assets.

In an Advanced Reporting and Performance scenario you may be required to advise on the recognition of borrowing costs as part of the cost of inventories or calculate relevant amounts.

IAS 10 *Events After the Reporting Period* (IAS 10.9)

IAS 2 requires that inventories are measured at the lower of cost and NRV. IAS 10 states that the sale of inventories after the reporting date provides evidence of their selling price, and so NRV at the reporting date.

If a sale after the reporting period indicates that NRV is less than cost, inventories should be written down to NRV in the SOFP at the reporting date.

Damage to inventories after the reporting date is a non-adjusting event; however it requires disclosure if the financial effect is material.

In the ARP assessment, you won't necessarily be told that an event is after the end of the reporting period. Instead, you need to read the scenario carefully, paying attention to the dates, to determine the appropriate accounting treatment.

IAS 19 *Employee Benefits* and IFRS 2 *Share-based Payment* (IAS 2.12, IAS 19.11,51, IFRS 2.8-9)

IAS 2 requires that costs of conversion, which may include direct labour costs, indirect labour costs and management and administrative labour costs, are included in the cost of inventories.

Labour costs include costs associated with all employee benefits, including wages, salaries, pensions and share-based payments. IAS 19 and IFRS 2 require that these costs are recognised in profit or loss unless they are included in the cost of an asset.

In an Advanced Reporting and Performance question you may be required to advise on the measurement of inventories or calculate amounts to be included as part of the cost of inventories by applying IAS 19 or IFRS 2.

IFRS 15 *Revenue from Contracts with Customers* (IFRS 15.95)

As well as providing guidance on the recognition and measurement of revenue, IFRS 15 considers the accounting treatment applicable to costs to fulfil contracts with customers.

It states that any costs to fulfil a contract that are within the scope of another IFRS Accounting Standard should be dealt with by applying that Standard.

In a revenue scenario in an Advanced Reporting and Performance assessment question you may therefore be required to apply IAS 2 to account for the costs of inventories purchased to fulfil a customer contract.

IAS 8 *Basis of Preparation of Financial Statements*

A change from the FIFO to the AVCO inventories assumption (or vice versa) is a change in accounting policy.

In an Advanced Reporting and Performance question you may be required to advise on the accounting required for such a change, or to prepare extracts from the financial statements.

Lesson 2: Property, Plant and Equipment

When should an item of PPE be recognised and how should PPE be measured at initial recognition?

Refer to RP2 Module 2 Study guide about initial recognition of PPE.

How should PPE be measured subsequent to initial recognition?

Refer to RP2 Module 2 Study guide about subsequent measurement of PPE including cost model and revaluation model and impairment of PPE.

How is PPE depreciated and derecognised?

You are already familiar from both RP1 and RP2 how to depreciate PPE and the recognition journal. However, some further scenarios to be familiar with at ARP are listed below:

Complex asset depreciation (IAS 16.43)

Each component of a complex asset should be depreciated separately over their own useful lives; at the end of this period, when the component is replaced, it should be derecognised, and the cost of the new component recognised.

Depreciation and derecognition of revalued assets (IAS 16.41)

When an asset is revalued, future depreciation charges are calculated by spreading the revalued amount (less any residual value) over the remaining useful life of the asset.

In the case of an upwards revaluation this will result in an increase to the depreciation charge to profit or loss. The excess of this amount over the historical cost depreciation charge is viewed as a realisation of the revaluation surplus and can be transferred from the revaluation surplus to retailed earnings.

Advanced Reporting and Performance assessment questions will indicate whether you are expected to make this transfer.

When the revalued asset is ultimately disposed of any remaining revaluation surplus is realised and can be transferred to retained earnings. These transfers do not affect OCI and are presented as a direct reserves transfer in the SOCIE.

Recognition of depreciation as an asset (IAS 16.48-49)

Although depreciation is usually recognised in profit or loss, remember that it may be included in the cost of another asset, for example:

- If a machine is used to produce inventories, the machine's depreciation is a fixed production overhead and is allocated to inventories as a cost of conversion (IAS 2).
- If laboratory equipment is used to develop a new medicine, the equipment's depreciation is included in the cost of the development asset when IAS 38 recognition criteria are met.

Review of depreciation estimates (IAS 16.51,61)

Depreciation estimates include residual value, useful life and depreciation method. These should be reviewed at least at each reporting date, and any changes should be applied prospectively, as a change in accounting estimate, in accordance with IAS 8 *Basis of Preparation of Financial Statements*

Where an impairment test has taken place, even if there is no impairment loss, it is appropriate to review depreciation estimates.

Depreciation method (IAS 16.60, 62A)

IAS 16 requires the use of a depreciation method that reflects the consumption of an asset's future economic benefits. Although it is usual to use the straight-line or diminishing balance method, other methods are also permitted.

IAS 16 does, however, prohibit the use of a depreciation method that reflects revenue patterns, because revenue reflects factors other than the consumption of an asset's future economic benefits (for example, it reflects general economic recession and changes in customer demand).

Sale and leaseback

In an Advanced Reporting and Performance scenario question, a disposal of PPE may take the form of a sale and leaseback transaction. In this case, the PPE is not always derecognised.

IFRS 16 provides guidance on the accounting treatment to be applied here and this is covered in the module on liabilities.

How is PPE disclosed in the financial statements?

In Advanced Reporting and Performance, you may be required to prepare disclosure notes related to PPE. This is something that you were also required to be able to do in Reporting and Performance 2.

SOFP

- The carrying amount of PPE is presented as a single line item (as a minimum). Some companies disclose separate categories of PPE in the SOFP. This is acceptable as there is no 'maximum disclosure'.
- The revaluation surplus is presented in equity

SPLOCI

- The depreciation expense for the year and any impairment losses (downwards revaluation) recognised in the year are presented in the SPL. They may be included in any operating expense category. If material, an impairment loss may be disclosed separately in the SPL.
- Any revaluation surplus in the year is presented in OCI as an amount that will not be reclassified to profit or loss.

- Depreciation is unlikely to be considered material and therefore in most cases will not be disaggregated. It can be shown within other operating expenses or general operating expenses depending on the nature of the underlying assets.

Notes to the financial statements

The following disclosures should be made for each class of PPE:

- The selected measurement basis (cost model or revaluation model)
- Accounting estimates including depreciation model, residual value and useful life
- Gross carrying amount and depreciation at the start and end of the period
- A reconciliation of carrying amount at the beginning and end of the period (usually shown in the form of a 'PPE table', which also includes the gross carrying amount and depreciation at the start and end of the period)

In addition, disclosure should be made of:

- PPE pledged as security for liabilities
- The cost of assets in the course of construction included in PPE
- Contractual commitments to buy PPE

For revalued assets the following should be disclosed:

- The date of the revaluation
- Whether an independent valuer was involved

The historical cost carrying amount at the reporting date (this allows for comparison with companies that do not adopt a revaluation policy).

Lesson 3: Investment Property

What is investment property?

Refer back to RP2 Module 2 Study guide about Investment Property definition.

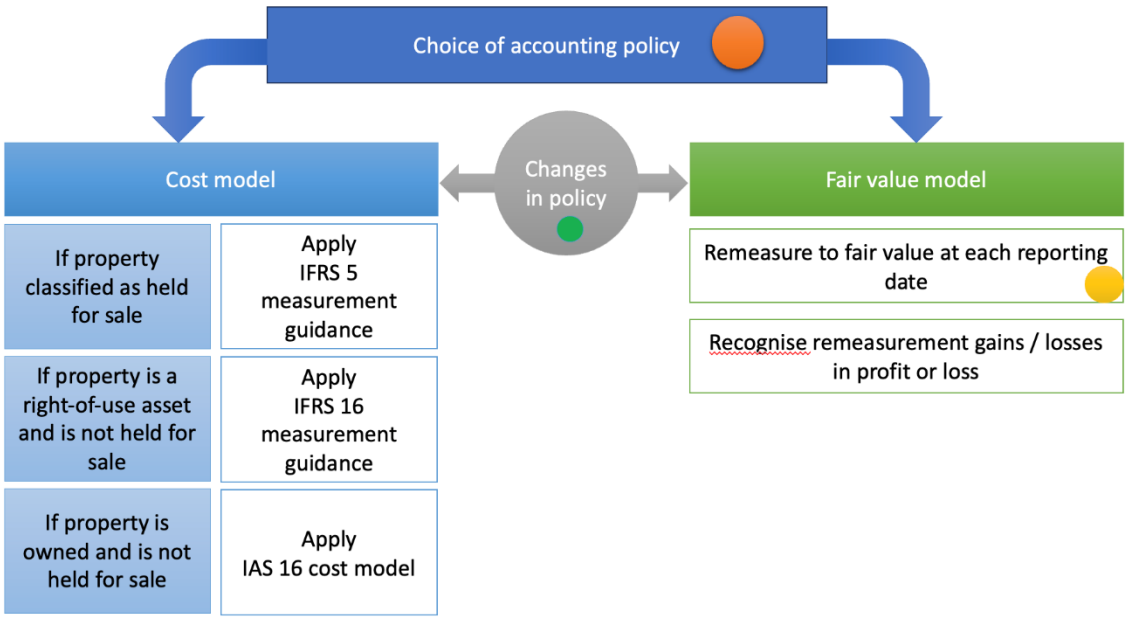
In Advanced Reporting and Performance, you may be required to analyse information provided in order to conclude whether a property meets the definition of investment property. This is a judgemental area, and it is important that you understand the requirements of IAS 40 *Investment Property* and can apply them to the scenario.

You may then be required to advise on relevant accounting treatment, including the initial and subsequent measurement of investment property, accounting for transfers into and out of the investment property category and the presentation and disclosure of investment property.

Application of the definition of investment property requires judgement, and IAS 40 provides additional guidelines that are relevant to some common scenarios.

How is owned or leased investment property initially and subsequently measured?

In Reporting and Performance 2, you learnt that there is a choice of accounting policy for investment property after recognition.





The chosen accounting policy must be applied to all investment property.

Fair value is measured in accordance with IFRS 13 Fair Value Measurement.

Companies are encouraged to use an independent, professionally qualified valuer.

A change in policy is only permitted if it results in reliable and more relevant information.

A change from the fair value model to the cost model is effectively prohibited because it is unlikely to result in more relevant information.

IAS 8 must be applied where there is a change in policy. (See the module on presentation and disclosure for more on IAS 8.)

Additional guidance on the fair value model

If a company adopts the fair value model, IAS 40 provides additional guidance.

Investment property held as a right-of-use asset (IAS 40.40A)

When investment property is held as a right-of-use asset and is measured using the fair value model, the relevant fair value is that of the right to use the property, not the fair value of the underlying property itself.

Reliable measurement of fair value (IAS 40.53)

IAS 40 includes a rebuttable presumption that the fair value of an investment property can be measured reliably on a continuing basis. If this is not the case the cost model of IAS 16 (for owned assets) or IFRS 16 (for right-of-use assets) should be applied instead.

Double counting assets (IAS 40.50)

When determining fair value, a company must not double-count assets i.e. they are either included in the fair value of investment property or recognised as separate assets, but not both. For example, the following assets are usually included in the fair value of an investment property and so should not be recognised separately:

- Integral equipment such as an air conditioning or heating system
- Furniture, if the property is rented on a furnished basis.

Choice of measurement model

IAS 40 does not promote the use of one measurement model over the other.

It does, however, require that companies that apply the cost model disclose the fair value of their investment properties, and therefore avoidance of a fair value measurement exercise is not a valid reason to apply the cost rather than fair value model.

When do transfers to and from investment property occur, and how are they accounted for?

Refer to RP2 Module 2 study guide for transfers between Investment Property and Property, plant and equipment and how to account for these transfers.

- **Investment property (IAS 40) to Owner-occupied property (IAS 16)** Evidenced by the commencement of owner-occupation or commencement of the development of the property with a view to owner-occupation.
- **Owner-occupied property (IAS 16) to Investment property (IAS 40)** Evidenced by the end of owner-occupation.

- IAS 40 also addresses transfers between the **investment property (IAS 40) and inventories (IAS 2) classifications**, Evidenced by the commencement of development with a view to sale.
  - If investment property is measured using the cost model, the property's previous carrying amount is its deemed cost for initial recognition under IAS 2.
  - If investment property is measured using the fair value model:
    - IAS 40 should be applied up to the date of change (with fair value remeasured at the transfer date).
    - The property's initial measurement under IAS 2 is its fair value at the transfer date.
    - Subsequently IAS 2 measurement requirements apply, and the property should be measured at the lower of cost and NRV.

    - Inventories (IAS 2) to Investment property (IAS 40) Evidenced by entering into an agreement with another party to lease the property to them under an operating lease.
      - If investment property is measured using the cost model the property's previous carrying amount is its deemed cost for initial recognition under IAS 40.
      - If investment property is measured using the fair value model:
      - At the date of transfer the property should be remeasured to fair value and any difference between carrying amount and fair value recognised in profit or loss.
      - The property's initial measurement under IAS 40 is its fair value at the transfer date.

How is investment property presented and disclosed in the financial statements?

- SOFP: As a line item within non-current assets
- SPL: Include remeasurement gain or losses for properties measured using the fair value model and depreciation and impairment losses for properties measured using the cost model.

In Advanced Reporting and Performance, you may be required to prepare disclosures related to investment property.

Disclosures relevant to both measurement models

- Which measurement model is applied (the accounting policy)
- The extent to which the fair value of investment property is determined by an independent qualified valuer
- Amounts recognised in profit or loss in respect of:
  - Rental income
  - Direct operating expenses relating to property that is rented out (e.g. repairs and maintenance costs)
  - Direct operating expenses relating to property that is not rented out

Disclosures relevant to the fair value model

- A reconciliation between the carrying amount of investment property at the start and end of the period, including:
  - Additions
  - Disposals and assets classified as held for sale
  - Gains or losses from remeasurement to fair value
  - Transfers to and from inventories and owner-occupied properties
  - Other changes

Additional disclosures are also required about any investment that is measured using the cost model rather than the fair value model because its fair value cannot be measured reliably, including why this is the case.

Disclosures relevant to the cost model

- The depreciation methods used
- Useful lives / depreciation rates
- The gross carrying amount and accumulated depreciation at the start and end of the period
- A reconciliation between the carrying amount of investment property at the start and end of the period, including:
  - Additions
  - Disposals and assets classified as held for sale
  - Depreciation
  - Impairment losses
  - Transfers to and from inventories and owner-occupied properties
  - Other changes
- The fair value of investment property.

Lesson 4: Intangible Assets

What is the definition of an intangible asset and what criteria must be met in order to recognise a separately acquired and internally generated intangible asset?

Refer to RP2 module 2 study guide for definition and recognition.

In Advanced Reporting and Performance, you may be required to analyse a scenario and provide advice as to whether certain items of expenditure should be recognised as intangible assets.

How is an intangible asset initially and subsequently measured?

Refer to RP2 module 2 study guide for initial and subsequent measurement of intangible assets.

Tutor tip:
In an Advanced Reporting and Performance scenario question, you may be presented with a list of costs and required to determine which should be recognised as part of the cost of an intangible asset. If in doubt, think about the definition of an intangible asset and the recognition criteria for an individual cost.

For example, in the table above, the costs that must be recognised in profit or loss fail to meet either:

- the control criterion of an asset (neither customers nor staff can be controlled), or
- the probable future economic benefits recognition criterion (neither general administrative expenses nor operating losses can be tracked to future economic benefits).

What are the IAS 38 requirements for amortisation of an intangible asset?

The mechanics of amortisation are similar to the mechanics of depreciation for PPE. The amortisation expense will be recorded through the Operating section of the SPLOCI.

In addition, the following points may be relevant to Advanced Reporting and Performance questions, particularly if you are required to provide accounting advice:

Indefinite life

An intangible asset may have an indefinite life, in which case it is not amortised but it should be tested for impairment annually (IAS 36).

Residual value

The residual value of an intangible asset is generally zero unless:

- Another party is committed to buy the asset at the end of its useful life, or
- There is an active market for the asset, and its residual value can be established by reference to this market.

Contractual rights

If an intangible asset arises from a contractual right (for example, a licence to operate in an area for a specific period of time), it is usually amortised over the period of the right, however:

- It may be amortised over a shorter period if that reflects expected use of the asset by the company
- It may be amortised over a longer period if there is evidence that the contractual right will be renewed without significant cost.

Review

As is the case for PPE, amortisation estimates (amortisation method, useful life and residual value) should be reviewed each year. This includes intangible assets that have an indefinite life, as this assessment might change.

How is an intangible asset presented and disclosed in the financial statements?

In Advanced Reporting and Performance, you may be required to prepare a disclosure note for intangible assets. This will usually take the form of a table that reconciles cost and accumulated amortisation at the start and end of the year.

The presentation and disclosure requirements of IAS 38 largely mirror those of IAS 16.

Lesson 5: Borrowing Costs

What borrowing costs are eligible to be capitalised as part of the cost of a qualifying asset and what assets are qualifying assets?

The core principle of IAS 23 is as follows:

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset must be recognised as part of the cost of that asset.

Other borrowing costs are recognised in profit or loss as incurred.

Borrowing costs

Borrowing costs that are eligible to be capitalised if the other recognition criteria are met are:

- Interest calculated using the IFRS 9 effective interest method
- Interest on lease liabilities calculated in accordance with IFRS 16
- Exchange differences on foreign currency borrowings

Qualifying assets

Qualifying assets are assets that necessarily take a substantial period to get ready for intended use or sale. They include:

- Inventories
- PPE
- Investment property
- Intangible assets

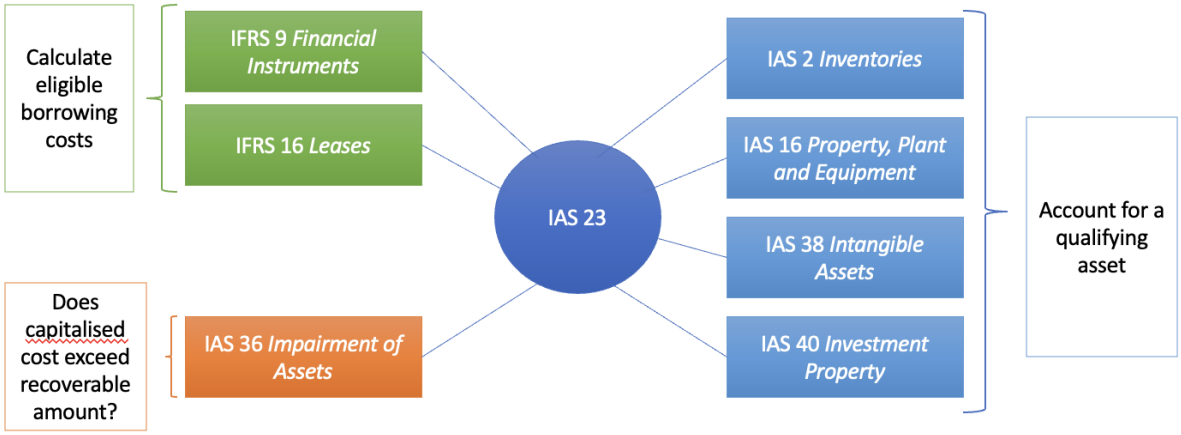
During what period should borrowing costs be capitalised?

Refer to RP2 Module 2 Study guide for Borrowing Costs.

How are eligible borrowing costs calculated and disclosed?

Refer to RP2 Module 2 Study guide for Borrowing Costs.

In Advanced Reporting and Performance, you are likely to have to deal with a number of IFRS Accounting Standards in one question. IAS 23 may be assessed alongside standards relating to both assets and liabilities.



Lesson 6: Impairment of assets

To what assets does IAS 36 apply?

In Advanced Reporting and Performance, you are likely to have to identify that an asset may be impaired, without expressly being told this in the question. It is therefore important that you know which assets fall within the scope of IAS 36 and what circumstances indicate that they may be impaired.

IAS 36 applies to all assets other that those to which a more specific IFRS Accounting Standard applies.

When should an asset be tested for impairment?

Impairment reviews should be carried out when indicators of impairments exist or at least annually for Goodwill and assets with an indefinite useful life and intangible assets not yet ready for use.

Indicators may exist from external information or internal information.

How is an impairment loss calculated and recognised?

In Reporting and Performance 2, you learnt that an asset is impaired if its carrying amount exceeds its recoverable amount. You learnt how to calculate recoverable amount and how to recognise an impairment loss in relation to an individual asset measured using a cost model. Refer to RP2 Module 2 Study Guide.

Impairment losses on PPE that is revalued (IAS 38.60)

If property, plant and equipment is measured using the IAS 16 revaluation model, an impairment loss is not necessarily recognised in profit or loss.

Instead, it is recognised as a downwards revaluation. Therefore:

- Any amount of the loss that reverses a revaluation surplus on the same asset is recognised as a debit entry to OCI (and then reduces the revaluation reserve in equity).
- Any excess loss is recognised in profit or loss.

How is an impaired asset subsequently measured (including reversals of impairment losses)?

After an impairment is recognised, the new carrying amount of the asset should be depreciated over its remaining useful life. You should also consider whether the useful life and other depreciation estimates have changed. Even if no impairment loss is recognised, the fact that indicators of impairment were present for an asset may indicate that it is appropriate to revise depreciation estimates, such as useful life or residual value.

Reversal of an impairment loss (IAS 36.110, 114)

After an impairment loss has been recognised, it may be reversed at later reporting dates.

A reversal of an impairment loss can only be recognised if there has been a change in estimates used to calculate recoverable amount.

- Recognise in profit or loss for an asset measured using the cost model.
- Recognise as a revaluation surplus for an asset measured using the revaluation model.

After the reversal the carrying amount cannot exceed the carrying amount of the asset (after depreciation / amortisation) if it had not been impaired previously.

Lesson 7: Impairment of cash-generating units

What is a CGU and what assets and liabilities are included in a CGU?

A CGU is: The smallest identifiable group of assets that generates cash flows that are largely independent of the cash flows generated by other assets.

How is a CGU tested for impairment?

- The CGU is impaired if carrying amount exceeds recoverable amount
- Recoverable amount is the higher of VU and FVLCOD
- Recognise an impairment loss in profit or loss (unless it represents a downwards revaluation)

Additional considerations:

What assets should be included in carrying amount of a CGU?

- The carrying amount of assets that can be attributed to the CGU and that generate the future cashflows used to calculate VU should be included.
- Assets such as receivables and financial assets are usually excluded because they generate independent cash flows.

Most liabilities (for example, loans) are settled independently of other cash flows and are excluded from a CGU.

- The carrying amount of liabilities is only included in a CGU if the CGU's recoverable amount cannot be determined without including them

What if a particular asset is used by more than one CGU?

- Assets that cannot generate their own cash flows but that contribute to the cash flows of more than one CGU are referred to in IAS 36 as 'corporate assets'
- For the purposes of testing CGUs for impairment, the carrying amount of a corporate asset is allocated to the CGUs that it serves on a 'reasonable and consistent' basis

Goodwill (IAS 36. Appendix C1-C4)

Sometimes a CGU is a subsidiary company, and goodwill arose on the acquisition of that company. In this case:

- goodwill contributes to future cash flows and the overall value of the CGU and so is included in recoverable amount.
- goodwill should therefore be included in the carrying amount of that CGU.

Remember that where a CGU includes goodwill it must be tested for impairment annually. In practice, a subsidiary company may be made up of several CGUs, in which case goodwill arising on the acquisition of the company should be allocated to these CGUs. You will not be tested on this scenario in Advanced Reporting and Performance.

How is an impairment loss or reversal of an impairment loss allocated to the assets of a CGU?

IAS 36 requires that an impairment loss is allocated to the assets of a CGU in a specific order:

- Firstly, to goodwill. If the impairment loss is less than the carrying amount of goodwill, it will be fully absorbed by goodwill. If it is more than goodwill, some loss will remain to be allocated.
- Secondly, to the other assets of the CGU on a pro-rata basis in relation to their carrying amounts. An impairment loss should only be allocated to those assets of the CGU that are within the scope of IAS 36. Therefore, no loss should be allocated to, for example, investment properties measured at fair value.

Tutor tip:
In practice IAS 36 should be applied to individual assets of a CGU first where this is possible, before testing the CGU as a whole for impairment. In an Advanced Reporting and Performance question this is relevant if you are told about a CGU that includes an asset that is obviously impaired on an individual basis. For example, a machine that is used by a particular CGU may be broken down beyond repair. In this case you should allocate the impairment loss of the CGU to that asset in the first place.

Restrictions on the allocation of an impairment loss (IAS 36.105)

When an impairment loss is allocated to the assets of a CGU, the carrying amount of an individual asset must not be reduced below:

- Its FVLCOD
- It's value in use, if determinable
- Zero.

Reversing an impairment loss in a CGU (IAS 36.122 -124)

- An impairment reversal can never be recognised in respect of goodwill.
- A reversal is allocated to the other assets of the CGU that are within the scope of IAS 36 on a pro-rata basis

How are impairment losses disclosed in the financial statements?

SPL and OCI disclosures (IAS 36.126,128)

The following must be disclosed:

- Impairment losses / reversals recognised in profit or loss in the period and the SPL line item they are included in
- Impairment losses / reversals recognised in OCI in the period.

These disclosures must be made by class of asset and may be presented in a PPE reconciliation note (or other similar notes for different types of asset).

Additional information about an impairment loss / reversal (IAS 36.130)

For an individual asset or CGU for which an impairment loss has been recognised or reversed in the period disclose:

- The events and circumstances leading to the impairment or reversal
- The amount of loss or reversal and how it is allocated to classes of assets in the case of a CGU
- A description of the nature of the asset or CGU (for example whether it is a product line or geographical area)
- The recoverable amount of the asset / CGU and whether this is VU or FVLCOD
- If recoverable amount is FVLCOD, a description of the technique used to measure FVLCOD
- If recoverable amount is VU, the discount rates applied in the calculation of VU

Where a CGU includes an asset that must be tested annually (IAS 36.134)

If a CGU includes goodwill or an intangible asset that has an indefinite useful life, and these are significant in relation to the company's total recognised goodwill or intangible assets with an indefinite useful life, additional disclosures are required. This is the case even if no impairment loss or reversal is recognised. These are:

- The carrying amount of goodwill and intangible assets with indefinite useful lives that are allocated to the CGU
- Whether recoverable amount is VU or FVLCOD
- Assumptions and estimates used to calculate VU
- Assumptions and estimates used to calculate FVLCOD

Lesson 8: Non-current assets held for sale

To what assets does IFRS 5 apply?

The classification and presentation requirements of IFRS 5 apply to **all non-current assets.**

The measurement requirements apply to all non-current assets **other than**:

- Investment property measured using the fair value model (IAS 40)
- Deferred tax assets (IAS 12)
- Defined benefit pension assets (IAS 19)
- Financial assets (IFRS 9)

When is a non-current asset classified as held for sale?

Refer to RP2 Module 2 Study guide for when an NCA is classified as HFS.

How is a non-current asset measured immediately before classification as held for sale, on classification and after classification and how are impairment losses recognised?

Refer to RP2 Module 2 Study guide for when an NCA HFS measurement.

How are non-current assets classified as held for sale presented and disclosed?

Refer to RP2 Module 2 Study guide for when an NCA HFS disclosure.



Study guide checklist

Have you completed reading module 2?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 3 – Liabilities

Introduction

Welcome to the study guide for Module 3 of the Advanced Reporting and Performance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

SLO1 Advise on the requirements for financial reporting and performance in accordance with relevant standards

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

1.1 Construct, with appropriate workings, the financial statements for an individual company
1.3 Advise on the effect of transactions and adjustments on the financial statements of an individual company and of a group

This will be achieved by working towards the following performance indicators:

1.1.3 Construct disclosure notes in accordance with IFRS Accounting Standards for:
- Leases
- Provisions

Evaluate the adequacy of disclosure notes in accordance with IFRS Accounting Standards for:
- Income taxes
- Contingent Liabilities
- Contingent Assets

1.3.1 Advise on the effect of the following transactions and adjustments on the financial statements of an individual company:
- Leases
- Income taxes
- Provisions
- Contingent Liabilities
- Contingent Assets

You will be 'assessment ready' for questions in Module 3 when you can confidently complete each set of the learning outcomes above.

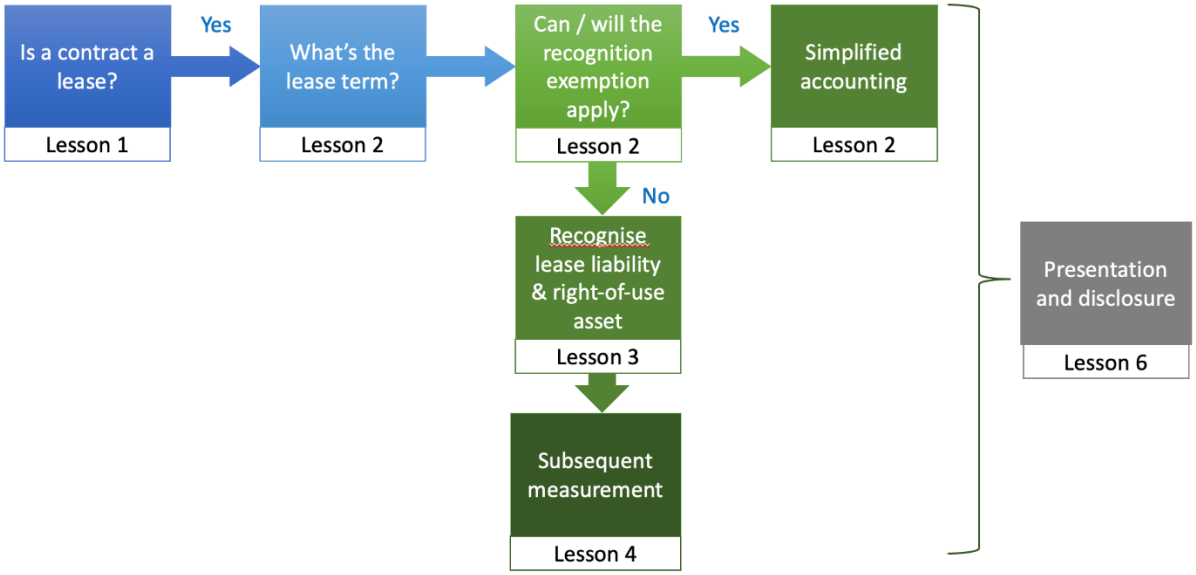
Lesson 1: Lease contracts

What is a lease contract?

Refer to RP2 Study guide for what is a lease.

In an Advanced Reporting and Performance assessment question, you may be presented with a scenario and asked to identify and apply relevant IFRS Accounting Standards. It is therefore important that you can identify those leases to which IFRS 16 does not apply.

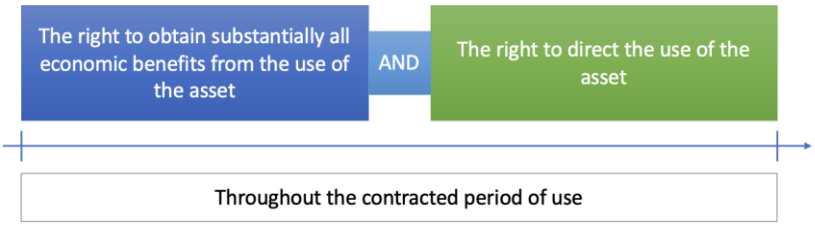
The following diagram summarises the approach to lessee accounting for leases that you learned in Reporting and Performance 2.



In your ARP assessment you may be given details of a transaction in which one party obtains the use of an asset in exchange for consideration and may be required to determine whether it is a lease. In this case, you should state the definition of a lease and explain how it is applied to the identified transaction.

What indicates that a company has the right to control the use of an asset?

In order for a company to have the right to **control the use of an asset** it must have:



What is an identified asset?

Factors relevant to determining whether there is an identified asset

Explicitly or implicitly identified in the contract	May be a portion of an asset if physically distinct	Supplier does not have a substantive right to substitute the asset throughout the period of use

Substance over form applies when identifying a lease: some arrangements do not take the legal form of a lease but **do** meet the definition of a lease contract given in IFRS 16. Other contracts are a lease in legal terms, yet do not meet the IFRS 16 definition.

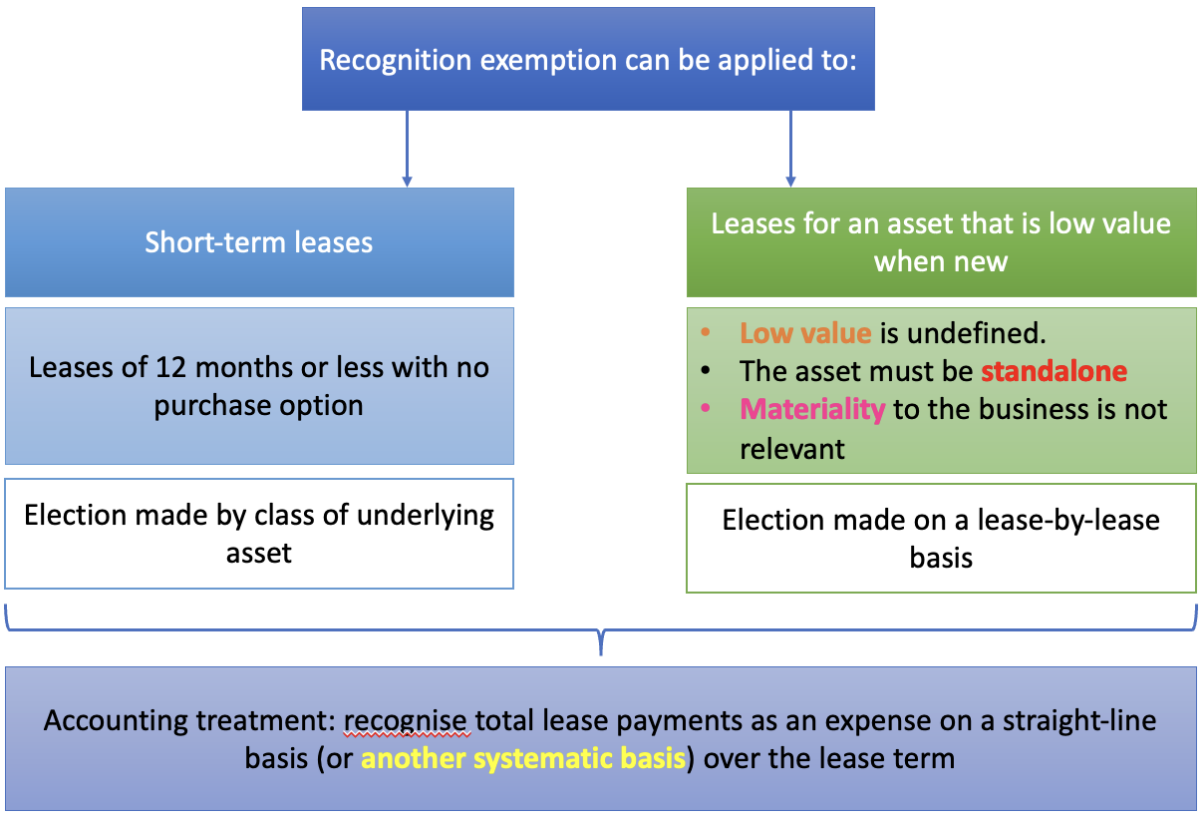
The judgement involved in determining whether an arrangement is or is not a lease can lead to ethical issues as, for example, a financial controller might conclude that an agreement is not a lease as they do not want to recognise a liability in the financial statements. In the ARP assessment, you could be asked to identify such errors made, apply the correct accounting treatment and explain any ethical issues that arise. When advising on ethical issues, always make reference to the relevant fundamental principles.

Lesson 2: Lease term and the recognition exemption

What is the definition of lease term?

You learned the definition of a lease term (IFRS 16. Appendix A) in Reporting and Performance 2. Refer to RP2 Module 3 Study Guide.

To which assets can the recognition exemption be applied?



What accounting treatment is applied where the recognition exemption is applied?

In Advanced Reporting and Performance, where a lease qualifies for the recognition exemption, lease payments are always recognised on a straight-line basis over the lease term.

Lesson 3: Lessee accounting model – initial recognition

How are right-of-use-assets (RoU) and lease liabilities initially measured and recognised?

Refer to RP2 Module 3 study guide for how to initially calculate and recognise lease liability and RoU Asset.

What discount rate is used to measure a lease liability at initial recognition?

In practice, the interest rate implicit in the lease isn't always available, often because this information is viewed as commercially sensitive.

In this case, the lessee's incremental borrowing rate is used as a substitute. This is the interest rate that would be charged on new borrowings, taking into account existing borrowings.

Which future lease payments are included in the initial measurement of a lease liability?

In Advanced Reporting and Performance, an assessment question may refer to **different types of future payments** associated with the lease, and you must know which forms part of the measurement of the liability.

Fixed lease payments

Fixed lease payments are contractual payments for a set amount.

They include 'in-substance' fixed payments. These are payments that may be identified as variable payments, but practically a fixed minimum amount must be paid.

Variable lease payments

In practice, some specific types of variable lease payment are included in the measurement of a lease liability. However, in Advanced Reporting and Performance, you can assume that no variable lease payments are included in the lease liability.

Purchase option

If a lease contains a purchase option that can be exercised by the lessee at the end of the lease term, and the lessee is reasonably certain to exercise the option, the exercise price is included in the measurement of the lease liability.

Termination penalty

If a lease contains an option to terminate the agreement early and the lease term reflects early termination, the termination penalty is included in the measurement of the lease liability.

Lease incentives receivable

Lease incentives are payments made by a lessor to a lessee, including the reimbursement of costs incurred by the lessee.

If lease incentives have already been received they reduce the initial measurement of the RoU asset.

If lease incentives will be received in the future, the receipt reduces future lease payments when measuring the lease liability.

Lesson 4: Lessee accounting model – subsequent measurement

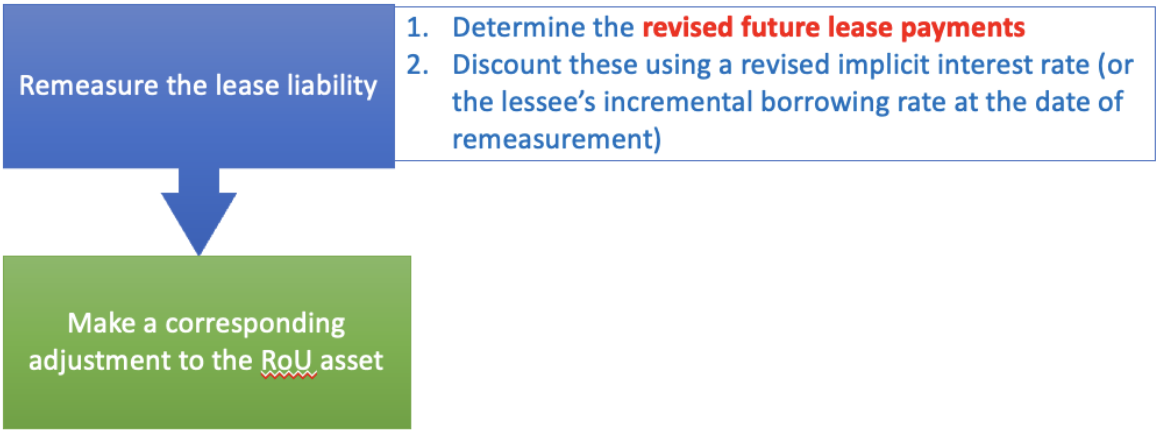
How are RoU assets and lease liabilities measured subsequent to initial recognition?

Refer to RP2 Module 3 study guide for how to measure lease liabilities with payments in advance and arrears and depreciating the RoU asset.

How does a change to the lease term affect the measurement of an RoU asset and lease liability?

The lease term may change mid-lease if:

- the lessee does not behave as they were originally expected to i.e. they do or do not exercise an option, or
- there is a significant event or change in circumstances within the lessee's control that changes their assessment of whether they are reasonably certain to exercise an option.



In subsequent years:

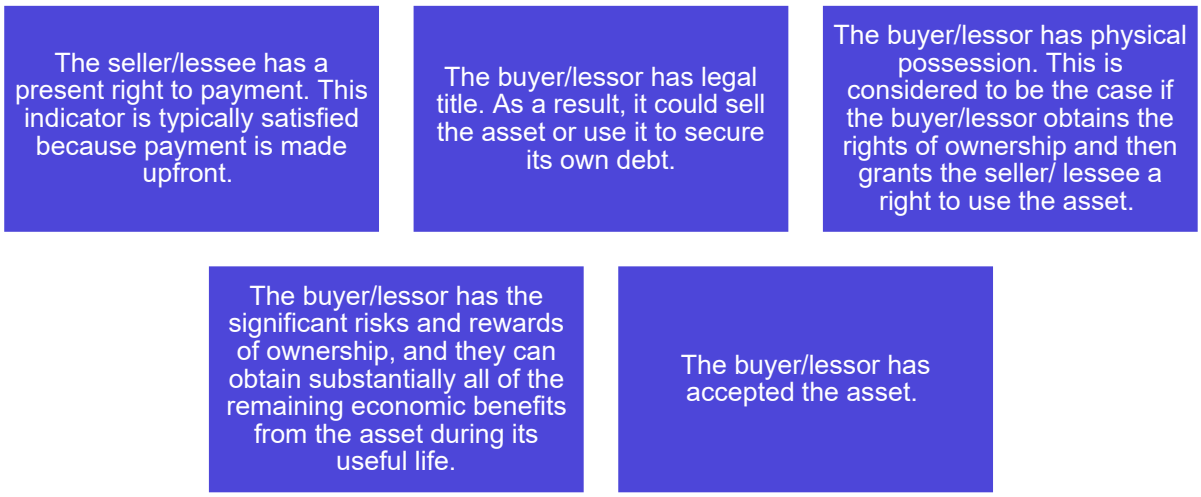
- The remeasured lease liability increases by interest calculated using the revised implicit rate and decreases by payments
- The remeasured RoU asset is depreciated over the lower of the remaining useful life or remaining lease term

Lesson 5: Sale and leaseback

What are the indicators that a transfer of an asset in a sale and leaseback transaction is a sale?

Refer to RP2 Module 3 study guide for how to account for sale and leaseback transaction where the transaction is a sale.

Additional indicators that the transfer qualifies as a sale at ARP. The transfer qualifies as a sale if control of the asset passes to the buyer/lessor. Indicators that control has passed include.



How is a sale and leaseback recognised if the transfer is/ is not a sale?

Refer to RP2 Module 3 study guide for how to account for sale and leaseback transaction where the transaction is and is not a sale.

How is a sale and leaseback recognised if the transfer is a sale and the proceeds are equal to fair value?

Refer to RP2 Module 3 study guide for how to account for sale and leaseback transaction where the proceeds are equal to fair value.

How is a sale and leaseback recognised if the transfer is a sale and the proceeds are greater than fair value?

When the proceeds of a sale are greater than fair value, although the leaseback transaction takes the legal form of a lease, any proceeds in excess of fair value are, in substance, a financing arrangement i.e. a loan to the seller/lessee from the buyer/lessor. The way to approach this type of transaction is to:

1. Record the loan at the excess of proceeds over fair value
2. Record the sale and leaseback as normal

Remember that:

- Proceeds is fair value (since the excess has already been recorded)
- The lease liability is the present value of future lease payments less the loan, to avoid double counting the liability.

Worked Example:

Harvey Ltd (Harvey) sold a property to a bank on 1 January 20X1 for £3 million when the property had a carrying amount of £2.6 million and a fair value of £2.9 million. Harvey immediately leased the property back for a five-year term, agreeing to make payments of £150,000 on 31 December 20X1 to 20X5. The transfer is a sale and the interest rate implicit in the lease is 6%. The five-year 6% annuity factor is 4.212.

How is the sale and leaseback accounted for on 1 January 20X1?

Solution

Sale proceeds are £100,000 in excess of the property's fair value and therefore £100,000 is recognised as a loan by:

	Account name	**£**	**£**
Dr	Bank	100,000	
Cr	Loan		100,000
	Being the recognition of proceeds in excess of fair value as a loan.		

When accounting for the sale and leaseback transaction:

- Proceeds are deemed to be £2.9million (£3m - £100,000)
- The lease liability is deemed to be £531,800. This is the present value of future lease payments (£150,000 x 4.212), less the amount of those payments that represents the amount recognised as a loan, i.e. £100,000.

The standard sale and leaseback accounting is then applied:

- The carrying amount of the property is de-recognised.
- The proportion of the property that is retained is £531,800/£2,900,000.
- Therefore, the RoU asset is £476,786 (£2.6m x £531,800/£2,900,000).
- The proportion of the property that is transferred is (£2,900,000 - £531,800)/£2,900,000.
- The total gain is £300,000 (£2.9m - £2.6m) and the proportion that relates to the transferred asset is therefore £244,986 (£300,000 x (£2,900,000 - £531,800)/£2,900,000).

Therefore, the journal entry to recognise the sale and leaseback transaction is:

	Account name	**£**	**£**
Dr	Bank	£2,900,000	
Dr	RoU asset (531.8/2,900 x £2.6m)	£476,786	
Cr	Lease liability		£531,800
Cr	PPE		£2,600,000
Cr	Gain on disposal		£244,986
	Being the recognition of proceeds in excess of fair value as a loan.		

Lesson 6: Presentation and disclosure of leases

How is IFRS 16 lessee accounting reflected in financial statements?

Refer to RP2 Module 3 study guide for disclosure of leases in financial statements.

What additional disclosures should lessees make in the notes to the financial statements?

Information is presented in a single lease note, although if the information is also presented elsewhere in the financial statements, it need not be duplicated, providing that it is cross-referenced.

<table>
<tr><th>Amounts recognised in operating expenses (IFRS 16.53)</th><th>Amounts relating to RoU assets in the SOFP (IFRS 16.53)</th></tr>
<tr><td>A company that is a lessee should disclose:
Depreciation charge for RoU assets by class of underlying asset
The lease expense relating to short-term leases to which the recognition exemption is applied
The lease expense relating to leases for low-value assets to which the recognition exemption is applied
The expense relating to variable lease payments is not included in the lease liability
Gains or losses arising on sale and leaseback transactions</td><td>A company that is a lessee should disclose:
Additions to RoU assets
The carrying amount of RoU assets at the reporting date, by class of underlying asset.
If relevant, it should also disclose the fact that the recognition exemption has been applied.
This information may be disclosed in a PPE reconciliation note in which there is a separate column for RoU assets, or within a sentence under that note.</td></tr>
<tr><td>Amounts recognised in financing expenses (IFRS 16.53)</td><td></td></tr>
<tr><td>A company that is a lessee should disclose:
interest expense on lease liabilities</td><td></td></tr>
<tr><td>RoU assets that are measured using the revaluation model (IFRS 16.57, IAS 16.77)
IAS 16 disclosure requirements apply and the lessee should provide:
The date of the latest revaluation
Whether an independent valuer was involved in the valuation
The carrying amount had the asset been measured using the cost model
The revaluation surplus and any change in the year.</td><td>Maturity analysis of lease liabilities (IFRS 16.58)
This analysis indicates when liabilities fall due, and helps users to understand the lessee’s shorter-term liquidity and longer-term solvency.
If you are required to construct a lease maturity table in your Advanced Reporting and Performance assessment you should present the total liability as amounts due within 12 months and over 12 months.</td></tr>
<tr><td colspan="2">Additional information about leasing activities (IFRS 16.59)
Additional information may include:
The nature of the lessee’s leasing activities.
Potential future cash flows not included in the measurement of the lease liability (for example, relating to variable lease payments, extension options and termination options).
Reasons for sale and leaseback transactions and their key terms and conditions.</td></tr>
</table>

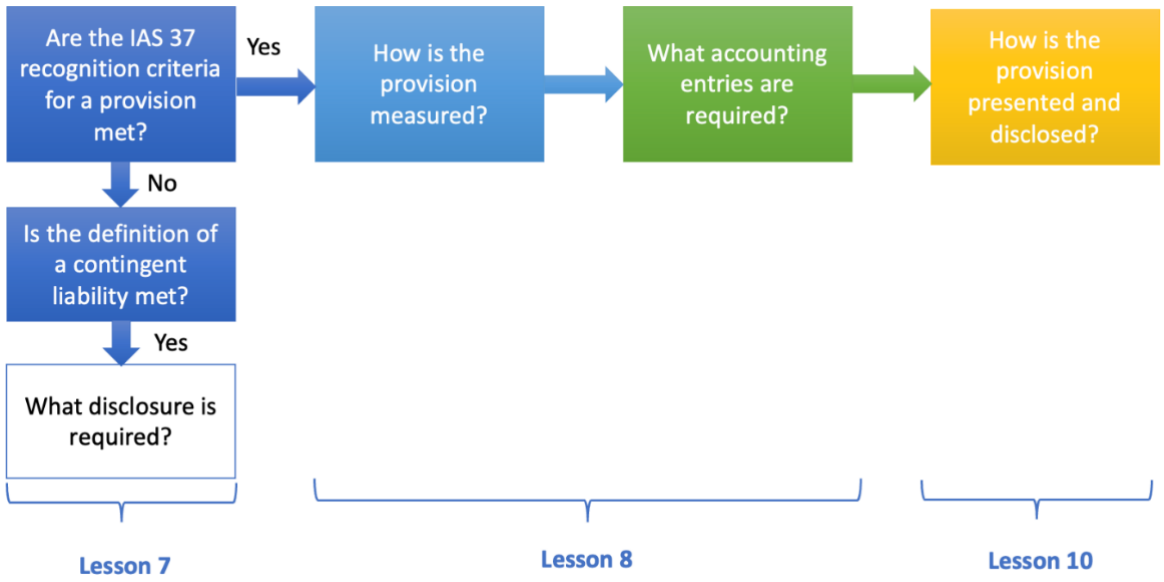
Note: In an IFRS 16 sale and leaseback, a gain or loss is recognised only if the transfer is a sale, and only to the extent of rights transferred; under IFRS 18, that gain or loss is presented in profit or loss, typically within operating profit.

Lesson 7: Provisions and contingencies

What is a provision and when should a provision be recognised?

In an Advanced Reporting and Performance question in which you are presented with a scenario, you will be required to analyse the scenario and select relevant IFRS Accounting Standards before applying their requirements. It is therefore important that you know which standards do not apply, as well as which ones do.

Assessment approach to scenarios:



Refer to RP2 Module 3 study guide for recognition criteria for a provision.

In Advanced Reporting and Performance questions in which you are discussing whether a provision should be recognised it is good practice to state these criteria and then apply them, one by one, to the scenario before concluding.

What is a contingent liability and how is it reflected in the financial statements?

Refer to RP2 Module 3 Study guide and IFRS B Book, IAS 37, Decision Tree.

What is a contingent asset and how is it reflected in the financial statements?

A contingent asset is: A possible asset arising from past events whose existence will be confirmed only by future events outside the company's control.

If probable
Disclose the nature of the asset, and, Where practicable an estimate of their financial effect.

If not probable
Do not reflect in the financial statements.

Lesson 8: Measuring and recognising provisions

How is a provision measured at initial recognition?

Refer to RP2 Module 3 study guide for determining value of a provision.

IAS 37 makes additional points about the measurement of provisions. These more complex issues may come up in Advanced Reporting and Performance assessment questions.

Future events (IAS 37.48-49)

Future events that may affect the amount transferred to settle an obligation are included in the measurement of a provision if there is sufficient evidence that they will occur.

Expected disposal of assets (IAS 37.51-52)

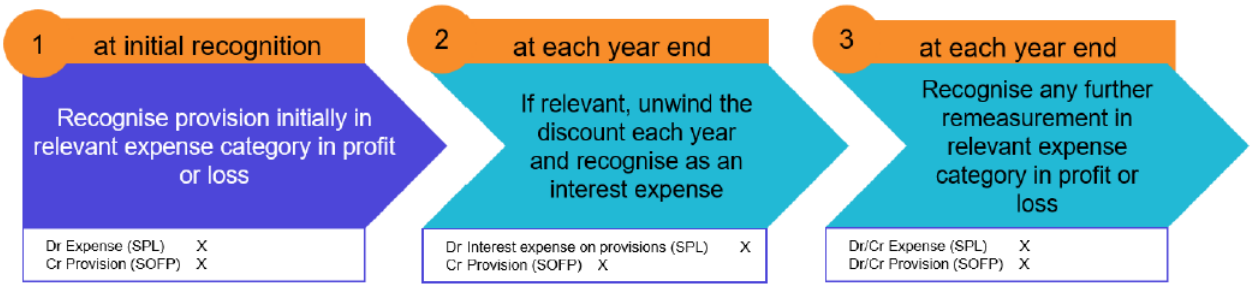
There may be an expected disposal of assets associated with an event that results in the recognition of a provision. For example, a corporate restructuring.

Expected gains on the disposal of assets in these circumstances are not reflected in the measurement of a restructuring provision as to do so would not be prudent.

There is no accounting need to recognise expected losses on the disposal of assets in these circumstances, because the restructuring (or other event) is a trigger for impairment testing (see the module on Assets) and any expected loss is recognised immediately as an impairment loss.

How are provisions recognised in the financial statements?

Refer to RP2 Module 3 study guide for recognising a provision including unwinding discount.



How are provisions that are recognised as part of the cost of assets accounted for?

Initial recognition of the provision	Recognised in the **cost of the asset**. Dr Asset X Cr Provision X
Unwinding of the discount at each year-end	Recognised as a **interest expense** in the Financing category and increase to the carrying amount of the provision. Dr Interest expense on provisions X Cr Provision X
Any further remeasurement of the provision at each year-end	If the asset is measured using the cost model, the remeasurement is measured in the **cost of the asset**. Dr/Cr Asset X Dr/Cr Provision X
	If the asset is measured using the revaluation model, the remeasurement is recognised in the same way as a revaluation surplus or deficit. You will not be examined on this in Advanced Reporting and Performance.

The cost of the provision is recognised in profit or loss as the related asset is depreciated.

Lesson 9: Application of IAS 37 and interaction with other IFRS Accounting Standards

When is a restructuring provision recognised and how is it measured?

Refer to RP2 Module 3 study guide in relation to restructuring provisions.

In an Advanced Reporting and Performance question in which there is a restructuring, and you are required to provide accounting advice, other IFRS Accounting Standards may also be relevant.

IFRS 5 Discontinued Operations and Assets Held-for-Sale: *relevant if involves sale of line of business*

IAS 19 Employee Benefits: *Employees may be made redundant and termination payments.*

IAS 36 Impairment of Assets: *non-current assets may be sold at a loss as part of restructure, providing possible evidence of impairment*

IAS 10 Events After the Reporting Period: *if plan is announced after year end, before financial statements authorised for issue*

What is an onerous contract and how is a provision for an onerous contract measured?

Refer to RP2 Module 3 Study guide for onerous contracts.

When and how is a provision for decommissioning recognised?

Decommissioning and interaction with IAS 16, IFRS 16 (IAS 16.16, IFRS 16.24)

You have already learned that a decommissioning or restoration provision may be recognised in the cost of an asset

- When the asset is initially recognised and the obligation to decommission or restore it arises, and
- Whilst the asset is used, and further damage is caused that must be restored at the end of the asset's life.

When is a provision for warranties recognised?

Standard warranty

This is a promise from the manufacturer that an asset will perform to a specified standard for a specified duration, often 12 months, and the manufacturer will correct any problems during that time. It may be known as an 'assurance' warranty. This type of warranty is provided free of charge.

IAS 37 applies to standard warranties, and a provision is recognised for future expected warranty costs.

Extended warranty

This is a promise over and above the promise made under the standard warranty, for example, to correct problems for an additional 2 years after the standard warranty expires, or to correct problems not covered by the standard warranty. This type of warranty may be sold to the customer or provided free of charge.

IAS 37 does not apply to extended warranties and no provision is recognised. Instead IFRS 15 *Revenue from Contracts with Customers* applies.

See module 4 on Income and Expenses for additional details and examples of extended warranties.

Should a provision be made for costs associated with sustainability issues?

Sustainability-related costs might include:

- Government levies, for example, the Climate Change Levy (CCL) is an environmental tax charged on energy used by businesses
- Penalties for failing to meet environmental targets
- Costs to put right environmental damage caused by business operations

A provision can only be made for these costs if the IAS 37 recognition criteria are met.

Lesson 10: Presentation and disclosure of provisions

How are provisions presented in the financial statements and the notes to the financial statements?

Refer to RP2 Module 3 study guide for disclosure of provisions in the financial statements.

In the Advanced Reporting and Performance assessment you may be asked to analyse a scenario and apply relevant IFRS Accounting Standards in order to prepare extracts from the financial statements. You may also be required to prepare the provisions note, including a reconciliation of each type of provision at the start of the year to the end of the year.

Remember that the requirements of other IFRS Accounting Standards may also be relevant in scenario questions, for example. When advising on disclosures you should always consider all IFRS Accounting Standards that you have applied when accounting for an issue.

In what circumstances is there an exemption from the disclosure requirements of IAS 37?

IAS 37 provides an exemption from its full disclosure requirements in rare circumstances.

This applies if the required disclosures for provisions, contingent liabilities and contingent assets could be expected to 'prejudice seriously the position of the entity in a dispute with other parties'.

In this case, a company should disclose:

- The general nature of the dispute
- The fact that full disclosures are not provided, and
- The reason why full disclosures are not provided.

Lesson 11: Current tax

How is current tax recognised in the financial statements?

Refer to RP2 Module 3 study guide on current tax and how it is calculated and recognised in the financial statements.

How is current tax disclosed in the financial statements?

Refer to RP2 Module 3 study guide on current tax and how it is disclosed the financial statements.

> **Tutor tip:**
> In the Advanced Reporting and Performance assessment, you are more likely to be asked in detail about deferred tax than current tax, however, some easier marks may be available in a question for discussing the calculation and presentation of current tax.

Lesson 12: An introduction to deferred tax

What is the purpose of deferred tax?

Deferred tax brings forward future tax amounts to match them to the related income or expense.

Current tax is still calculated according to tax rules, and adjusted for any under- or overprovision in the previous year, however the tax charge in the SPL now includes an additional deferred tax element:

	£
Current tax on profits	X
Under- / overprovision for previous year	X/(X)
Deferred tax	**X/(X)**
Total tax charge in SPL	X

When a deferred tax charge (as a debit entry) increases the total tax charge, a deferred tax liability (a credit entry) is also recognised in the SOFP. This represents the fact that tax will be payable in the future. It is, however, important to realise that **this is not a present obligation to pay tax to HMRC.**

What are the limitations of deferred tax?

Temporary differences

For example, the expense related to writing off PPE (depreciation for accounting purposes and capital allowances for tax).

Deferred tax does compensate for these differences.

Permanent differences

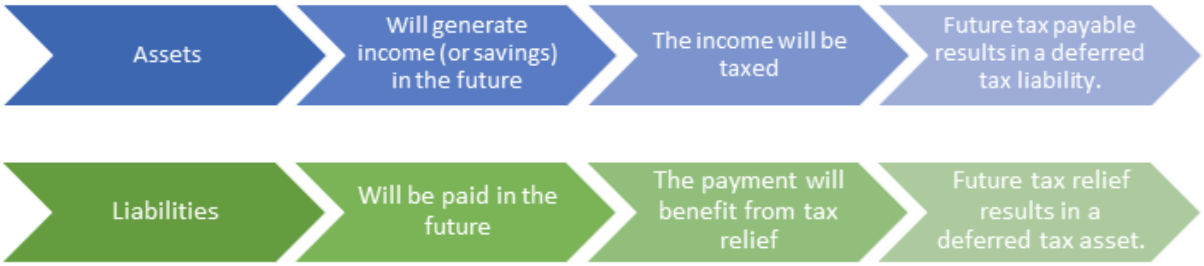
For example, client entertaining expenses never benefit from tax relief.

Deferred tax **does not** compensate for these differences.

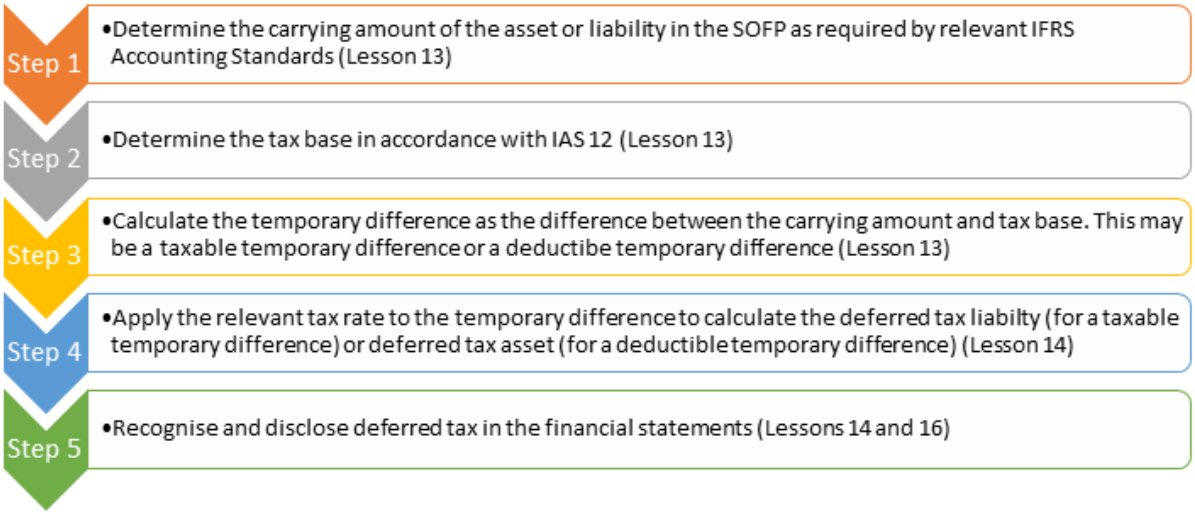
Since deferred tax does not compensate for all differences, a discrepancy between the income tax expense and profit before tax will always remain in the SPL.

What is the IAS 12 approach to deferred tax?

IAS 12's approach is to instead consider the **difference** between the **carrying amount of assets and liabilities** from an accounting and a tax perspective.



What steps should be followed to calculate and recognise deferred tax?



Lesson 13: Tax base and temporary differences

What is the tax base of an asset or liability?

Tutor tip:

When carrying out deferred tax calculations in APQs and assessment questions, it is a good practice to use a table, such as the one below.

This will help both you and the marker keep track of whether temporary differences are taxable or deductible.

Transaction	Carrying amount	Tax base	Taxable/(deductible) temporary difference	SPL or OCI?
	£000	£000	£000	
PPE at cost				
PPE revaluation				
Pension liability				
Tax losses				
Net taxable temporary difference				

The tax base of an asset is the amount attributed to the asset or liability for tax purposes.

Tax base of an asset	Tax base of a liability
The amount that will be deductible for tax purposes against economic benefits when the company recovers the carrying amount of the asset. If those economic benefits are not taxable tax base is equal to the carrying amount of the asset.	The carrying amount of the liability less amounts that will be deductible for tax purposes in the future. For revenue received in advance, the tax base is the carrying amount of the liability less revenue that will not be taxable in the future.

Assets	
A receivable of £100,000 that will not be taxed until it is received.	HMRC do not become aware of the £100,000 until the cash is received. **Therefore, the tax base is £nil.**
Trade receivables are £230,000 and the related revenue has already been included in taxable profit.	HMRC become aware of the £230,000 when the revenue is recognised for accounting purposes. **Therefore, the tax base is equal to carrying amount at £230,000.**
A machine cost £20,000 and has a carrying amount of £15,000. Its tax written down value (after capital allowances) is £12,000.	When the carrying amount of the machine is recovered (i.e. it generates an income of at least £15,000), the amount that will be deductible for tax purposes against this income is £12,000 (the cost of the machine that has not yet benefited from capital allowances). **Therefore, the tax base is £12,000.**
Liabilities	
A loan liability has a carrying amount of £250,000. The repayment of the loan has no tax consequences	The tax base is equal to the carrying amount of the loan (£250,000) less amounts that will be deducted for tax in the future (£nil). **Therefore, the tax base is £250,000.**
An accrual has a carrying amount of £5,000 and the related expense will benefit from tax relief when paid.	The tax base is equal to the carrying amount of the loan (£5,000) less amounts that will be deducted for tax in the future (£5,000). **Therefore, the tax base is £nil.**
Deferred income has a carrying amount of £120,000 and will be taxed when the revenue is recognised in the future.	The tax base is equal to the carrying amount of the liability (£120,000) less revenue that will not be taxable in the future (£nil). **Therefore, the tax base is £120,000.**
A defined benefit pension is in deficit and has a carrying amount of £700,000. This shortfall must be made up by the payment of extra contributions and these will benefit from tax relief when paid.	The tax base is equal to the carrying amount of the deficit (£700,000) less amounts that will be deducted for tax in the future (£700,000). **Therefore, the tax base is £nil.**

What is a temporary difference and how is it calculated?

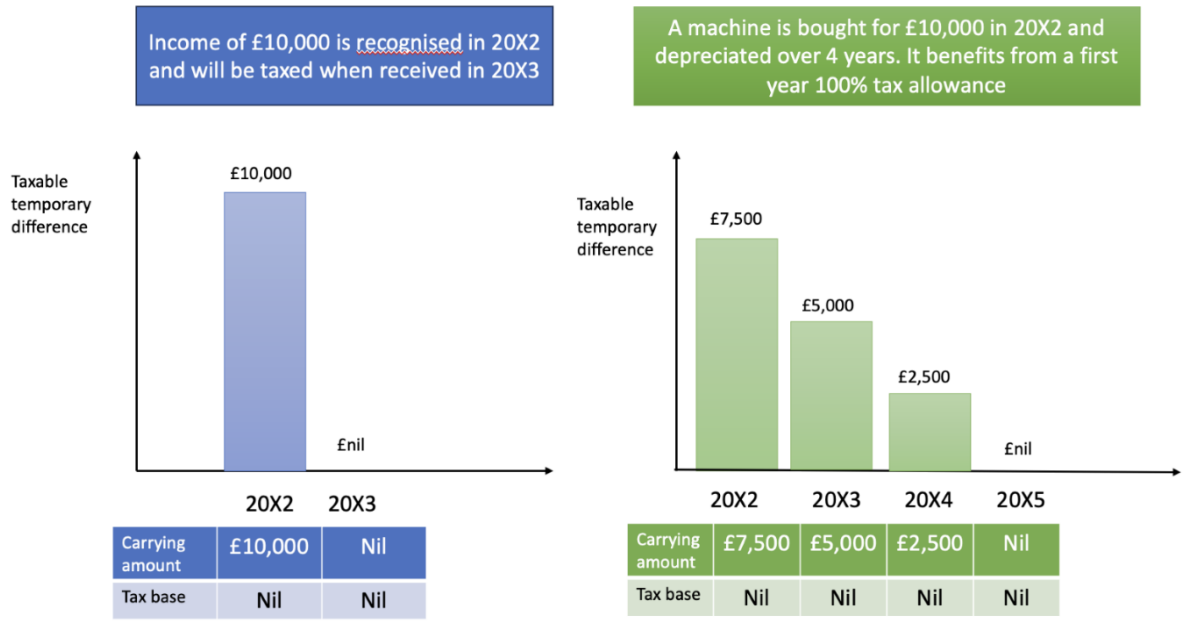
A temporary difference is calculated as the difference between the carrying amount and the tax base. Where the tax base is equal to the carrying amount there is no temporary difference and no deferred tax.

Taxable temporary difference: results in additional taxable amounts and therefore more tax payable in the future when the carrying amount of an asset or liability is recovered or settled.

Deductible temporary difference: results in less tax payable in the future when the carrying amount of an asset or liability is recovered or settled. This may be because there are greater deductions from taxable income in the future or it may be because related tax has already been paid.

Reversal of temporary differences

The nature of a temporary difference is that it is temporary and so it will reverse in the future.



Lesson 14: Measuring and recognising deferred tax

When does a deferred tax asset or liability arise?

Tutor tip:

In an Advanced Reporting and Performance question you should calculate a single net temporary difference before applying the tax rate to calculate the total deferred tax asset or liability for presentation on the SOFP.

Separate deferred tax assets and liabilities should only be calculated for each type of temporary difference if you are required to prepare a deferred tax disclosure note.

You should also calculate the separate deferred tax asset or liability for items that will be posted to the OCI so you can post the journal to the correct nominal codes.

As you saw in the previous lesson, a table can be a useful way to keep track of the taxable and deductible temporary differences.

How is a deferred tax asset or liability measured?

The tax rate that is expected to apply when the asset is realised, or the liability is settled.

Tutor tip:

In your Advanced Reporting and Performance assessment you may be required to provide advice on the calculation of deferred tax, in which case you should explain the IAS 12 requirements for the tax rate to apply to temporary differences. If you are required to calculate deferred tax, you will be given a tax rate to apply.

How is deferred tax recognised?

Profit or loss (within the tax charge)	Other comprehensive income (OCI)	Equity
All deferred tax expenses or credits other than those recognised in other comprehensive income (OCI) or equity.	Deferred tax expenses or credits relating to items recognised in OCI. For example, the revaluation of PPE .	Deferred tax expenses or credits relating to items recognised directly in equity. For example, deferred tax relating to a prior period adjustment to correct an error

When journalling to OCI, you should be specific. For deferred tax on Revaluation Surplus Dr/Cr OCI - Revaluation Surplus, for Deferred tax on Remeasurements on Pensions, Dr/Cr OCI - Retained Earnings.

What restrictions apply to the recognition of a deferred tax asset?

Deferred tax assets and prudence (IAS 12.24,27-29)

A deferred tax asset is only recognised if it is probable that there will be future taxable profits.

In the case of tax losses, however, IAS 12 makes it clear that the existence of recent tax losses is a strong indicator that future taxable profits will not be available to absorb a loss carried forward, and therefore recognition of a deferred tax asset may not be appropriate.

If a deferred tax asset is not recognised because future taxable profits are not probable, a company should reassess its position at each year end.

Lesson 15: Common deferred tax scenarios

How is deferred tax relating to depreciation calculated and recognised?

- **Carrying amount:** Calculated in accordance with IAS 16
- **Tax base:** Tax written down value (cost less capital allowances given)

Carrying amount exceeds tax base = taxable temporary difference = deferred tax liability

Tax base exceeds carrying amount = deductible temporary difference

How is deferred tax arising on a revaluation calculated and recognised?

Where an asset is revalued upwards, a revaluation surplus is recognised for accounting purposes. This is not recognised from a current tax perspective.

Therefore, additional deferred tax arises on top of that relating to accelerated capital allowances.

In Advanced Reporting and Performance, you should always assume that the temporary difference arising in relation to a revalued asset is equal to the revaluation surplus.

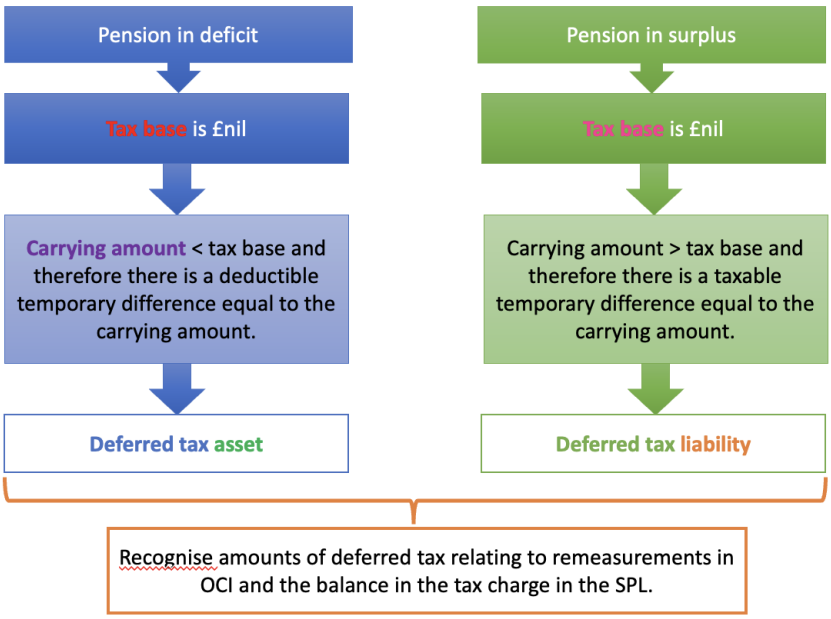
How is deferred tax relating to rollover relief calculated and recognised?

A taxable temporary difference arises when the gain is rolled over and it is equal to the amount of the gain. This gives rise to a deferred tax liability.

The temporary difference exists, and so a deferred tax liability is recognised, until the new asset is sold.

The same approach is adopted for holdover relief.

How is deferred tax relating to pension plans calculated and recognised?



Lesson 16: Presentation and disclosure of deferred tax

How are deferred tax amounts presented in the financial statements?

In Advanced Reporting and Performance deferred tax is presented as a single amount in the SOPF. Within this amount deferred tax assets and liabilities are offset.

Deferred tax that is recognised in profit or loss is included in the tax charge which must be presented in the SPL. This total is broken down into its major components in the tax disclosure note.

Deferred tax that is recognised in OCI may be presented within the SPLOCI:

- as a single line item in the OCI section of the SPLOCI (to include deferred tax relating to all OCI), or
- as separate line items relating to each individual element of OCI, or
- offset against the relevant item of OCI.

If not disclosed in the SPLOCI, the amount of tax relating to each item of OCI must be included in a disclosure note.

Deferred tax that is recognised directly in equity must also be disclosed.

How is deferred tax disclosed in the financial statements?

For each type of temporary difference, the amount of deferred tax assets/liabilities recognised in the SOFP in the current year and the comparative year and the amount of related income or expense recognised in profit or loss. This is commonly produced in the format of a reconciliation



Study guide checklist

Have you completed reading module 3?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 4 – Income & Expenses

Introduction

Welcome to the study guide for Module 4 of the Advanced Reporting and Performance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

SLO1 Advise on the requirements for financial Reporting and Performance in accordance with relevant standards

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

1.1 Construct, with appropriate workings, the financial statements for an individual company
1.3 Advise on the effect of transactions and adjustments on the financial statements of an individual company and of a group

This will be achieved by working towards the following performance indicators:

1.1.3 Evaluate the adequacy of disclosure notes in accordance with IFRS Accounting Standards for:
- Revenue
- Share-based payments
- Employee benefits

1.3.1 Advise on the effect of the following transactions and adjustments on the financial statements of an individual company:
- Revenue
- Share-based payments
- Employee benefits

You will be 'assessment ready' for questions in Module 4 when you can confidently complete each set of the learning outcomes above.

Lesson 1: Accounting Principles and the Conceptual Framework

What is the IFRS 15 five-step approach to revenue recognition?

Refer to RP2 Module 4 study guide for the IFRS 15 5 step approach to revenue recognition.

When is a contract within the scope of IFRS 15?

5 Criteria to be in scope of IFRS 15:

Approval: The parties to the contract have approved it and are committed to performing their respective obligations under the contract.

Rights: The entity can identify each party's rights regarding the goods or services to be transferred.

Payment terms: The entity can identify the payment terms for goods or services to be transferred.

Commercial Substance: The contract has commercial substance. This is the case if the risk, amount or timing of the company's cash flows is expected to change as a result of the contract.

Consideration: It is probable that the entity will collect the consideration that it will be contractually entitled to.

In evaluating probability, the entity should consider only the customer's ability and intention to pay the consideration when it falls due. The evaluation is not affected by the fact that variable consideration in the contract may reduce the amount of consideration to be received.

Unperformed contracts (IFRS 15.12)

IFRS 15 does not apply to a wholly unperformed contract that any party can terminate without paying compensation to the other party.

A contract is wholly unperformed if no goods or services have been transferred to the customer and the customer has not paid any consideration.

Lesson 2: IFRS 15 Performance obligations and transaction price

When is a promise in a contract a distinct performance obligation?

Refer to RP2 Module 4 Study guide for definition of performance obligation.

In the Advanced Reporting and Performance assessment, you may be required to analyse more complex scenarios to determine the number of performance obligations in a contract and therefore it is important that you understand this definition in full.

For a good or service to be distinct, it must meet two criteria;

1. The customer must be able to **benefit from the good or service** either on its own or together with other readily available resources; and
2. The promise to transfer the good or service must be **separately identifiable** from other promises in the contract.

How is the transaction price in a contract determined?

Refer to RP2 Module 4 Study guide for transaction price.

1. Exclude amounts collected for other parties
2. Adjust contract price if there is a significant financing component
3. Only include variable elements if it is highly probable that they will be reflected in the consideration received

How is variable consideration reflected in the transaction price?

Variable consideration is included in the transaction price (and so recognised as part of revenue) only if it is highly probable that a significant amount will not be reversed in the future when any uncertainty associated with the variable consideration is resolved.

This assessment requires a degree of judgement. Both the likelihood that variable consideration will be reversed and the magnitude of any reversal should be considered.

Reversal is more likely if:

- The amount of consideration is highly susceptible to factors outside the entity's control, e.g. weather
- Uncertainty about consideration is not expected to be resolved for a long time
- The entity's experience with similar contracts has limited predictive value
- The entity has a practice of offering a broad range of price concessions or changing the payment terms and conditions of similar contracts in similar circumstances
- The contract has a large number and a broad range of consideration amounts

Variable consideration should be reassessed at each period end until it is settled, taking into account any changes to expectations.

If the transaction price changes, this is accounted for as a change in accounting estimate. Therefore, previously recognised revenue is not restated.

Refund liabilities (IFRS 15.55, B21, B24)

The expected level of refunds should be reflected in the measurement of revenue.

Any amount received from customers that is not recognised as revenue, because it is expected to be refunded, is instead recognised as a refund liability. A refund liability should be updated at the end of each reporting period for changes in circumstances. Where refunds relate to customer returns (rather than a price rebate), an adjustment for returns is made to cost of sales as well as revenue.

How are revenue contracts that include non-cash consideration accounted for?

'Exchange transaction' is only within the scope of IFRS 15 if the goods or services exchanged have different risks and cash flows, i.e., has commercial substance.

Where consideration is not in the form of cash, the transaction price is determined using the following hierarchy:

Use the fair value of non-cash consideration provided by the customer, if it can be reasonably estimated.

1. If not, use the stand-alone selling price of goods or services provided by the seller, if it can be reasonably measured.
2. If not, no revenue or cost of sales is recognised.

Lesson 3: IFRS 15 – Allocation of transaction price and revenue recognition

How is the transaction price allocated to performance obligations?

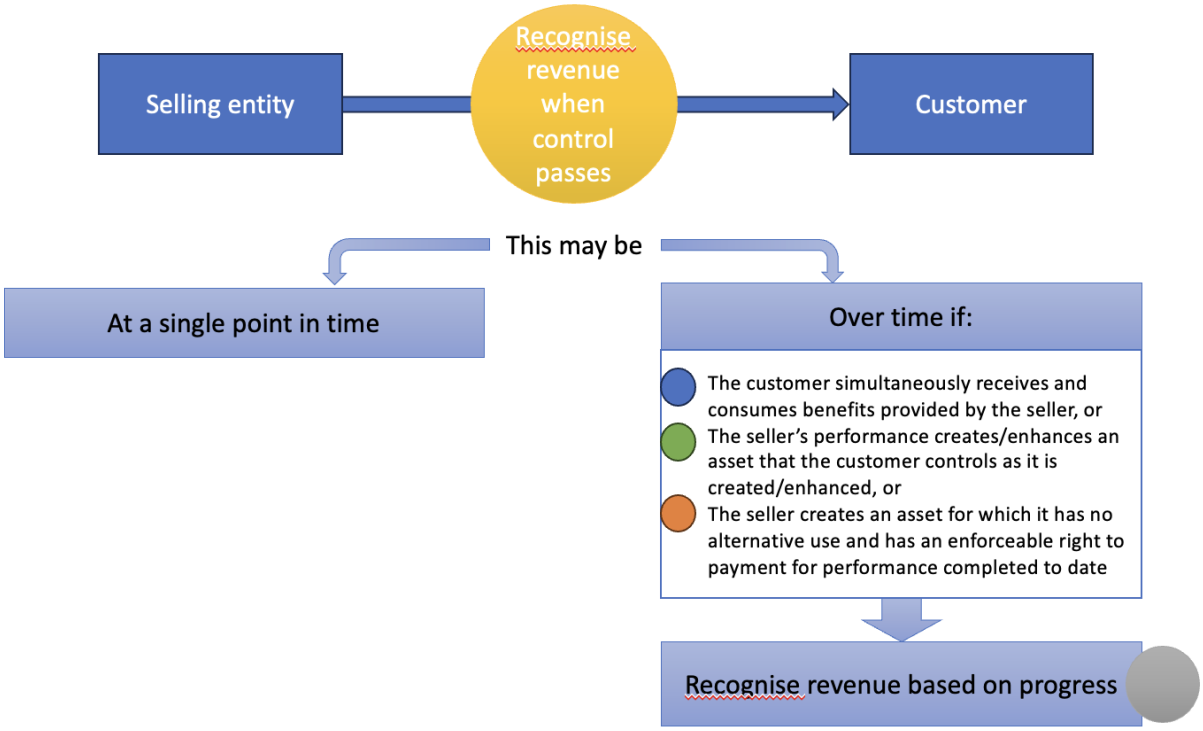
Stand-alone selling price (IFRS 15.79)

In RP2, it was assumed that stand-alone selling prices for goods and services provided in a contract would be available. This is not always true, and you may be required to estimate the stand-alone selling price.

Adjusted market assessment
Estimate the amount that a customer in that market would be willing to pay, taking into account the amounts charged by competitors for similar goods/services.

Expected cost plus margin
Forecast the costs to satisfy a performance obligation and then add an appropriate margin for that good/service.

When should revenue be recognised over time?



How is revenue recognised over time?

Recognition over time: input and output methods (IFRS 15.40-41, B17-B19)

Input methods	Output methods
There may not be a direct relationship between the seller's inputs to the satisfaction of a performance obligation and the transfer of control to the customer	Outputs used to measure progress may not be directly observable and the information required to use an output method may not be available without undue cost, for example paying a surveyor to certify work completed.

When does control pass to the customer?

Often control is transferred when goods are delivered to the customer, but in more complex scenarios judgement may be required to determine at which point in time control is passed.

Some indicators of transfer of control:

1. The seller has a present right to payment for the asset
2. The customer has legal title to the asset
3. The seller has transferred physical possession of the asset to the customer
4. The entity has transferred the significant risks and rewards of ownership of the asset to the customer
5. The customer has accepted the asset

Tutor tip:

In an assessment question, in which you are required to provide advice on a judgemental issue, make sure that you do not jump to the conclusion, even if you think it is obvious. Marks will be available for walking through your thought process by stating the requirements of the IFRS Accounting Standard and then applying them to the scenario before reaching a conclusion.

Lesson 4: Revenue recognition scenarios

Application guidance

An appendix to IFRS 15 provides guidance on its application to specific scenarios. You may see some of these scenarios in your ARP assessment. They include:

1. Sales made by a company acting as an agent for another party
2. Sales with a right of return
3. Non-refundable upfront fees
4. Bill-and-hold sales
5. Consignment sales
6. Extended warranties
7. Sale and repurchase transactions

How are non-refundable up-front fees accounted for?

If the up-front fee relates to the transfer of a promised good or service, and that good or service is a distinct performance obligation, revenue should be recognised when the performance obligation is satisfied.	If the up-front fee does not relate to a distinct performance obligation, it is a prepayment for the goods or services provided throughout the contract period and should be recognised as revenue over that period.

When is revenue recognised in a bill and hold transaction?

In a **bill-and-hold arrangement**, the selling company takes payment for goods from a customer but it holds the goods at its own premises until the customer requires them.

Revenue is recognised when the customer obtains control of the goods. In a bill-and-hold arrangement, this is the case only if ALL of the following conditions are met:

- The reason for the bill-and-hold arrangement is substantive (i.e. there is a genuine business reason for the arrangement)
- The goods are labelled as belonging to the customer
- The goods are ready for immediate transfer to the customer
- The selling company cannot use the goods or sell them to another party

When is revenue recognised on a consignment sale?

A manufacturer of goods may transfer them to a retailer who displays them with the aim of selling them to the final customer. This is known as a **consignment sale**.

The manufacturer can only recognise revenue when it transfers control of its goods to another party.

If goods are held 'on consignment' by the retailer or dealer, the manufacturer has not transferred control of the goods to them as the goods may be returned. In this case, the manufacturer can only recognise revenue when the goods are sold to the final customer.

Consignment arrangements and agency

There is a secondary issue in an arrangement in which a retailer or dealer sells goods on a manufacturer's behalf.

If the retailer is acting as an agent on behalf of the manufacturer and is paid a commission:

	Manufacturer	Retailer
Revenue	Price charged to the final customer	Commission from manufacturer
Expense	Manufacturing cost plus commission paid to retailer	-

If the retailer is the principal in the transaction with the final customer:

	Manufacturer	Retailer
Revenue	Price charged to retailer	Price charged to final customer
Expense	Manufacturing cost	Price paid to manufacturer

When does a warranty form a separate performance obligation?

Whilst IAS 37 applies to a standard warranty, IFRS 15 applies to an extended warranty.

Extended warranty

A promise over and above the promise made under the standard warranty, for example, to correct problems for an additional 2 years after the standard warranty expires, or to correct problems not covered by the standard warranty. This type of warranty may be sold to the customer or provided free of charge.

The extended warranty is a separate performance obligation in the contract and is allocated some of the transaction price in the contract.

Revenue in relation to the extended warranty is recognised over the extended warranty period.

Any costs of extended warranty repairs are costs to fulfil the contract with the customer and should be recognised as incurred.

How is a sale and repurchase transaction accounted for?

In order to release cash, a company may enter into a contract to sell an asset, usually to a bank or a finance house, and then repurchase it at a later date. This is known as a sale and repurchase transaction. Although legal title to the asset passes to the other party, the asset might not be physically transferred to them.

The repurchased asset may be:

- The asset that was originally sold to the other party
- An asset that is substantially the same as the asset that was originally sold to the other party, or
- An asset that includes the asset that was originally sold as a component

Here are three types of repurchase agreement:

- A **forward** option, in which the company that sold the asset is obliged to repurchase it at a later date
- A **call** option, in which the company that sold the asset can choose to repurchase it at a later date, however, is under no obligation to do so
- A **put** option, in which the party that bought the asset can require the selling company to repurchase it at a later date

A sale is only recognised if control of the asset has passed from the selling company to the other party.

IFRS 15 provides guidance on whether control passes where the repurchase agreement takes the form of a **forward or a call option** and a different set of requirements where the agreement takes the form of a **put** option.

Only **forward** and **call** options will be assessed in Advanced Reporting and Performance. You will not be expected to account for sale and repurchase transactions which involve a **put** option.

The repurchase price is more than the selling price and the transaction is a sale and leaseback with the repurchase at the end of the lease term.	IFRS 16 *Leases* is applied to the sale and leaseback element of the transaction first (see the previous module on liabilities). As a result of the repurchase option, the transfer of the asset is not a sale. Therefore, IFRS 16 requires that this is recognised as a **financing arrangement** and IFRS 9 applies.

Example

Broderick Creamery Ltd (Broderick) manufactures and sells cheese, including its award-winning 10-year old vintage Cheddar cheese. On 8 April 20X2, it sold 50,000kg of Cheddar to Northern Bank for £500,000. The sales contract stipulated that Broderick must repurchase all 50,000kg of Cheddar on 8 April 20X8 for £580,000.

The sale contains a **forward** and Broderick is obligated to repurchase the Cheddar.

How would this transaction be accounted for?

Solution

Since the repurchase price of £580,000 exceeds the selling price of £500,000, this is accounted for as a financing transaction.

The cheese remains in Broderick's accounts as inventory and the following journal entry is made to record the sale contract:

	Account name	£	£
Dr	Bank	500,000	
Cr	Loan		500,000

Being the recognition of proceeds from Northern Bank.

Over the 6-year period to 8 April 20X8, the interest expense is recognised by:

	Account name	£	£
Dr	Interest expense	80,000	
Cr	Loan		80,000

Being the recognition of interest expense

On the repurchase date, the payment is recognised by:

	Account name	£	£
Dr	Loan	580,000	
Cr	Bank		580,000

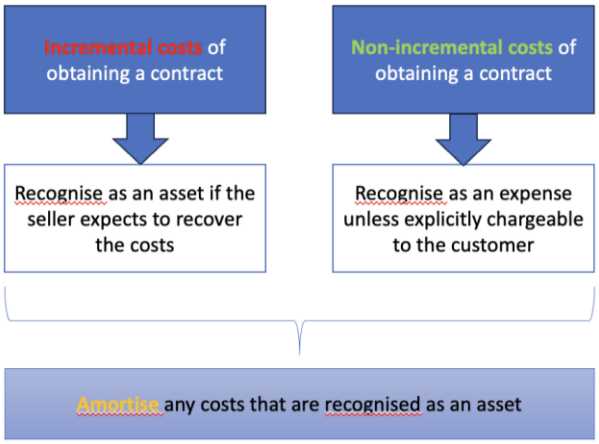
Being the repurchase / repayment of the amount due to Northern Bank.

The IFRS 9 effective interest method is applied and the interest expense accrues to the loan at a constant rate over the 6-year period.

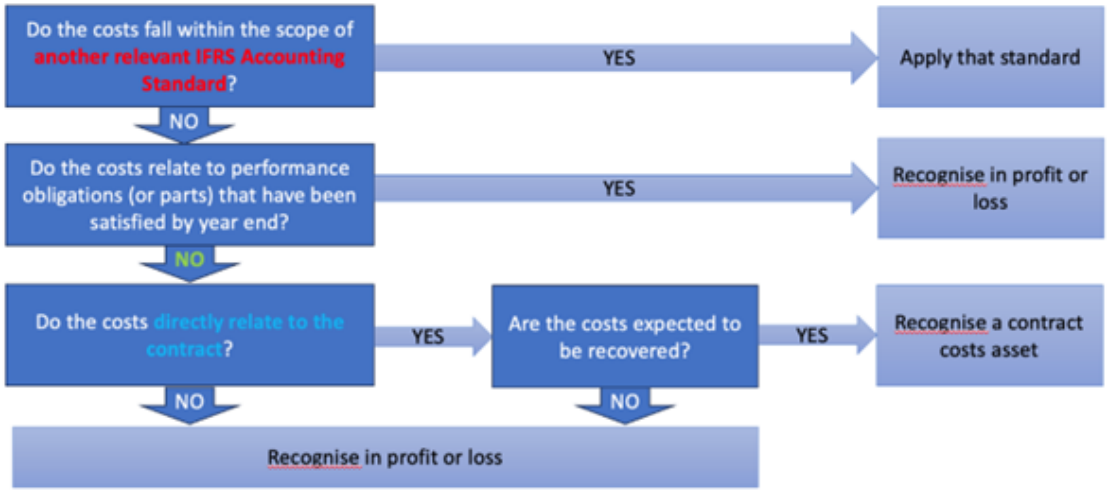
If the contract had contained a **call** option rather than a forward, and Broderick had not exercised its option, the loan would have been derecognised and revenue recognised instead.

Lesson 5: IFRS 15 – Contract costs, presentation and disclosure of revenue

What accounting treatment is applied to costs to obtain a contract?



What accounting treatment is applied to costs to fulfil a contract?



Some costs to fulfil a contract are always recognised as expenses when incurred. They are:

- General and administrative costs (unless rechargeable to the customer)
- The cost of wasted materials and resources that were not reflected in the contract price

What accounting treatment is applied to a loss-making contract?

A onerous contract is **A contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it.**

In this case, IFRS 15 is applied to measure and recognise revenue and costs incurred, and then IAS 37 is applied to ensure that the overall expected loss is recognised.

Example

Bolling Ltd (Bolling) has entered into a non-cancellable contract to construct a series of log cabins for a holiday park. The customer will control the log cabins as they are created.

The transaction price is £5 million and future unavoidable costs of the contract are estimated to be £3.85 million due to unexpected increases in the price of timber. There is no contract clause to pass this increase back to the customer.

The contract started in the year ended 31 December 20X6 and Bolling has applied IFRS 15 and recognised revenue of £2 million and costs of £1.2 million in the year.

Required

What further accounting entries are required to reflect the fact that the contract is expected to make a loss?

Solution

Overall the contract is expected to make a loss, calculated as follows:

	£'000
Transaction price	5,000
Costs incurred to date	(1,200)
Future expected costs	(3,850)

Loss	(50)

To date a profit of £800 has been recognised, calculated as:

	£'000
Revenue recognised	2,000
Costs recognised	(1,200)
	800

Therefore a provision for £850,000 should be recorded to reflect future expected losses, which can be calculated as:

	£'000
Transaction price	5,000
Revenue recognised to date	(2,000)
Future revenue	3,000
Future expected costs	(3,850)
Future expected losses	850

This reverses the previously recognised profit of £800,000 and recognises the overall expected loss of £50,000.

It is recognised by:

	Account name	**£**	**£**
Dr	Cost of sales	850,000	
Cr	Provision for onerous contract		850,000

Being the recognition of a provision for the onerous contract

How is revenue presented and disclosed in the financial statements?

Refer to RP2 Module 4 study guide for presentation and disclosure of revenue in the financial statements.

Tutor tip:

In Advanced Reporting and Performance, you should assume that:

1. The selling company has a right to payment that is unconditional other than for the passage of time if recognised revenue has been invoiced. Therefore, a trade receivable is the difference between revenue invoiced to a customer and cash receipts from the customer.
2. The selling company has a right to payment that is conditional on something other than the passage of time if recognised revenue has not been invoiced. Therefore, a contract asset is the difference between recognised revenue and revenue invoiced to a customer.

Disclosures associated with revenue can be lengthy and may feature in more than one disclosure note. You should select a set of published financial statements to review the presentation and disclosure of revenue in full. Be aware that you will not be required to prepare full revenue disclosures in the Advanced Reporting and Performance assessment.

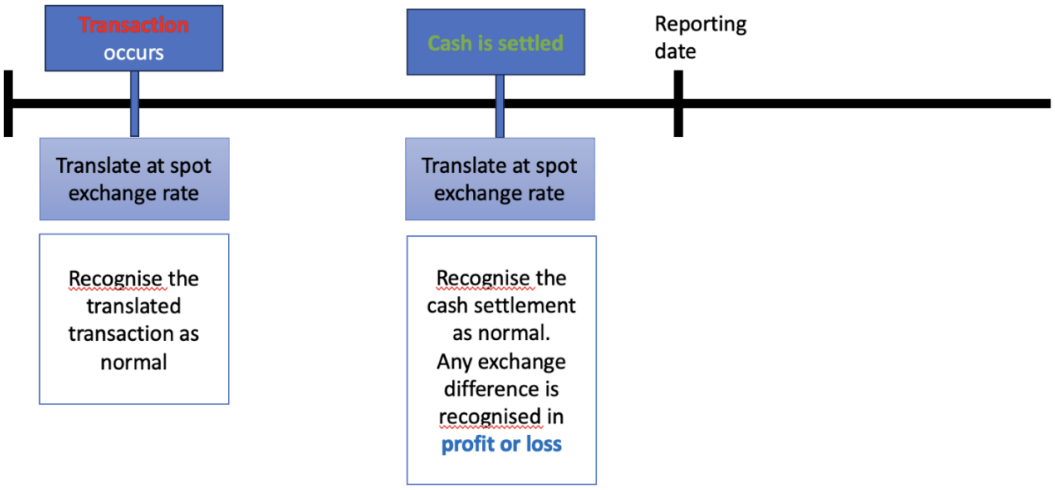
Lesson 6: Foreign currency and exchange differences

What are monetary items?

Refer to RP2 Module 4 study guide for monetary items.

How are a foreign currency transaction and its subsequent settlement recognised?

Foreign currency transactions settled BEFORE the reporting date.



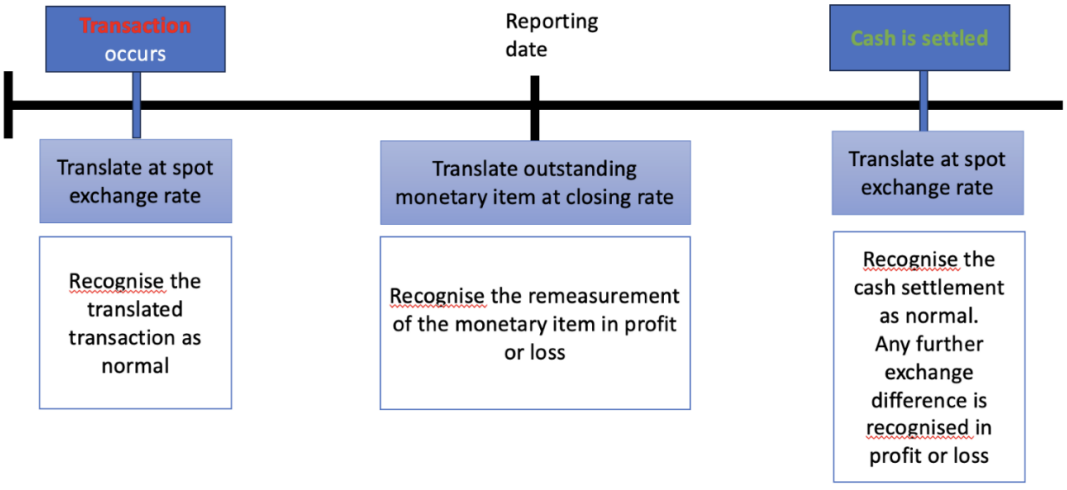
Exchange differences on trading transactions relating to operations (e.g. sales or purchases) are recognised within the operating section of the Statement of profit or loss.

Exchange differences on financing transactions (e.g. borrowing money) are recognised within the financing section of the Statement of profit or loss.

Exchange differences on investing transactions (e.g. interest income) are recognised within the investing section of the Statement of profit or loss.

When and how are foreign currency balances in the SOFP remeasured?

Foreign currency transactions settled AFTER the reporting date.



Where the exchange difference is presented in the SPL will depend on the transaction that gave rise to the translation - for example, if the translation is of a Trade payables balance, this will be presented in the operating category.

Non-monetary items in the statement of financial position

Measured at historical cost - These items include inventory and PPE and investment property measured using the cost model. Measure these items using the exchange rate at the acquisition date. Do not retranslate.

Measured at fair value - These items include PPE measured using the revaluation model (IAS 16) and investment property measured using the fair value model (IAS 41). Retranslate using the spot exchange rate on the date of the most recent valuation. Recognise exchange differences in profit or loss (P/L) or other comprehensive income (OCI) in line with the recognition of a change in fair value.

How are foreign currency transactions disclosed?

IAS 21 requires that the following are disclosed:

1. The amount of exchange differences recognised in profit or loss (except for those arising on financial instruments measured at fair value through profit or loss in accordance with IFRS 9).
2. Net exchange differences recognised in other comprehensive income and accumulated in a separate component of equity.
3. A reconciliation of exchange differences accumulated in a separate component of equity at the beginning and end of the period.

Lesson 7: Employee benefits

How are short-term benefits and defined contribution pension plans accounted for?

Refer to RP2 Module 4 study guide for short-term benefits and defined contribution pension plans.

How are defined benefit pension plans accounted for?

Refer to RP2 Module 4 study guide for defined benefit pension plans.

Calculation of net interest expense/income

You learnt in Reporting and Performance 2 that, in order to calculate interest income on plan assets and the interest expense on the pension obligation, adjustments must be made to the brought-forward (b/f) balances as follows:

Contributions made or benefits paid at the start of the year	Adjust b/f balance by the full amount of contribution/benefit
Contributions made or benefits paid at the end of the year	Do not adjust b/f balance
Contributions made or benefits paid evenly throughout the year	Adjust b/f balance by half of the contribution/benefits

In Advanced Reporting and Performance, you may also see mid-year contributions/benefit payments. In this case, you should adjust the brought forward balance by half of the contribution / benefits when calculating the interest income and interest expense.

What are amendments, curtailments and settlements and how are they accounted for?

Types of change to pension plans

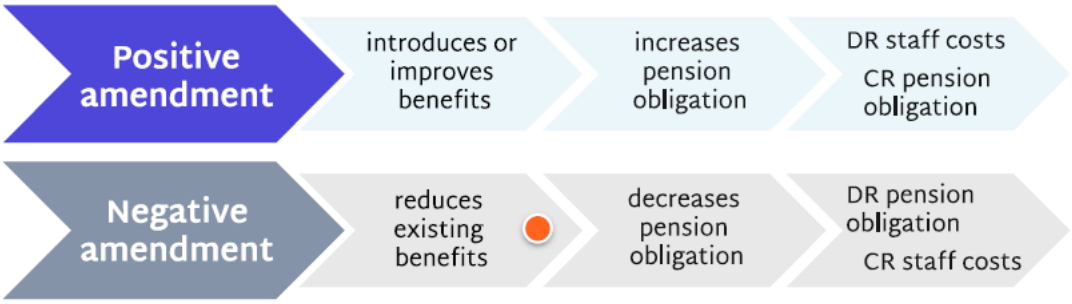
Amendment	The introduction or withdrawal of a defined benefit pension plan. Changes to future benefits provided by an existing pension plan, e.g. an increase in % of final salary to be paid.
Curtailment	Significant reduction in the number of employees covered by a plan, e.g. as a result of redundancies made on closure of a division.
Settlement	A transaction to eliminate all or part of the pension obligation, e.g. transfer of the obligation to another plan due to sale of a business.

Accounting for an amendment

Where an amendment occurs in the current period and results in an increase or decrease to the existing pension obligation relating to employee service provided in the past, a past service cost is recognised in profit or loss in the current period.

The past service cost is measured as the difference in the present value of the pension obligation before and after the amendment. This is advised by an actuary.

A past service cost may be positive or negative.



What is a curtailment to a pension plan and how is it recognised?

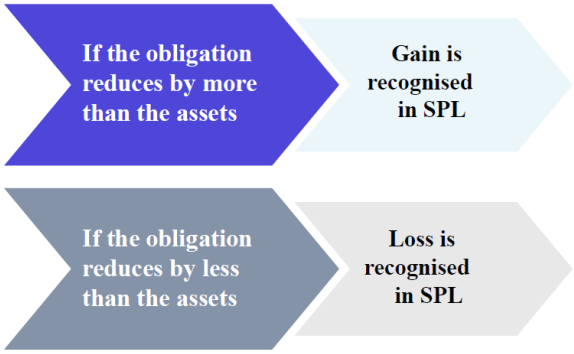
Accounting for a curtailment

A curtailment results in a reduction in the pension obligation due to the withdrawal of existing benefits. This is accounted for as a past service cost:

	Account name	£	£
Dr	PV of obligation	X	
Cr	Staff costs		X
Being the past service cost in relation to a curtailment			

What is a settlement and how is it recognised?

Accounting for a settlement



A settlement eliminates all or part of the pension obligation. Plan assets are also likely to reduce, either because they are used to make a lump sum payment, or they are transferred to another party alongside the pension obligation.

How are employee benefits presented and disclosed?

	Presentation in financial statements	Disclosure notes
Short-term employee benefits	Presented as an operating expense in SPL (within staff costs)	No specific requirements but consider requirements of **other standards, e.g.:** • IFRS 18 *Presentation and disclosure in Financial Statements* requires the disclosure of total employee expense • IAS 24 *Related Party Disclosures* requires the disclosure of key management personnel remuneration.
Defined contribution pension plans	Presented as an operating expense in SPL (within staff costs)	Disclose the defined contribution expense in the year and consider **other standards, e.g.** pension contributions made for key management personnel should be disclosed in accordance with IAS 24 *Related Party Disclosures.*
Defined benefit pension plans	• Presented as an asset or liability in the SOFP • Current service cost and past service cost are presented as operating expenses in SPL (within staff costs) • Net interest presented as interest expense/interest income in SPL • Remeasurements presented as OCI-Retained Earnings	• Explanation of characteristics of plans and associated risks • Explanation of amounts in financial statements (including separate reconciliations for pension assets and pension obligations) • Description of effect on amount, timing and uncertainty of future cash flows Consider the requirements of **other standards, e.g.** IAS 24 *Related Party Disclosures* requires disclosure of: • Related party transactions with pension plans and • Pension benefits for key management personnel

Lesson 8: Share-based payments

What are share-based payments?

A share based payment is: **A transaction in which an entity makes payment to a supplier or employee in the form of its own equity instruments (shares or share options) or a cash amount related to the value of those instruments.**

Equity-settled share-based payments
Payment is in the form of shares or share options.

Cash-settled share-based payments
Payment is in the form of an amount of cash related to the share price.

Share-based payments with a choice of settlement
Payment is either equity-settled or cash-settled at the option of either the entity or the counterparty.

Share-based payments with a choice of settlement are not within the Advanced Reporting and Performance syllabus and you will not learn any further detail about them.

How are equity and cash-settled share-based payments recognised?

Equity-settled share-based payment

Dr Expense / asset
Cr Equity
Being the recognition of an equity-settled share-based payment.

The asset or expense account used depends on the nature of goods or services acquired, e.g. staff costs, purchases, inventory, property, plant and equipment.

IFRS 2 does not stipulate the equity reserve to be used.

- If shares are issued immediately, you should use share capital/share premium.
- If share options are issued, you should use retained earnings.

Cash settled share-based payment

Dr Expense/asset
Cr Liability
Being the recognition of a cash-settled share-based payment.

The asset or expense account used depends on the nature of goods or services acquired, e.g. staff costs, purchases, inventory, property, plant and equipment.

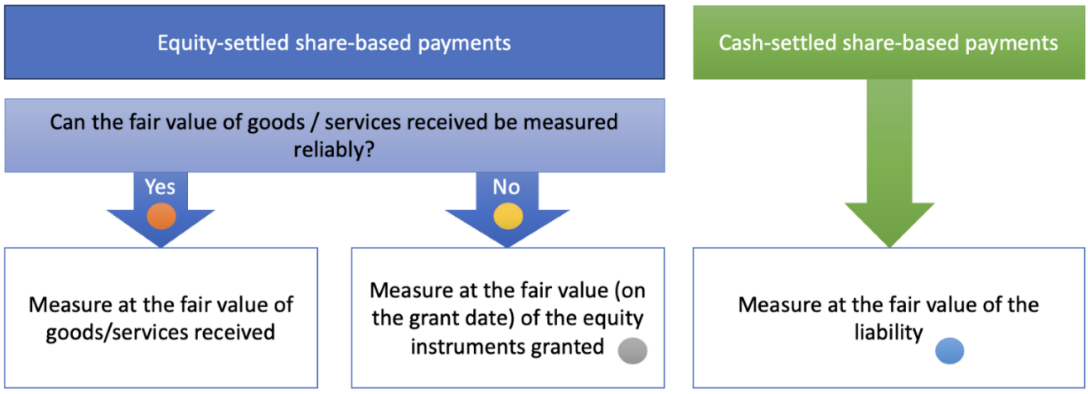
The liability represents the obligation to pay cash at a future date. You should use the 'other payables' account.

A share-based payment transaction is recognised when goods or services are received from the supplier or employee. This may be at **a point in time or over a period of time.**

The impact on distributable reserves

Although a credit entry is made to retained earnings where payment is in the form of share options, this does not affect distributable reserves and no adjustment is required because the credit entry is legally considered to be distributable.

How are equity and cash-settled share-based payments measured?



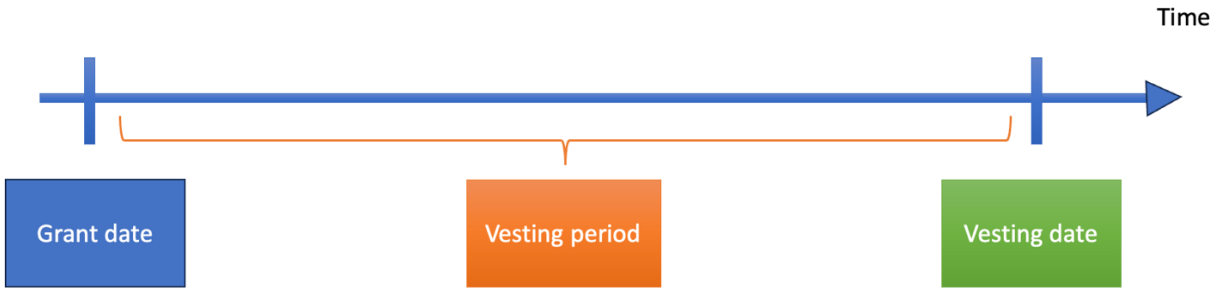
Summary of principles for share-based payments

The following table summarises the recognition and measurement principles that you have learnt in this lesson:

	Equity-settled share-based payments	Cash-settled share-based payments
How are they recognised?	Dr Expense/asset Cr Share capital/share premium/ retained earnings	Dr Expense/asset Cr Other payables
When are they recognised?	At a point in time or over time, when or as related goods/services are provided.	
How are they measured?	Fair value of goods/services provided Or Fair value at the grant date of equity instruments granted. The fair value is not remeasured subsequent to the grant date.	Fair value of the liability. It is remeasured at each period end until settled.

Lesson 9: Equity-settled share-based payments

What are grant dates, vesting periods and vesting dates?



Grant date	The date on which the entity and counterparty agree to a share-based payment arrangement.
Vesting period	The period between grant date and vesting date.
Vesting date	The date on which the counterparty is entitled to receive the equity instruments granted.

How are equity-settled share-based payment transactions with suppliers recognised?

Equity-settled share-based payments with suppliers are:

- Usually recognised immediately (because they vest immediately)
- Measured at the fair value of goods or services supplied, assuming these can be measured reliably

How are equity-settled share-based payment transactions with employees recognised?

Equity-settled share-based payments with employees:

- Are measured at the fair value of instruments granted at the grant date
- Usually require a period of service to be completed (vesting condition)

The equity instruments are provided as consideration for work performed during the required period of service and the transaction is therefore recognised over this period.

What are vesting conditions and how do they affect accounting for share-based payment transactions?

Vesting conditions are:

The conditions that must be met during the vesting period in order for the counterparty to become entitled to equity instruments (or cash) in a share-based payment transaction.

Service conditions

A requirement for an employee to complete a specified period of service before they are entitled to the equity instruments granted to them.

The number of equity instruments expected to vest is updated at each reporting date for new information about leavers.

Performance conditions related to share price

An additional requirement for a performance target related to the share price to be met while the employee delivers service to the company, e.g. share price must exceed £7.50. These are referred to as market performance conditions.

No adjustment is made to the measurement of the share-based payment.

Performance conditions unrelated to share price

An additional requirement for a performance target not related to share price to be met while the employee delivers service to the company, e.g. revenue must increase by 10% or profits must reach a certain level. Performance targets can be related to the entity, part of the entity or the individual. These are referred to as non-market performance conditions.

The number of equity instruments expected to vest is updated at each reporting date for new information about whether performance conditions are expected to be met.

What accounting treatment applies to share options after the vesting date?

After the vesting date, employees may **exercise** their share options (i.e. buy shares at the option price), or they may let them **lapse** (i.e. fail to exercise the options within the allowed timeframe).

Options are exercised	Options lapse
Dr Bank Cr Share capital Cr Share premium Can transfer cumulative credit made to retained earnings throughout the vesting period to another balance within equity.	No accounting entry is required. Can transfer cumulative credit made to retained earnings throughout the vesting period to another balance within equity.

Lesson 10: Cash-settled share-based payments

How are cash-settled share-based payments recognised and measured?

Cash-settled share-based payments are usually a form of reward provided to employees in exchange for their services. They may take the form of:

- Share appreciation rights (SARs), which grant employees a right to a future cash payment that is based on an increase in share price over a defined period
- A right to shares that are redeemable

In Advanced Reporting and Performance, cash-settled share-based payments will take the form of share appreciation rights (SARs).

Recognition	Measurement
• Recognise as a liability: Dr Expense / asset Cr Other payables • Recognise when goods or services are provided.	**Measurement** • Measure at the fair value of the liability • Remeasure at each reporting date and the settlement date
Any remeasurement gains or losses are recognised in profit or loss. This is the case even if the share-based payment qualifies for recognition as an asset.	

How do vesting conditions affect accounting for cash-settled share-based payments?

Vesting conditions are reflected in the measurement of cash-settled share-based payments in the same way as equity-settled.

Lesson 11: Disclosure of share-based payments and deferred tax

How are share-based payments disclosed in the financial statements?

General information	Fair Values	Effects on financial statements
Information should be provided that allows users to understand the nature and extent of share-based payment arrangements in the period. This includes: • A description of each type of arrangement, including vesting conditions.	Information should be provided that allows users to understand how the fair value of goods or services received or the fair value of instruments granted in the period was determined.	Information should be provided that allows users to understand the effect of share-based payment transactions on profit or loss for the period and on its financial position. Disclosed information should include:

• The number and weighted average exercise price of share options that were: – outstanding at the start and end of the period – granted during the period – lapsed during the period – exercised during the period – expired during the period – exercisable at the end of the period		• The total expense in the period, including separate disclosure of the expense arising from equity-settled share-based payments • The carrying amount of share-based payment liabilities at the end of the period

How is deferred tax calculated in relation to cash-settled share-based payments?

A cash-settled share-based payment results in the recognition of a liability at the reporting date and therefore deferred tax should be considered.

Carrying amount The carrying amount should be calculated in accordance with IFRS 2, as described in Lesson 9.	**Tax base** The tax base of a liability is its carrying amount less any amount that will be deductible for tax purposes in future periods. In the UK, employee remuneration payable is only tax allowable if it is paid within nine months of the year end. Therefore no tax relief will have been given for a cash-settled share-based payment liability due in more than nine months. The tax base of the liability is therefore nil, because the full carrying amount will be deductible for tax purposes when paid.
Temporary difference The amount of the temporary difference is the carrying amount of the share-based payment liability due in more than nine months. It is a deductible temporary difference because tax relief will be given equal to the carrying amount in the future.	**Deferred tax** A deferred tax asset is calculated by applying the relevant tax rate to the temporary difference.

In the Advanced Reporting and Performance assessment, you should treat any non-current share-based payment liability as a deductible temporary difference unless more specific information is provided (i.e. the liability is due in more than 9 months).

Although the tax treatment of equity-settled share-based payments also give rise to a temporary difference, this is not within the ARP syllabus.



Study guide checklist

Have you completed reading module 4?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 5 – Financial Instruments

Introduction

Welcome to the study guide for Module 5 of the Advanced Reporting and Performance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

SLO1 Advise on the requirements for financial reporting and performance in accordance with relevant standards

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

1.1 Construct, with appropriate workings, the financial statements for an individual company
1.3 Advise on the effect of transactions and adjustments on the financial statements of an individual company and of a group

This will be achieved by working towards the following performance indicators:

1.1.3 Evaluate the adequacy of disclosure notes in accordance with IFRS Accounting Standards for:
- Financial instruments
- Share capital

1.1.6 Advise on distributable profits and calculate the amount of distributable profits in non-complex situations
1.3.1 Advise on the effect of the following transactions and adjustments on the financial statements of an individual company
- Financial instruments
- Share capital

You will be ‘assessment ready’ for questions in Module 5 when you can confidently complete each set of the learning outcomes above.

Lesson 1: Presentation of financial instruments

What are financial instruments, financial assets and financial liabilities?

Refer to RP2 Module 5 study guide for definition of financial instruments, financial assets and financial liabilities.

How are preference shares classified?

Refer to RP2 Module 5 study guide for how preference shares are classified.

In Advanced Reporting and Performance, you will not be required to account for redeemable preference shares with a discretionary dividend that is classified as a compound instrument.

How does IAS 32 extend the definitions of financial asset and financial liability?

IAS 32 extends the definitions of financial asset and financial liability beyond those that you encountered in RP2.

Financial Asset	Financial Liability
A contract that will or may be settled in the entity's own equity instruments and is one of the following: • A non-derivative for which the entity is or may be obliged to receive a variable number of its own equity instruments • A derivative that will or may be settled other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments.	A contract that will or may be settled in the entity's own equity instruments and is one of the following: • A non-derivative for which the entity may be obliged to deliver a variable number of its own equity instruments • A derivative that will or may be settled other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments.

If a contract will or may be settled in a **fixed** number of a company's own equity instruments, it is an **equity instrument** (a decrease to equity if shares will be received and an increase to equity if shares will be issued).

This is known as the "fixed-for-fixed" test. The contract will be settled by the exchange of a fixed amount of cash (or another financial asset) for a fixed number of the entity's own equity instruments.

IAS 32 says that if either side is variable, the contract fails the fixed-for-fixed test and cannot be classified as equity.

Convertible debt (or preference shares) that is/are denominated in a foreign currency and convertible at the option of the holder is presented as a liability in its entirety, because it fails the 'fixed for fixed' test, i.e. a fixed number of shares is not exchanged for a fixed amount of cash.

In the Advanced Reporting and Performance assessment, you will not be required to account for a financial asset or a financial liability that is settled in a variable number of a company's own equity instruments, but you may be expected to identify and explain whether such transactions are financial assets or financial liabilities.

Lesson 2: Convertible debt and compound financial instruments

When are convertible instruments classified as compound instruments?

Convertible instruments and the definition of a financial liability

In Lesson 1, you saw that convertible debt (or preference shares) that is/are denominated in a foreign currency and convertible at the option of the holder is presented as a liability in its entirety, because it fails the 'fixed for fixed' test, i.e. a fixed number of shares is not exchanged for a fixed amount of cash.

In Advanced Reporting and Performance, you will not be required to account for convertible instruments that are financial liabilities in their entirety.

You can assume, for the purposes of ARP, that any convertible instruments that you are required to account for are classified as compound instruments.

Convertible instruments that are compound instruments

Many convertible instruments pass the 'fixed for fixed' test, because a fixed amount of cash is exchanged for a fixed number of ordinary shares. In this case, a convertible instrument is excluded from the definition of a financial liability in full.

Instead, it is classified as a compound instrument and includes a financial liability component and an equity component. IAS 32 requires that each of these components is presented separately. Select each of the following tabs to learn more about these two components.

How are compound instruments presented in the financial statements?

Refer to RP2 Module 5 study guide for how to determine the liability and equity elements of compound instruments.

How are compound instruments accounted for at maturity?

Accounting for compound instruments at maturity

<table>
<tr><th></th><th>Financial liability component</th><th>Equity component</th></tr>
<tr><td>If instrument holders redeem for cash</td><td>Dr Financial liability
Cr Bank
Being the redemption of convertible instruments.</td><td rowspan="2">Dr Reserve for convertible debt/preference shares
Cr Retained earnings
Being the transfer of the equity component at maturity

This transfer is optional. You should assume that it will be made at ARP.</td></tr>
<tr><td>If instrument holders convert to ordinary shares</td><td>Dr Financial liability
Cr Share capital
Cr Share premium account
Being the conversion of convertible instruments to equity shares.</td></tr>
</table>

Lesson 3: Equity shares and distributable profits

How is an issue of equity shares, including bonus and rights issues, recognised?

Issue of shares for cash

Dr Bank (issue price x number of shares issued)

Cr Share capital (nominal value x number of shares issued)

Cr Share premium account (balance)

Issue of shares for non-cash consideration

A listed company must have the non-cash consideration valued independently.

Dr Asset (fair value (FV) of non-cash consideration)

Cr Share capital (nominal value x number of shares issued)

Cr Share premium account (balance)

Bonus issue

Shares are issued for no consideration in proportion to existing shareholdings.

Dr Share premium or retained earnings (nominal value x number of shares issued)

Cr Share capital (nominal value x number of shares issued)

Rights Issue

A rights issue of shares is an issue of shares to existing shareholders in proportion to their existing shareholding in exchange for consideration.

The issue price in a rights issue is usually below market price in order to incentivise shareholders to take up their rights and buy the offered shares. Since a rights issue is for consideration, the journal entry is the same as that for a cash issue of shares at market price:

	Account name	**£**	**£**
Dr	Bank	Issue proceeds	
Cr	Share capital		Nominal value
Cr	Share premium		Balance

Being the issue of new shares

How are distributable profits calculated?

In Advanced Reporting and Performance, you need to understand what distributions are and how distributable profits are calculated in accordance with the Companies Act.

Distributions (CA06, s829)

A distribution is any transfer of company assets to shareholders other than:

- An issue of bonus shares
- A distribution of assets on a winding up
- The redemption or purchase of a company's own shares out of capital or unrealised profits
- A reduction of share capital to extinguish share capital not paid up or to repay paid-up share capital.

Distributable profits (CA06, s830)

Companies pay distributions out of retained earnings rather than current-year profits. The balance of retained earnings is not necessarily distributable in full.

Private limited companies

	£
Accumulated **realised profits** not previously distributed or capitalised	X
Accumulated **realised losses** not previously written off on a reduction or reorganisation of capital	(X)
Distributable profits	X

Listed companies

	£
Accumulated **realised profits** not previously distributed or capitalised	X
Accumulated **realised losses** not previously written off on a reduction or reorganisation of capital	(X)
Accumulated **net unrealised losses**	(X)
Distributable profits	X

Tutor tip:
In an assessment question, the calculation of distributable profits is likely to involve adjusting retained earnings.

How do we distinguish between realised and unrealised profits and losses?

Realised and unrealised profits and losses (CA06, s853(4))

Realised income/gains

If the following exist, the transaction will have been recorded through the SPL and no adjustment is required when calculating distributable profit:

- A gain from remeasuring an item to fair value if that item is readily convertible to cash, e.g. a gain on the remeasurement of a derivative which is measured at fair value through profit or loss (FVTPL)
- An exchange gain on the settlement of a monetary item or the retranslation of a monetary item, e.g. the settlement or remeasurement of a foreign currency receivable amount
- The reversal of an impairment loss previously regarded as realised, e.g. an impairment loss on property, plant and machinery measured using the cost model

The below are reserves transfers and don't impact the SPL so would need to be adjusted for in the distributable profit calculation:

- A gain previously considered to be unrealised that becomes realised due to sale, e.g. a revaluation surplus on property becomes realised when the property is sold
- For a revalued asset, the excess of depreciation based on revalued amount over depreciation based on historic cost. This is regardless of whether a reserves transfer is made from the revaluation surplus to retained earnings for the excess depreciation

Unrealised income/gains

- Fair value gains on investment properties

Realised and unrealised losses

- Almost all losses are realised.
- An exception is a revaluation decrease that cancels a previous revaluation increase.

How do directors decide whether to pay dividends?

Equity dividends are paid at the discretion of directors. In deciding whether to pay a dividend and how much to pay, directors should consider their fiduciary duty and the volatility of profits.

Fiduciary Duty

Directors have a fiduciary duty to protect the assets of a company and ensure that debts can be paid when due. The payment of a dividend reduces assets and may affect a company's ability to **settle debts as they fall due.**

Volatility of Profits

In a volatile market, losses may occur in the future, meaning that it is not prudent for directors to declare a large dividend based on current profits.

How is a repurchase of ordinary shares recognised?

Refer to RP2 Module 5 study guide for steps for repurchase of ordinary shares including maintenance of permanent capital.

Remember: there are strict limits on what items can be charged (debited) to the share premium account.

The following are allowed:

- A bonus issue of shares
- A write-off of expenses relating to the share issue that gave rise to the premium
- A write-off of the premium on certain purchases or redemptions of equity shares.

Lesson 4: Financial Assets – Recognition and classification

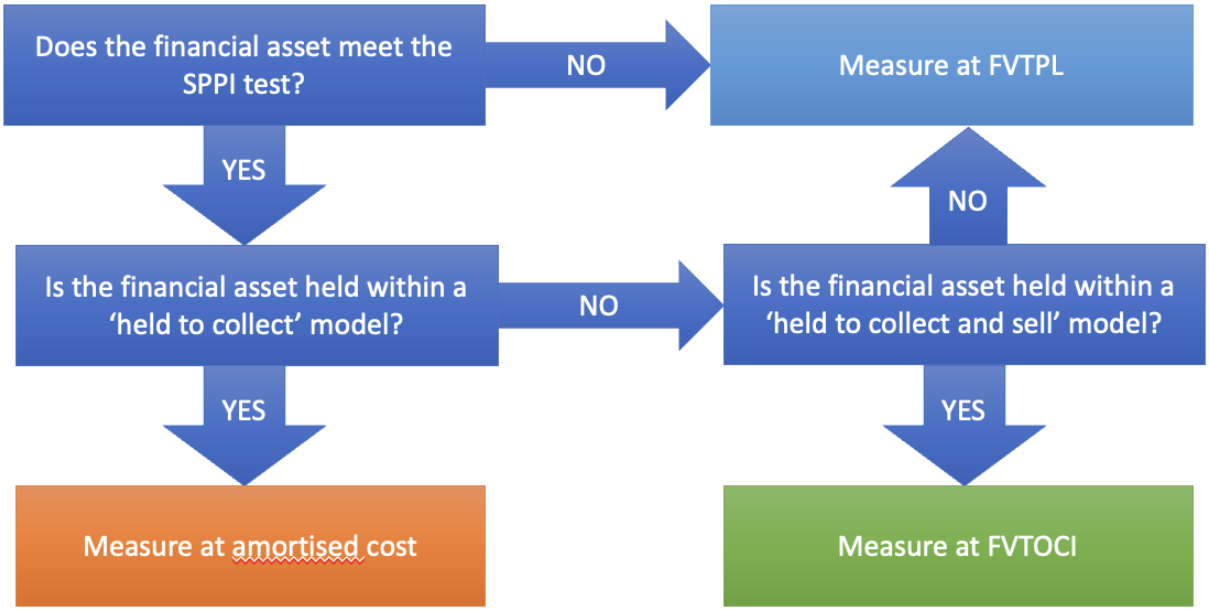
When is a financial asset classified as measured at amortised cost, fair value through other comprehensive income (FVTOCI) or FVTPL?

Refer to RP2 Module 5 study guide for financial asset classification.

In Advanced Reporting and Performance, you must be able to analyse a given scenario and decide whether a financial asset should be classified as measured at amortised cost, FVTOCI or FVTPL,

Classification is dependent on:

1. The business model within which the financial asset is held; and
2. The asset's contractual cash flow characteristics



What are the exceptions to the classification guidance?

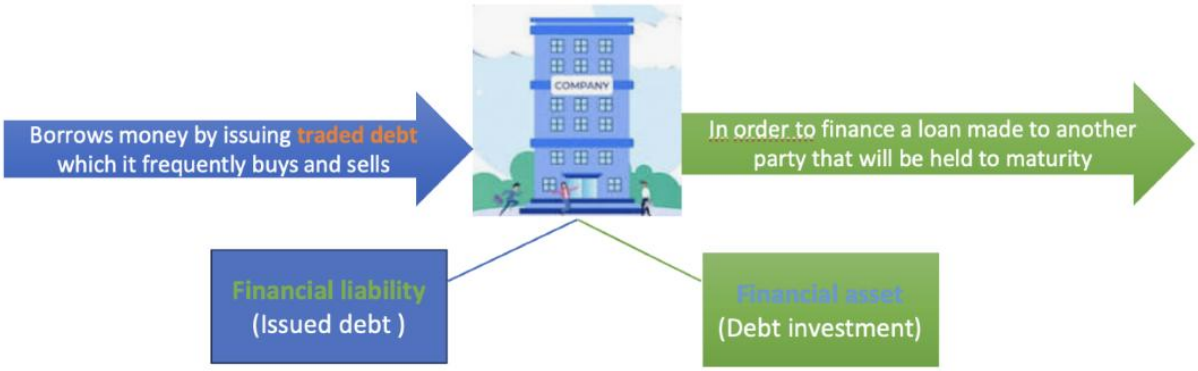
There are two exceptions to the general IFRS 9 classification guidance. In each case, the exception is:

- Available at initial recognition only
- Irrevocable, and
- Available on an asset-by-asset basis

Investments in equity instruments	Investments in debt instruments
By default, these are FVTPL as they fail the SPPI test, but they can be classified as FVTOCI if not held for trading.	If classified as amortised cost or FVTOCI, these can instead be designated as FVTPL to avoid an accounting mismatch.

Accounting mismatch (IFRS 9.4.1.5)

An accounting mismatch occurs where a financial asset and a related liability are recognised or measured inconsistently.



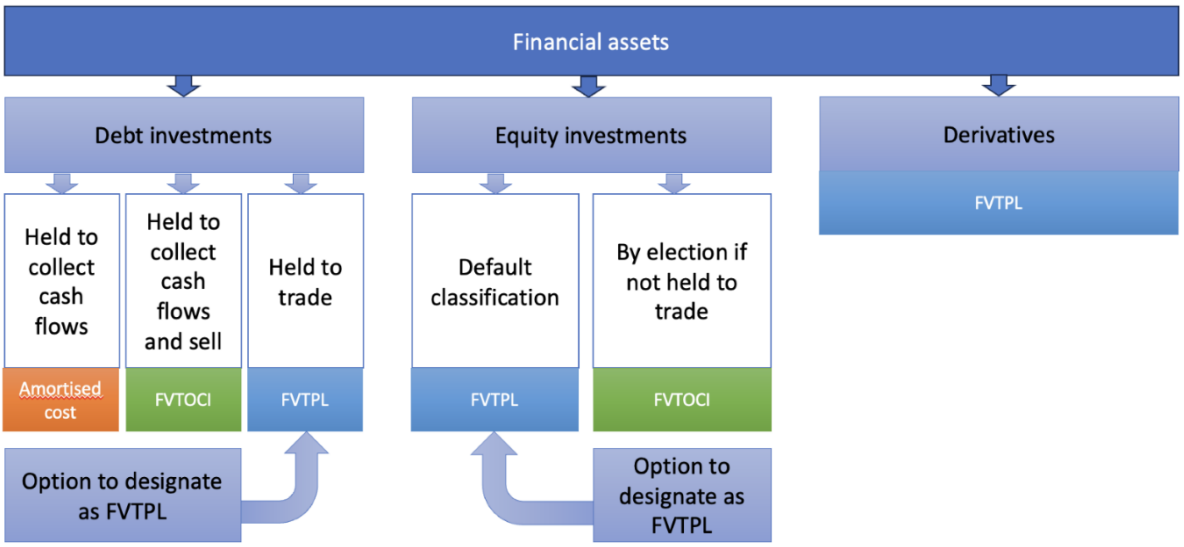
Traded debt Traded debt is debt instruments such as bonds that are bought and sold on organised markets.
Financial liability A financial liability held for trading purposes/to be bought and sold frequently is classified as FVTPL.
Financial asset A financial asset that will be held to maturity is classified as amortised cost.

In this case, the company can **choose to designate** the financial asset as measured at FVTPL in order to avoid an accounting mismatch.

As a result, the changes in fair value of both instruments would be matched in profit or loss:

- The loan's fair value changes if market interest rates change; and
- The traded debt's fair value changes as market prices change

Recap of classification:



Lesson 5: Financial Assets - Measurement

How are financial assets measured at initial recognition and subsequently?

Refer to RP2 Module 5 study guide for how financial assets are measured at initial recognition and subsequently.

How does accounting for equity instruments at FVTOCI and debt instruments at FVTOCI differ?

Debt instruments at FVTOCI

Where debt investments are classified as measured at FVTOCI, the amortised cost method is applied and then any difference between the calculated year-end balance and fair value of the investment is recognised in other comprehensive income. At each financial year end there is a fair value adjustment to OCI which is posted to OCI – gain and losses on debt instruments measured at FVTOCI.

	Equity investments	Debt investments
Initial measurement	At fair value (transaction price) plus transaction costs	
Measurement at reporting date	At fair value	
Recognition of change in measurement in the year	All recognised in OCI (Revaluation Reserve)	Interest income using the effective interest method is recognised in SPL. Any further adjustment (to fair value) is recognised in OCI (Revaluation Reserve).
Classification of OCI	OCI will not be reclassified to profit or loss.	OCI may be reclassified to profit or loss.

IFRS 9 does not specify which equity account gains and losses on financial assets at FVTOCI should be transferred to. You should use a FVTOCI remeasurement reserve in ARP.

Lesson 6: Financial assets - Impairment

What is the IFRS 9 approach to credit losses?

Refer to RP2 Module 5 study guide for IFRS 9 approach to credit losses.

What factors indicate a significant increase in credit risk?

In your Advanced Reporting and Performance assessment, you may be required to analyse a given scenario in order to determine at what stage of the IFRS 9 ECL model a financial asset is, before going on to provide accounting advice.

It is therefore important that you understand:

- When there is a **significant increase in credit risk**, meaning that a financial asset moves from stage 1 to stage 2 of the general approach, and
- When there is **objective evidence of impairment**, meaning that a financial asset has reached stage 3 of the general approach.

Significant increase in credit risk (IFRS 9.B5.5.17, 5.5.11)	Objective evidence of impairment (IFRS 9.Appendix A)
List of factors that may be relevant. These include: • An actual or expected significant decline in the operating results of the borrower • Existing or forecast adverse changes in business, financial or economic conditions • An actual or expected downgrade in the borrower's credit rating • Actual or expected significant adverse changes in the regulatory, economic or technological environment of the borrower.	Evidence that a financial asset is credit-impaired includes observable data about events such as: • Significant financial difficulty of the borrower • A breach of contract, such as a default (non-payment of contractual amount) • It becoming probable that the borrower will enter bankruptcy or other financial reorganisation.

How is a loss allowance calculated and recognised?

Calculate the loss allowance

1. Calculate the separate ECL for each possible credit losses outcome:

	£
Present value of contractual cash flows from the financial asset	X
Present value of expected cash flows from the asset	(X)
ECL	X

2. Loss allowance is calculated as the weighted average of possible credit loss outcomes.
3. **Recognise the change in loss allowance in SPL**
4. **Present in Financial statements**

When calculating expected cash shortfalls for a debt instrument at FVTOCI, the present value of contractual cash flows is equal to the amortised cost of the asset rather than the fair value.

Loss allowances and debt investment measured at FVTOCI (IFRS 9,5.5.2)

Where a debt instrument is measured at FVTOCI, the loss allowance is calculated in the same way as you have already learnt, by:

1. Calculating expected credit losses (or cash shortfall) associated with possible credit loss outcomes
2. Calculating the weighted average of these ECLs

Tutor tip:

When calculating expected cash shortfalls for a debt instrument at FVTOCI, the present value of contractual cash flows is equal to the amortised cost of the asset rather than the fair value.

What is the simplified approach to credit losses for trade receivables?

Refer to RP2 Module 5 Study Guide. Apply provision matrix as you applied in RP1.

Lesson 7: Financial Assets - Derecognition

When is a financial asset derecognised?

In Advanced Reporting and Performance, you may be required to analyse a scenario and decide whether derecognition is appropriate. It is therefore important that you understand the detail of the IFRS 9 financial asset derecognition requirements.

IFRS 9 states that a financial asset is derecognised when:

Contractual cash flows expire

The contractual cash flows from a financial asset expire due to:

Settlement – for example, cash is received to settle a trade receivable balance

Lapse – for example, options to purchase coffee beans may expire before they are exercised

Cancellation – for example, a lower court awards damages to a company but a higher court subsequently cancels these.

Asset is transferred (IFRS 9.3.2.4)

An asset is transferred if substantially all risks and rewards associated with the financial asset are transferred **and** either:

the contractual rights to receive cash flows from the financial asset are transferred

or

the contractual rights to receive cash flows are retained but there is a contractual arrangement to pay these on to another entity.

Risks and rewards (IFRS 9.3.2.7)

Risks and rewards are related to the company's exposure to variability in the amounts and timing of the present value of the net cash flows from the asset.

They are:

retained where the company's exposure does not significantly change as a result of the transfer, and

transferred where the company's exposure is no longer significant in relation to the total variability.

How is a transfer that does not qualify for derecognition recorded?

If a financial asset is sold in exchange for consideration, but does not qualify for derecognition:

- The proceeds of the sale are recognised as a financial liability, and
- The retained asset and recognised liability are not offset.

How is a financial asset derecognised?

Derecognition of financial assets at Amortised Cost

1. Interest income up to the disposal date should be accrued to the carrying amount of the financial asset
2. The difference between the carrying amount and proceeds (net of transaction costs) is a gain or loss in profit or loss.

Derecognition of financial assets at Fair Value

1. Remeasure the financial asset to fair value at the derecognition date
2. Recognise proceeds, derecognise the asset and recognise any gain or loss on disposal
3. For equity investments at FVTOCI, transfer the balance on the FVTOCI revaluation reserve to retained earnings

Where a debt investment at FVTOCI is derecognised, the first two steps in the accounting treatment are similar to those already seen, but the third step is different.

Step 1

- Accrue interest to the disposal date using the effective interest method.
- Remeasure the asset to fair value, recognising the gain or loss in OCI.

Step 2

- Recognise net proceeds and derecognise the asset.
- Recognise any difference as a gain or loss in profit or loss.

Step 3

- Reclassify the balance on the FVTOCI revaluation reserve related to the financial asset to profit or loss.
- Recognise the reclassification adjustment as part of the profit or loss on disposal.

Lesson 8: Financial liabilities

How is a financial liability classified?

Refer to RP2 Module 5 study guide for classification of financial liabilities.

In Advanced Reporting and Performance, you may be required to analyse a given scenario in order to classify a financial liability before accounting for it.

A financial liability is measured at amortised cost unless it is classified as FVTPL; therefore, it is important to understand when a financial liability is classified as FVTPL.

Elimination of an accounting mismatch (IFRS 9.B4.1.29)

You have already seen an accounting mismatch that resulted in a financial asset being designated as measured at FVTPL. An accounting mismatch may also result in a financial liability being designated as measured at FVTPL. The asset in the relationship may be financial or non-financial.

For example, if a company funds the purchase of equity shares using a bank loan:

- The equity investment (financial asset) is classified as FVTPL
- The bank loan (financial liability) is ordinarily classified as amortised cost.

The financial liability can be designated as FVTPL so that changes in the fair value of both instruments are matched in profit or loss.

How is a financial liability measured at initial recognition and at subsequent reporting dates?

Refer to RP2 Module 5 study guide for initial recognition and subsequent measurement of financial liabilities.

When is a financial liability derecognised?

Refer to RP2 Module 5 study guide for derecognition of financial liabilities.

Lesson 9: Financial Instruments - Disclosures

What is the objective of disclosures relating to financial instruments?

The objective of financial instrument disclosures is to provide useful information to users about:

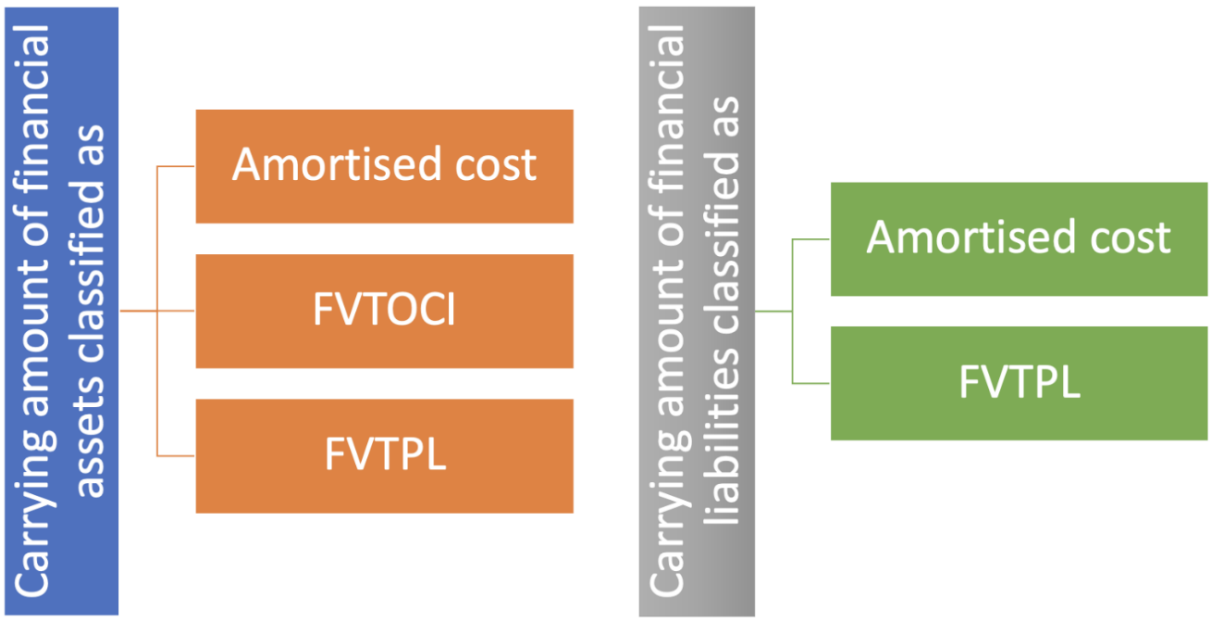
The significance of financial instruments
- Users need to be able to evaluate the significance of financial instruments for a company's financial position and performance.

- Risks associated with financial instruments
  - Users need to be able to understand the nature and extent of risks associated with financial instruments and how they are managed.

How are financial instruments presented and disclosed in the statement of financial position and associated notes?

Significance of financial instruments: statement of financial position (IFRS 7.8)

Carrying amounts of financial assets and financial liabilities should be disclosed by classification:



The following additional points are relevant to the disclosure of carrying amounts by classification:

- These disclosures can be made either on the face of the statement of financial position or in the notes to the financial statements.
- For financial assets and liabilities at FVTPL, the total carrying amount should be split between:
  - instruments designated as measured at FVTPL
  - instruments that are required to be measured at FVTPL.

Additional disclosures related to the statement of financial position

IFRS 7 also has the following additional requirements.

If a company has elected to measure **equity investments at FVTOCI**, it should make additional disclosures, including:

- Which investments are measured at FVTOCI and why
- The fair value of each investment at the reporting date
- Dividends recognised in the reporting period
- The gain or loss on any equity investments at FVTOCI that are disposed of in the period and the fair value prior to disposal.

Loss allowance for financial assets at FVTOCI (IFRS 7.16A)

The loss allowance for financial assets at FVTOCI is recognised in OCI rather than as a separate credit balance that reduces the carrying amount of the related asset.

Therefore, the loss allowance should be disclosed in the notes to the financial statements.

How are financial instruments presented and disclosed in the statement of profit or loss and OCI and associated notes?

Following amounts recognised in the statement of profit or loss and OCI should be separately disclosed:

Financial assets	• Net gains and losses on financial assets at amortised cost, FVTOCI, FVTPL • Total interest income on financial assets at amortised cost • Impairment losses on financial assets at amortised cost and FVTOCI
Financial liabilities	• Net gains and losses on financial liabilities at amortised cost, FVTPL • Total interest expense on financial liabilities at amortised cost

The following additional points are relevant:

- These disclosures can be made either on the face of the statement of profit or loss and OCI or in the notes to the financial statements
- Net gains or losses on equity investments at FVTOCI should be disclosed separately from those relating to other financial assets
- Amounts reported in OCI in relation to debt investments measured at FVTOCI should be split between gains and losses in the period and reclassification adjustments on disposal
- For financial assets and liabilities at FVTPL total net gains and losses should be split between:
  - instruments designated as measured at FVTPL
  - instruments that are required to be measured at FVTPL.

What information should be disclosed in respect of risks associated with financial instruments?

The second type of financial instruments disclosure relates to risks associated with financial instruments.

Credit risk

The risk that one party in a financial instrument will cause a financial loss for the other party. For example, where a borrower does not pay amounts due to the lender.

Liquidity risk

The risk that a company will not be able to pay cash due to settle financial liabilities. For example, where a company has no cash to repay a loan that is due.

Market risk

The risk that the fair value of a financial instrument will fluctuate because of changes in market prices. For example, where a foreign currency loan obligation increases due to exchange rates.

Disclosures may be:

- Quantitative, for example an explanation of how risks are managed
- Qualitative, for example, a table indicating when obligations fall due helps to explain liquidity risk.

In Advanced Reporting and Performance, you will not be required to prepare disclosures related to risk; however, you should be prepared to advise an entity that disclosures should be prepared for inclusion in the financial statements.

Study guide checklist

Have you completed reading module 5?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 6 – Consolidation

Introduction

Welcome to the study guide for Module 6 of the Advanced Reporting and Performance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

By completing this module, you will have worked towards the following syllabus learning outcomes:

SLO 1 Advise on the requirements for financial reporting and performance in accordance with relevant standards

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

1.2 Construct, with appropriate workings, the consolidated financial statements for a group.
1.3 Advise on the effect of transactions and adjustments on the financial statements of an individual company and of a group.

This will be achieved by working towards the following performance indicators:

1.2.1 Advise on the appropriate accounting treatment for changes in group structures:
- A business combination achieved in stages.
- A complete disposal.
- A partial disposal (still with a controlling stake).

1.2.2 Advise how investments in other entities should be accounted for in individual and consolidated financial statements.

1.2.3 Construct consolidated financial statements which might include:
- complex consideration.
- non-controlling interests measured as a proportionate share of net assets or at fair value.
- goodwill or bargain purchase.
- fair value adjustments on acquisition.
- elimination of intragroup transactions.

1.2.4 Construct consolidated financial statements for the following situations:
- A business combination achieved in stages.
- A partial disposal.
- A complete disposal.
- A foreign subsidiary

1.2.5 Construct consolidated financial statements with supporting calculations and journal entries to account for an associate or a joint venture

1.3.2 Advise on the treatment of an associate or joint arrangement in individual and consolidated financial statements

1.3.3 Advise on the effect of transactions and adjustments related to consolidation on the financial statements of a group.

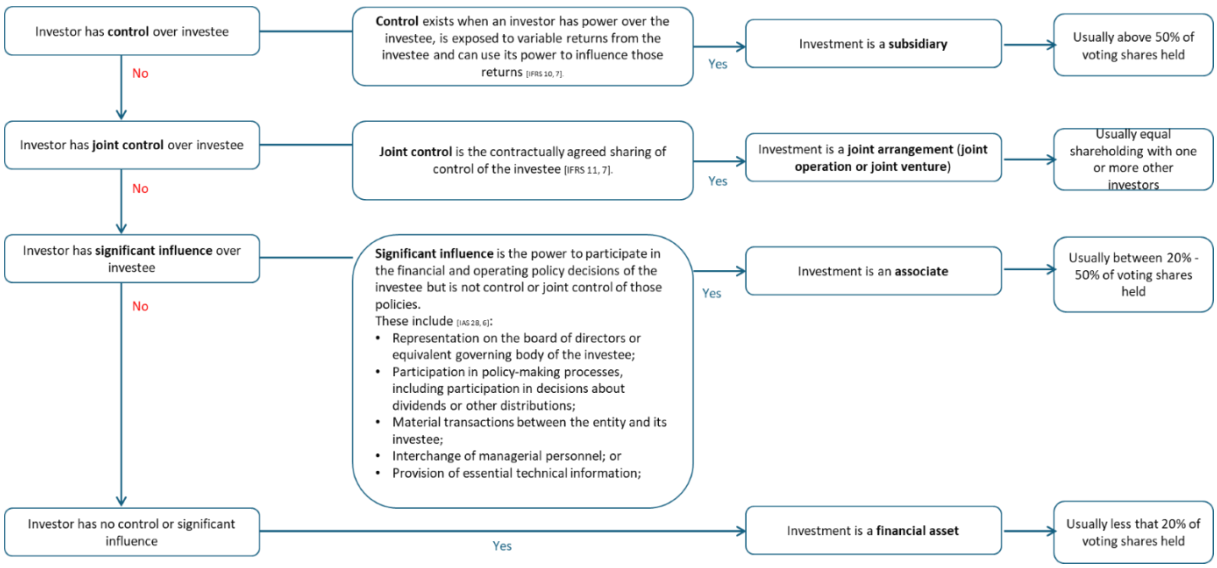
1.3.4 Advise on the impact of fair value adjustments necessary on the acquisition of a subsidiary on consolidated and individual accounts.

You will be ‘assessment ready’ for questions in Module 6 when you can confidently complete each set of the learning outcomes above.

Lesson 1: Introduction to groups

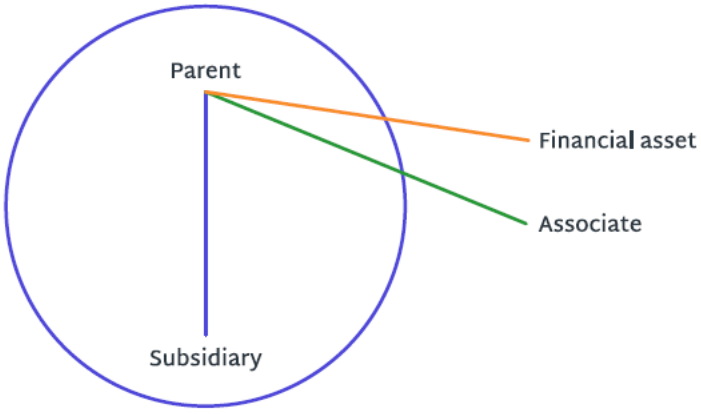
How are the types of investment recognised in the individual and consolidated financial statements?

Types of investment

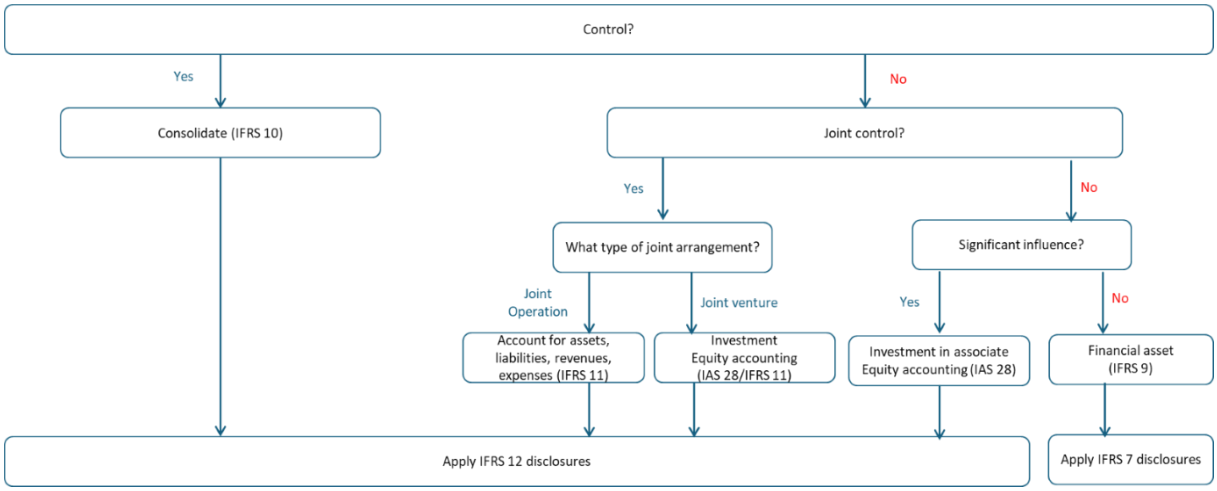


Group of companies and other types of investment

An investment in an associate or a financial asset is included in the parent's group accounts but is not a member of the group.



A parent company will form a group and publish consolidated financial statements if the parent has invested in at least one subsidiary. The following graph illustrates the accounting recognition and related disclosures based on the type of investment:



As we move into the discussion of investment types and their respective accounting treatment, we will also encounter the concept of joint arrangements and joint ventures as illustrated in the diagrams previously reviewed. Please note that these terms will be discussed in greater detail later in the module.

How is control defined under IFRS 10?

In RP2, it was assumed that control exists where the parent company holds a majority of the ordinary shares in another company (i.e., >50%).

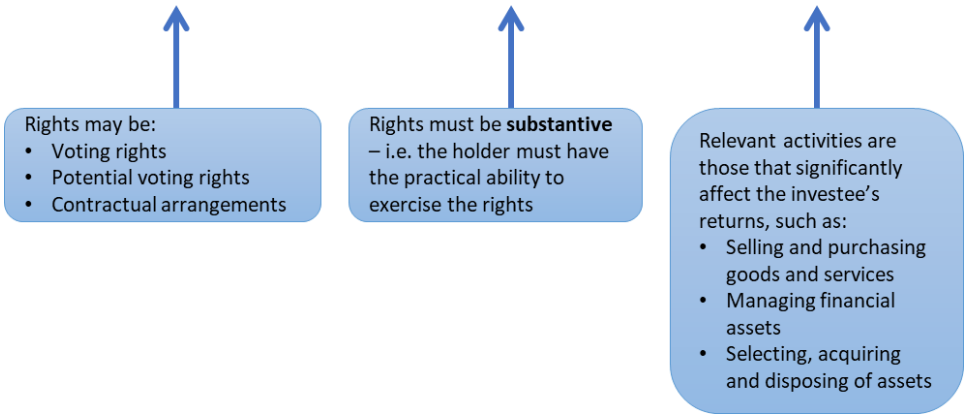
However, under IFRS 10, an investor controls a subsidiary when it is exposed, or has rights, to variable returns from its involvement with the subsidiary and has the ability to affect those returns through its power over the subsidiary [IFRS 10, 6].

Thus, an investor controls an investee if and only if the investor has all the following [IFRS 10, 7]:

- Power over the investee (subsidiary);
- exposure, or rights, to variable returns from its involvement with the investee (subsidiary);
- the ability to use its power over the investee (subsidiary) to affect the amount of the investor's returns.

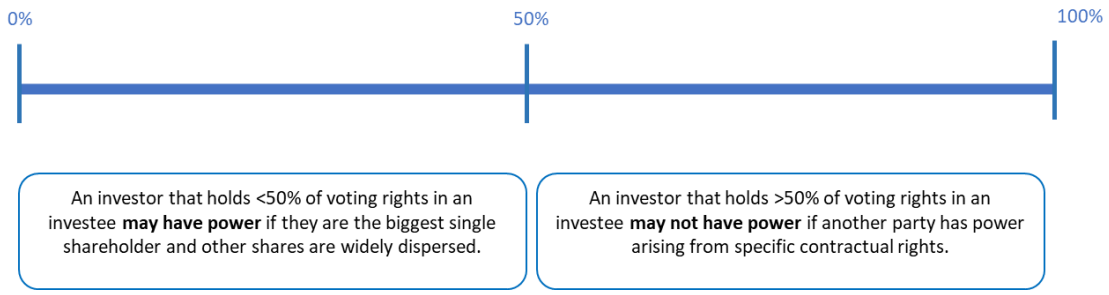
Power is defined as [IFRS 10, 10]:

Existing rights that give the **current ability** to direct **relevant activities**.



Power may be obtained by holding the **majority of voting rights** (i.e. more than 50%).

This is **not** always how power is determined [IFRS 10, B42]:



IFRS 10 also requires that voting patterns at previous shareholder meetings are considered when determining whether voting rights indicate power.

There is also the possibility of the **potential voting rights**. These arise from **convertible instruments** or **options**, which provide voting rights to the holder on conversion or on exercise.

Non-controlling interests (NCI) are based on actual voting rights [IFRS 10, B47, B50].

Where power is not determined by voting rights, other rights must be considered. IFRS 10 gives examples of other rights, including:

- Rights to appoint, reassign or remove key management personnel who have the ability to direct relevant activities
- Rights to direct the investee to enter into, or veto any changes to, transactions for the benefit of the investor
- Decision-making rights specified in a management contract

In assessing whether an investor has power, only substantive rights relating to the investee are considered. To be substantive, the investor must have the practical ability to exercise that right and usually the right to be currently exercisable.

Voting rights – Actual voting rights are not substantive if held by a foreign investor that is legally prohibited from exercising its rights.

Potential voting rights – Potential voting rights attached to a convertible loan are not substantive if the conversion option is not currently exercisable.

Other rights – Other rights are not substantive if financial penalties would prevent the holder from exercising them.

Exposure or rights to variable returns

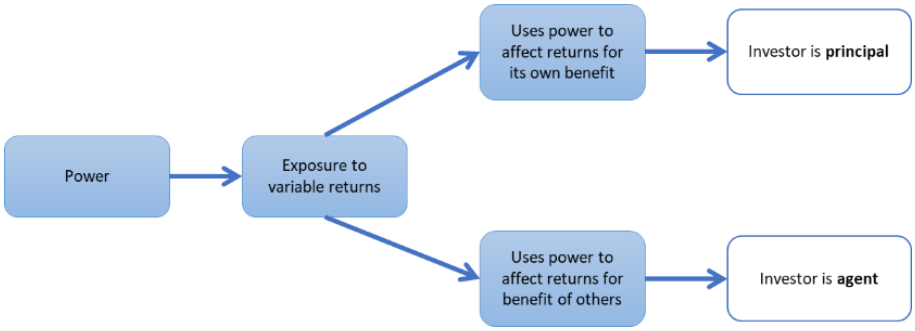
An investor is exposed, or has rights, to variable returns from its involvement with the investee when the investor's returns from its involvement have the potential to vary as a result of the investee's performance. The investor's returns can be only positive, only negative or both positive and negative.

Examples include:

- Dividends
- Interest from debt securities
- Changes in the value of the investee
- A residual interest on liquidation

Ability to use power to affect returns

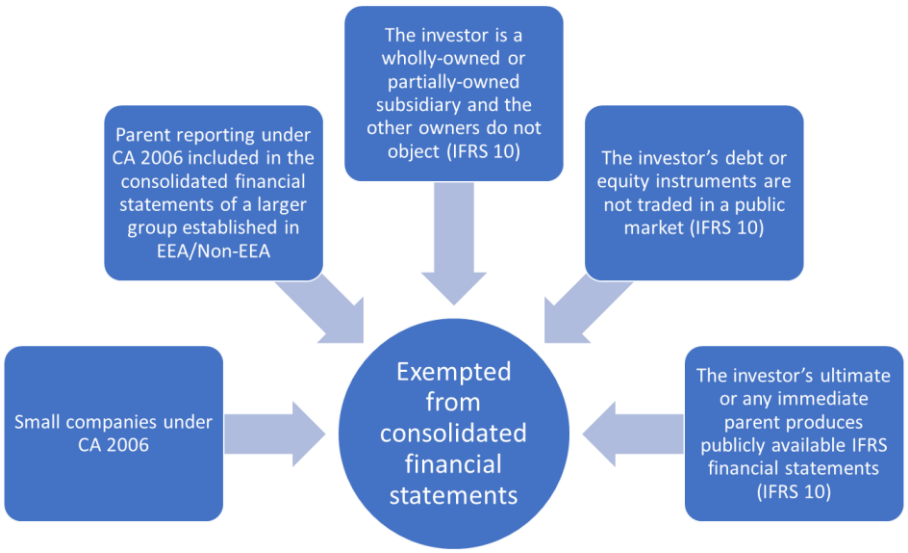
Investor can be principal or agent as shown below:



In the ARP assessment, subject to any additional information, you should assume that a shareholding of more than 50% represents control. In narrative questions you may be required to advise on the IFRS 10 definition of control.

Exemptions from preparing group financial statements

An entity that is a parent shall prepare consolidated financial statements (i.e. including its subsidiaries) but there are limited cases where exemptions apply.

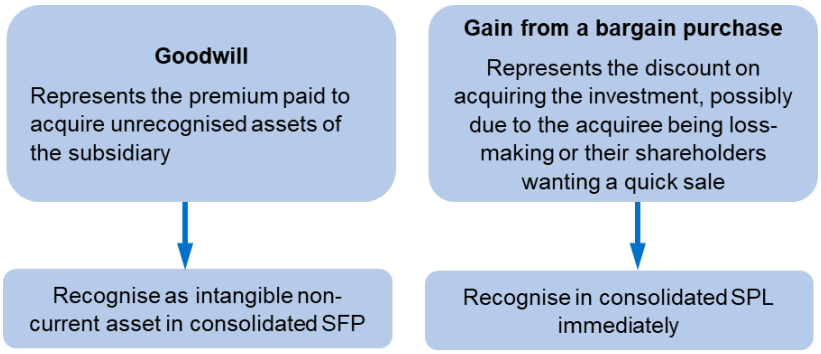


Lesson 2: Acquisition accounting

How do you calculate goodwill or gain from bargain purchase?

Refer to the RP2 Module 6 study guide for the steps in the approach to consolidation.

Goodwill is dealt with in step 2.



	£'000	£'000
Fair value of consideration transferred by Investor Ltd		4,600
Non-controlling interest		400
Fair value of net assets of Investee Ltd		
Share capital	1,000	
Retained earnings	2,500	
Revaluation surplus	500	
		(4,000)
Goodwill/(Gain from bargain purchase)		1,000

Consideration transferred by the Investor Ltd for 90% shareholding to Investee Ltd.

NCI represents a 10% shareholding in Investee Ltd and is calculated as 10% of Investee Ltd net assets.

100% of Investee Ltd net assets are included in the goodwill estimation.
Goodwill figure is the result of comparison between the 100% of the FV of Investee Ltd net assets and 100% of its value for Investor Ltd (Consideration + NCI)

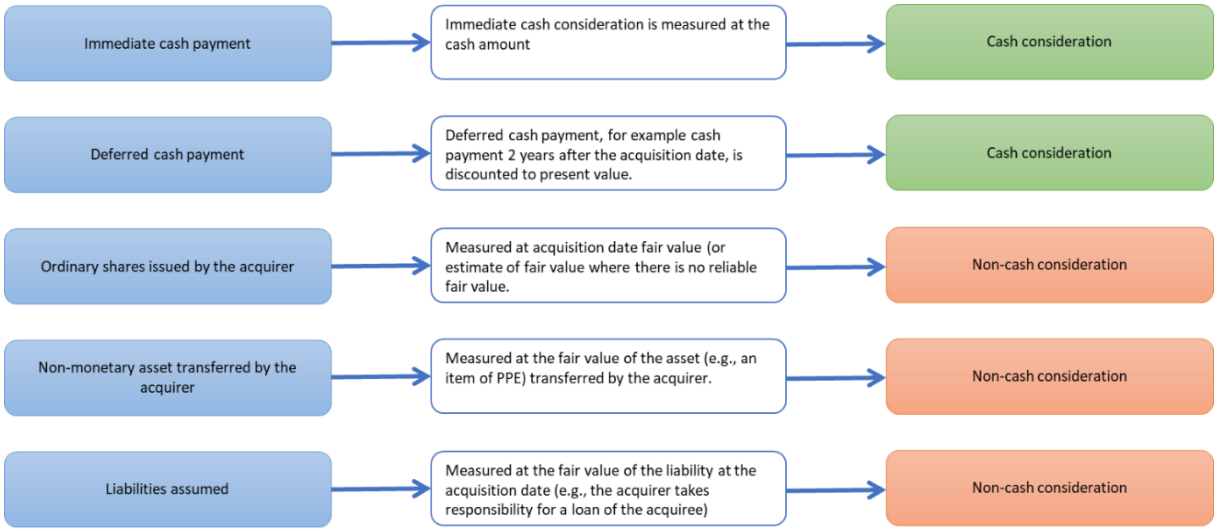
Refer to RP2 Module 6 study guide for Journal entries to record Goodwill and Gain from Bargain Purchase.

Refer to RP2 Study Guide for impairment of Goodwill (Step 3).

In RP2, it was suggested that the NCI at acquisition will always be measured as a proportion of the net assets of the acquired company.

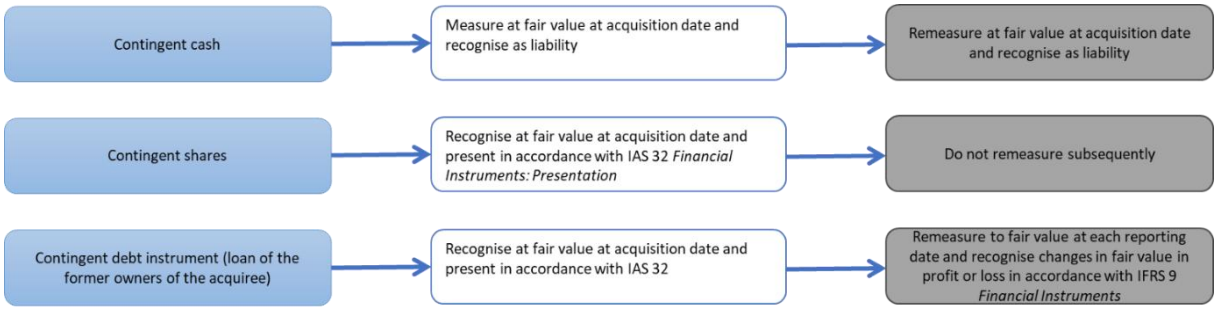
However, at ARP The fair **value method can be used for NCI measurement**.

The consideration transferred in a business combination shall be measured at fair value [IFRS 3, 37]. These are:



Contingent consideration

Exists where the acquiring company agrees to transfer additional consideration in the future if certain events of conditions are met. Contingent consideration is always measured at FV at the acquisition date and included in the goodwill calculation as part of the consideration transferred at this amount.



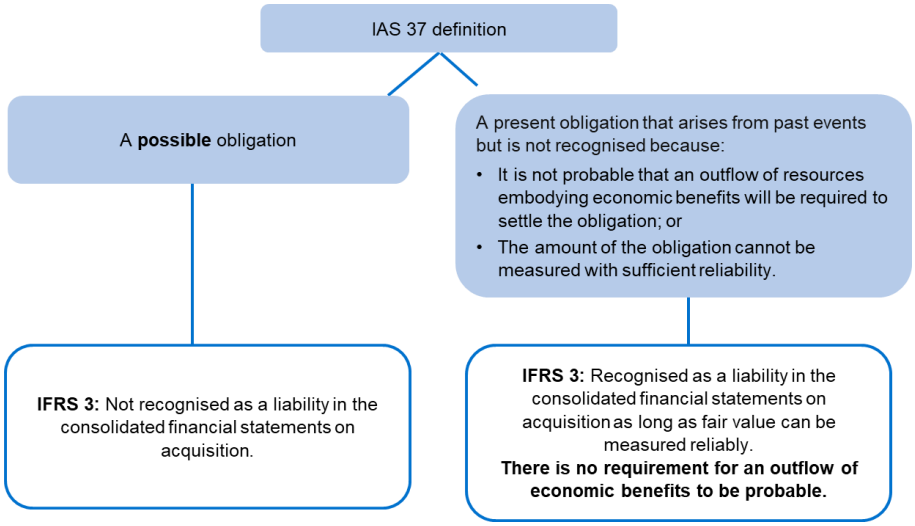
What are the criteria to recognise intangible assets and contingent liabilities arising from acquisition?

To qualify for recognition as part of applying the acquisition method, the identifiable assets acquired and liabilities assumed must meet the definitions of assets and liabilities [IFRS 3, 11]. An asset is identifiable if it either is separable or arises from contractual or other legal rights.

IAS 38 Intangible Assets requires an intangible asset to be recognised if two criteria are met: probable future economic benefits flow to the entity and the asset can be measured reliably.

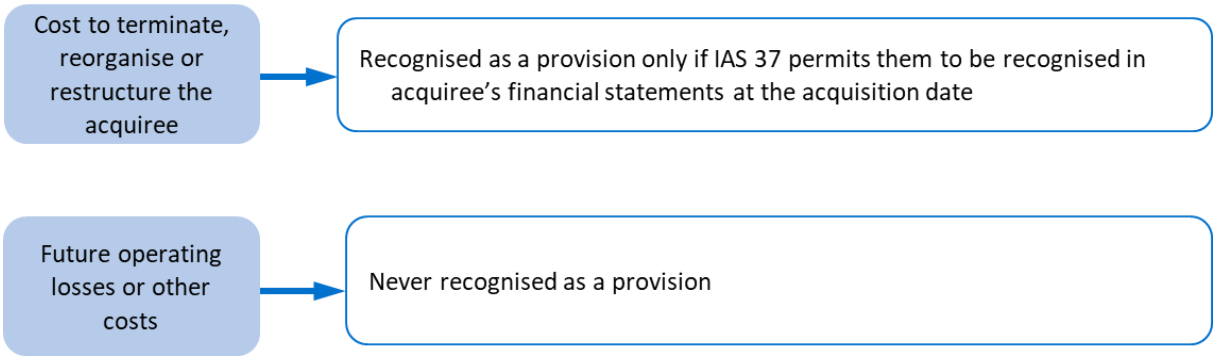
These criteria apply in the subsidiary's individual financial statements as well as the consolidated financial statements.

An exception to the recognition principle exists in respect of some contingent liabilities and *IAS 37 Provisions, Contingent Liabilities and Contingent Assets* does not apply. The definition of a contingent liability is relevant [IFRS 3, 22]:



Recognition of reorganisation costs and future operating losses

Costs that are not acquisition-date obligations of the acquiree are not recognised as a liability:

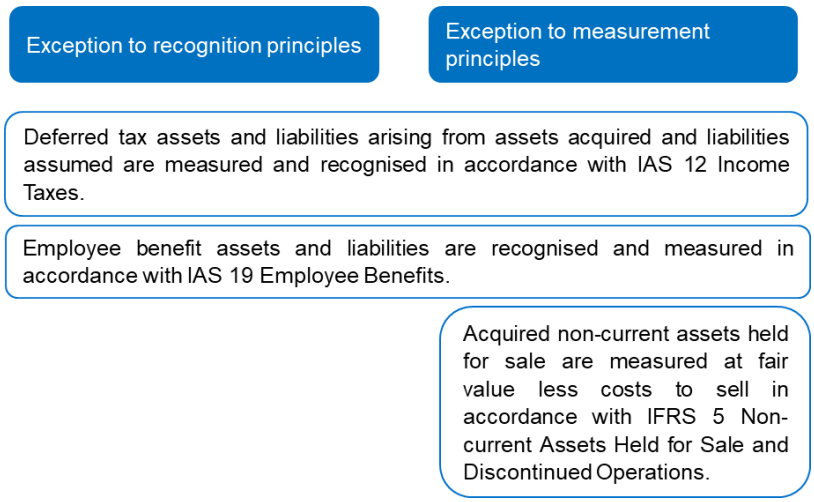


What are the issues affecting goodwill estimation?

Measurement and Exceptions to recognition and measurement principles

The acquirer shall measure the identifiable assets acquired and liabilities assumed at their acquisition-date fair value [18]. This is determined in accordance with IFRS 13 Fair Value Measurement.

Similar with contingent liabilities, IFRS 3 includes certain other exceptions to its recognition and measurement principles. These include[24,26,31]:



In addition we also have Fair Value adjustments at step 2. **IFRS 3 requirements, take precedence over the requirements of other standards;** for example, inventories are measured at fair value rather than at the lower of cost and net realisable value, as required by IAS 2 Inventories.

In an **exception** to this rule, where a subsidiary measure an asset or liability using an **IFRS fair value model** (e.g. the revaluation model from IAS 16 Property, Plant and Equipment) and carrying amount is not equal to fair value, **the adjustment must be recognised in the subsidiary's individual financial statements prior to consolidation in the normal way.**

Fair value adjustments made to net assets will also lead to subsequent measurement issues within the consolidated financial statements only. There will be a knock on impact in Step 6 of consolidation.

Refer back to RP2 module 6 study guide for these fair value adjustments.

Refer back to RP2 Module 6 study guide for a summary of the 6 steps for consolidation.

Lesson 3: Changes in ownership

How do you account for business combination?

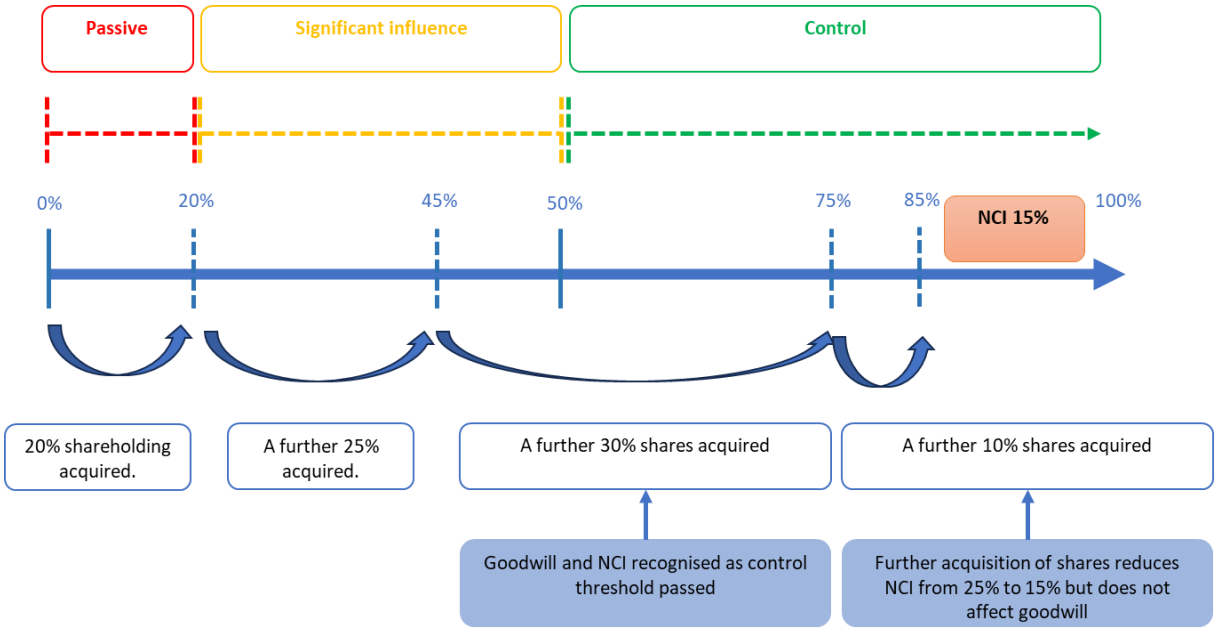
Sometimes **business combination is achieved in stages**, sometimes also referred to as a **step acquisition** [41].

Changes in proportion held by non-controlling interests:

When the proportion of the entity held by non-controlling interests changes, an entity shall adjust the **carrying amounts of the controlling and non-controlling interests** [IFRS 10, B96].

The entity shall **recognise directly in equity** any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid.

Goodwill is **not** recalculated – it is calculated **only at the point where control is obtained**.



If the additional shares had been acquired during the year, we would have needed to apportion profits and apply the relevant non-controlling interests (NCI) percentages at different points during the year. You should assume that profits arise evenly throughout the year, unless otherwise stated.

Worked Example:

Mist Ltd (Mist) has share capital consisting of 100,000 ordinary shares of £1.00 each. There has been no change in share capital since the company was incorporated.

Fog Ltd (Fog) prepares its financial statements to 30 June each year.

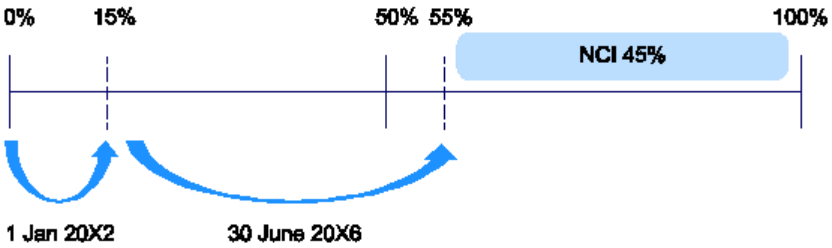
Fog purchased shares in Mist as follows:

	Shares **'000**	*Cost* **£'000**	*Retained earnings of Mist* **£'000**
1 January 20X2	15	60	150
30 June 20X6	40	320	400

The fair value of the original 15,000 shares purchased was determined to be £78,000 at 30 June 20X5 and £85,000 at 30 June 20X6.

All changes in fair value have been correctly recorded in Fog's individual financial statements.

Control was achieved on 30 June 20X6, when holding was 55%.



Step 2

	£'000	£'000
Investment in Mist (£85k + £320k)		405
Non-controlling interests' share of net assets (45%* (400K+100K)		225
		630
Share capital	100	
Retained earnings	400	500
Goodwill		130

(Normal Goodwill Journal would be processed)

Then…

Fog purchased a further 20,000 shares in Mist on 30 June 20X9 for £270,000 when Mist had retained earnings of £900,000. Mist's profit for the year ended 30 June 20X9 was £150,000.

Mist did not declare or pay a dividend during the year ended 30 June 20X9.

Goodwill is recognised at the acquisition date, at which control is achieved. The calculation above for Goodwill remains UNCHANGED.

But we have to account for the additional investment…

Additional investment in Mist	270
Net assets acquired from non-controlling interests (20% x [£100k + £900k])	200
Loss to retained earnings	70

Dr	SFP – non-controlling interests	200		
Dr	Retained earnings	70		
	Cr Investment in Mist			270

being elimination of additional investment and reduction in non-controlling interests

Step 3 – Recognise any impairment of goodwill

N/A – goodwill is not impaired

Step 4 – Allocate share of subsidiary's historical profit/ loss and other gains/ losses to non-controlling interests

Retained earnings at 30 June 20X9	900
Profit for the year ended 30 June 20X9	(150)
Retained earnings at 30 June 20X8	750
Retained earnings at 30 June 20X6	400
Increase	350
Non-controlling interests' share of historical profit (45%)	158

Dr	Retained earnings	158		
	Cr SFP – non-controlling interests			158

being non-controlling interests' share of historical profit

Step 5 – Allocate share of subsidiary's current year profit/ loss and other gains/ losses to non-controlling interests

Non-controlling interests' share of current year profit = 45% x £150k = £68k

Note. The additional 20% was not acquired until 30 June 20X9.

Dr	SPL – non-controlling interests	68		
	Cr SFP – non-controlling interests			68

being non-controlling interests' share of current year profit

Step 6 – Eliminate intercompany transactions and balances and allocate share of adjustments to subsidiary's profit/ loss to non-controlling interests

N/A – there are no intercompany transactions or balances.

Final step – Transfer adjustments in the consolidated statement of profit or loss to the consolidated statement of financial position

Dr	Retained earnings	68		
	Cr SPL			68

being transfer to retained earnings

How do you calculate the gain or loss on a complete or partial disposal?

This takes place AFTER step 6. Full consolidation steps take place, then we account for the disposal in a new step, STEP 7.

Full disposal

If a parent loses control of a subsidiary, it shall derecognise the assets (including any goodwill) and liabilities of the subsidiary at their carrying amounts and also the carrying amount of any NCI. The gain or loss on disposal is calculated as the fair value of the consideration received compared to the net assets disposed of.

If the gain or loss is material it is normally presented as a separate item in the consolidated statement of profit or loss.

The process is summarised as follows:

1. **Consolidate results of subsidiary to disposal date**
2. **Calculate and recognise profit or loss on disposal:**

	£'000	£'000
Proceeds on disposal		X
Net assets of sub at disposal date	X	
NCI at disposal date	(X)	
Goodwill at disposal date	X	
		(X)
Gain/loss		X/(X)

Journal entry:

Dr	Bank	
Dr	SOFP – NCI (if applicable)	
	Cr	Goodwill
	Cr	Net assets disposed
	Cr	SPL – gain on disposal (Dr if a loss)

3. **Consider:**

a) Whether consolidated financial statements are still required
b) Whether disposed of subsidiary is discontinued operation

In the assessment, the credit to net assets entry is likely to be split into a number of debit entries to eliminate the subsidiary's liabilities and credit entries to eliminate the subsidiary's assets.

Note that the debit entry to 'Bank' assume that the parent company has not recorded the proceeds correctly in its individual financial statements and, therefore, still has the investment in the subsidiary on its individual statement of financial position.

Read the question carefully in the assessment to ascertain whether proceeds have been posted.

Partial disposal of an interest but control is retained.

Parent company disposes of a partial interest in a subsidiary but retains control over the subsidiary, the transaction is accounted for as an equity transaction between the parent and its shareholders. This means that the **difference between the carrying amount of the subsidiary interest disposed of and the consideration received (including any related transaction costs) is recognised directly in parent's equity. No gain or loss** is recognised in profit or loss as a result of such transactions.

Worked Example: partial disposal but control is retained

Alfred Ltd (Alfred) acquired 100% of Rodes Ltd (Rodes) for £900,000 at the end of 20X0 when the fair value of Rodes' net assets were £800,000. Alfred sold 10% of its investment on Rodes on 31 December 20X2 for £300,000, retaining 80% controlling interest. The carrying amount of Rodes' net assets, including goodwill of £100,000, is equal to £1,4 million.

This takes place in new Step 7, after step 6 and all other consolidation procedures are performed.

Parent company accounts

Sale proceeds £300,000
Less cost of investment in Rodes (10%*£900,000) £90,000
Gain on sale recognised in Alfred £210,000

Consolidated accounts

The change in ownership does not result in loss of control. This means:

1. **The identifiable net assets and goodwill remains unchanged.**
2. **The difference between the sale proceeds and increase in NCI is directly recognised in equity (NOT in SPLOCI), together with the increase in NCI.**

Sale proceeds £300,000
Recognition of increase in NCI (10%*£1.4 m) (£140,000)
Credit to equity £160,000

The difference between the gain recognised in the individual parent accounts and the consolidated accounts is the share of post-acquisition profit ((£1.4m - £900,000)*10%) retained in the subsidiary and have been reported in the group SPLOCI.

Dr	Bank		300,000	
	Cr	SOFP – NCI		140,000
	Cr	SOFP - Equity		160,000

Lesson 4: Associates and the equity method

What is an associate and how is significant influence established?

An investor does not control an associate or a joint venture and, therefore, it is not appropriate to consolidate their results. Neither is it appropriate to apply IFRS 9 Financial Instruments since the investor has more influence than it would over a financial asset investment.

Instead, the equity method of accounting is applied where an investor has significant influence over an associate or joint control over a joint venture. This method of accounting has the same net effect as consolidation, being that the investor's share of the investee's net assets and profits are represented in the consolidated financial statements.

It is, however, achieved in a different manner: rather than reporting 100% of net assets and profits and then giving non-controlling interests their share back, the group only reports its share of net assets or profits of an associate or joint venture in the first place.

In effect, the group investment in associate or joint venture represents a non-controlling interest.

Associates

An associate is a company over which the parent company has significant influence, but does not control or have joint control over.

> **Tutor tip:**
> In ARP, you should assume that a shareholding of 20%–50% indicates significant influence unless information clearly indicates otherwise.

How is an associate accounted for in the consolidated financial statements?

Accounting for associates

Consolidation is not appropriate for investments in associates, because the parent does not control an associate or its assets, liabilities, income or expenses.

Instead, the equity method is applied when accounting for an associate in the consolidated financial statements.

The equity method may also be applied in the separate financial statements of a parent company when accounting for either a subsidiary or an associate, but you will only be required to apply the equity method in consolidated financial statements.

Equity accounting requires the reporting of two line items in the consolidated statement of profit or loss and other comprehensive income (OCI) and one line item in the consolidated statement of financial position.

Equity accounting procedures

Equity accounting is fundamentally different from consolidation as different steps are applied.

Step 1: Adjust for any gain on a bargain purchase
Step 2: Allocate share of associate's historical gains/losses and other gains/losses to the group
Step 3: Allocate share of associate's current year profits/losses and other gains/losses to the group
Step 4: Eliminate group share of intercompany transactions
Step 5 (final step): Transfer adjustments to profit or loss to retained earnings

Goodwill arising on the acquisition of shares in an associate forms part of the carrying amount of the investment in the associate.

Where the cost of an investment in an associate is less than the fair value of the net assets acquired, a bargain purchase arises and:

- The initial measurement of the investment should be increased to be equal to the FV of the net assets acquired
- Income of the same amount is recognised immediately as part of the profit of the associate in the year of acquisition

The share of profit of associates is presented as a disaggregated line in the investing category of the SPL.

The required journal in the year in which the bargain purchase arises is as follows:

	Account name	£	£
Dr	Investment in associate (Consolidated SOFP)	X	
Cr	Share of profit of associate (Consolidated SPL)		X

Being the recognition of a bargain purchase

Post-acquisition profits and losses

Step 2: Allocate a share of the associate's historical profits/losses to the group

	Account name	£	£
Dr	Investment in associate (Consolidated SOFP)	Share of historical post-acquisition profits	
Cr	Retained earnings		Share of historical post-acquisition profits

Being the recognition of the group share of the associate's historical post-acquisition profits

Step 3: Allocate share of current year's profits/losses to the group

	Account name	£	£
Dr	Investment in associate (Consolidated SOFP)	Share of current year profits	
Cr	Share of profit of associate (Consolidated SPL)		Share of current year profits

Being the recognition of the group share of the associate's current year profits

Losses in an associate

Where an associate has made post-acquisition losses, the lines of the Step 2 and 3 journals are reversed.

OCI of an associate

Where an associate has made other comprehensive income since acquisition, the group share is brought into the consolidated SOFP and consolidated SPL in a similar way to the group share of post-acquisition profits.

Lesson 5: Associates – further issues

How are dividends from an associate eliminated?

Dividends from an associate

Intercompany items are accounted for in Step 4 of the equity accounting process.

An associate may pay a dividend in the year. Consider a group scenario in which the parent company, Tooting, owns 30% of the shares in an associate company, Chiswick. Consolidated financial statements must be prepared because Tooting also has an 80% owned subsidiary, Balham. Chiswick pays a dividend of £100k.

When preparing the consolidated financial statements for the Tooting group, using the procedures that you have learnt so far:

1. Tooting brings £30,000 dividend income into the investing category of the consolidated SPL.
2. The group share of Chiswick's profits of £90,000 (30% x £300,000) is brought into the consolidated SPL and added to the carrying amount of the investment in Chiswick.

Chiswick's profits of £300,000 include the £100,000 paid out as a dividend and it follows that the £90,000 group share of profits included in the consolidated SPL includes the £30,000 paid to Tooting as a dividend.

Consolidated SPL - The £30,000 dividend paid by Chiswick to Tooting is included in both dividend income and share of profit of the associate in the consolidated SPL.

To correct this, a consolidation adjustment is required to eliminate the £30,000 dividend income recorded by Tooting.

Consolidated SOFP - The £30,000 dividend is also double counted in the consolidated SOFP, as it is included within Tooting's bank balance and the carrying amount of the associate.

To correct this, the dividend received is eliminated from the carrying amount of the investment in the associate.

How is intercompany trading with an associate recognised?

Intercompany trading with an associate

Since an associate sits outside the group, intercompany income and expenses and intercompany receivables and payables related to transactions between the associate and parent company (or subsidiary) are not eliminated.

However, the group share of any unrealised profits made on intercompany transactions is eliminated. This is because only the group share is brought into the consolidated financial statements through equity accounting procedures.

IAS 28 refers to transactions between an associate and parent/subsidiary as either upstream or downstream transactions.

Upstream transactions - An upstream transaction is a sale from an associate to parent/subsidiary. The associate's profits include the unrealised profit and the parent's inventory includes the unrealised profit.

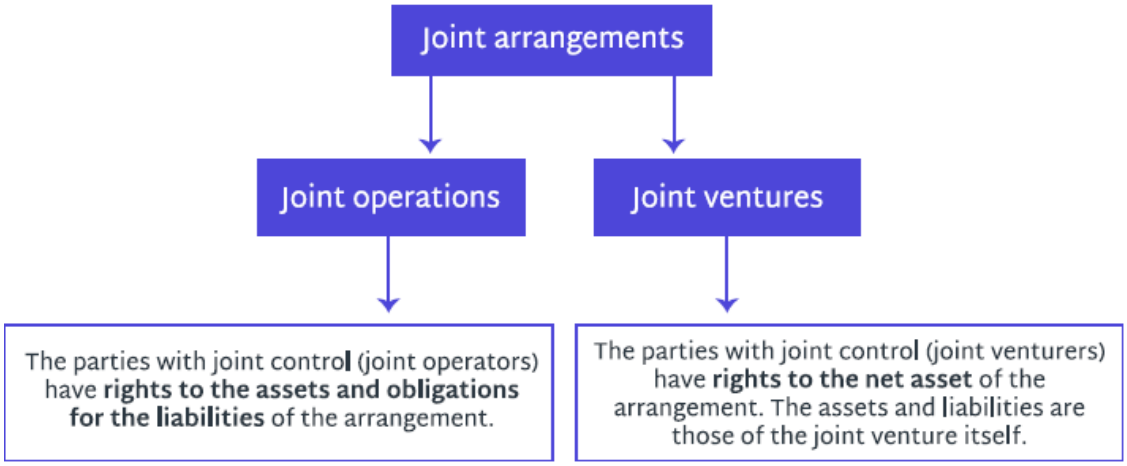
Downstream transactions - A downstream transaction is a sale from parent/subsidiary to an associate. The parent's profits include the unrealised profit and the associate's inventory includes the unrealised profit.

Lesson 6: Joint arrangements

Joint operations and joint ventures

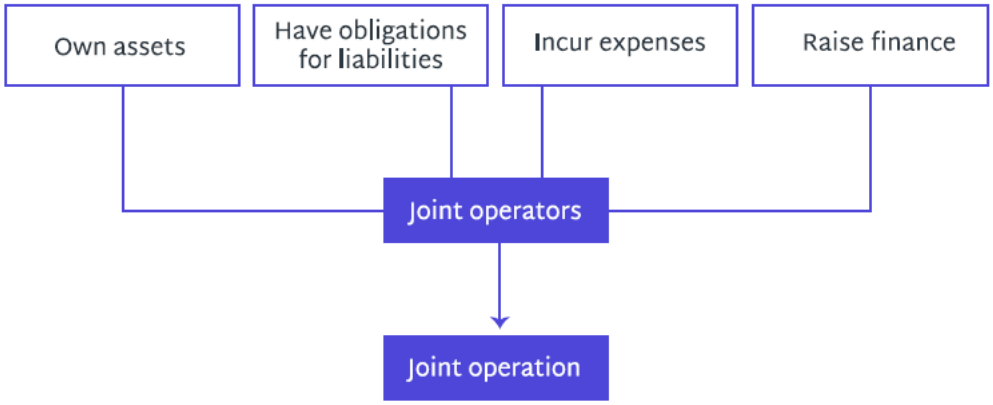
Joint operations and joint ventures (IFRS 11.14, 11.16)

Joint arrangements are classified as one of two types.



Joint operations

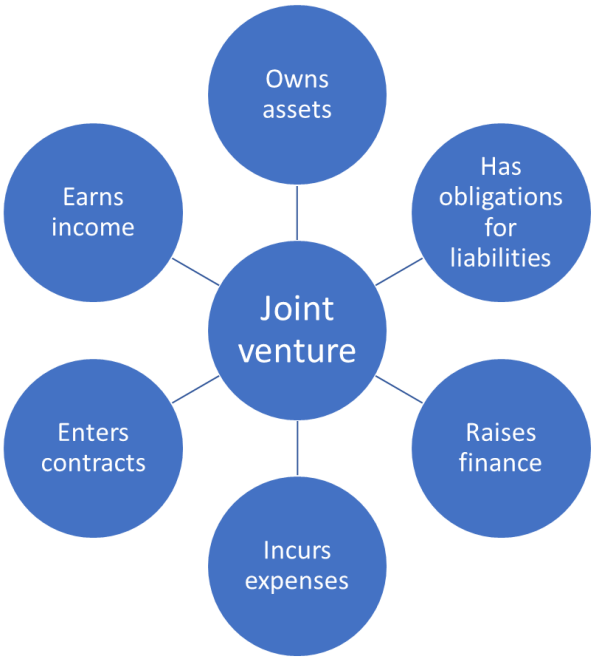
A joint operation may or may not be set up as a separate legal entity. Where there is no separate legal entity, joint operators provide resources to the joint operation:



The contractual agreement between joint operators usually details how revenues earned by the arrangement and expenses incurred are shared between the joint operators.

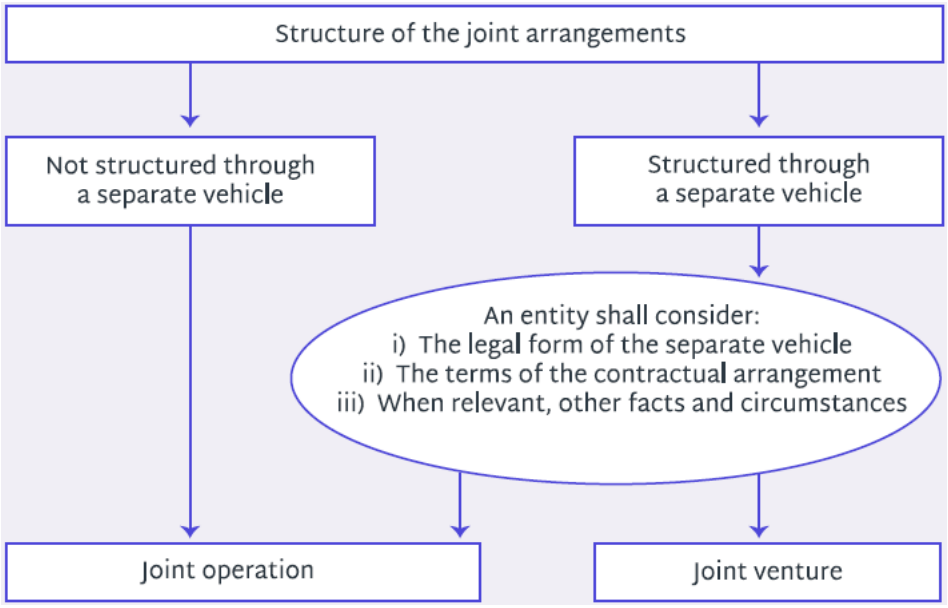
Joint ventures

A joint venture must be set up as a separate legal entity that keeps its own accounting records and produces financial statements[B21].

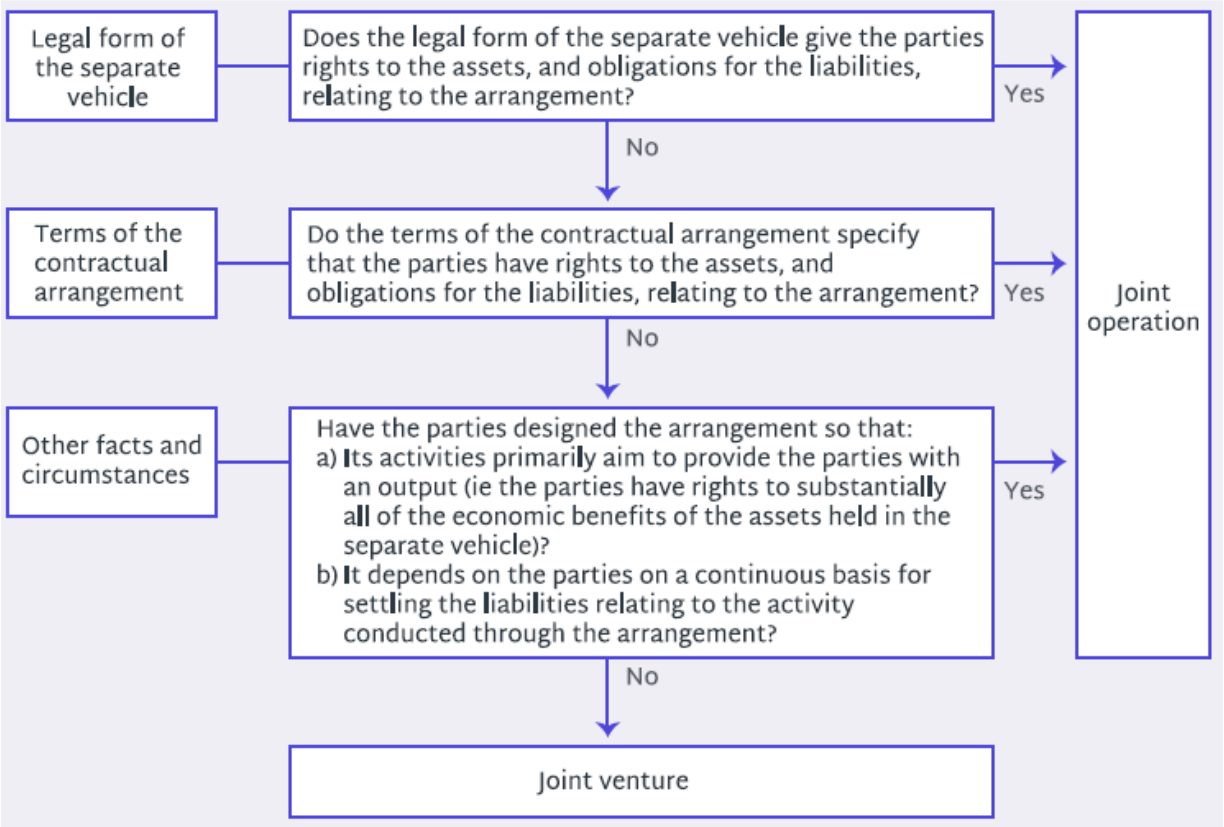


Joint operation versus joint venture (IFRS 11.B21, 11.B33)

The classification of a joint arrangement initially starts with the structure of the joint arrangement and the assessment of the parties' rights and obligations arising from the arrangement. The following scenario analysis summarises the classification process.



When the joint arrangement is structured through a separate vehicle, the assessment an entity follows to classify the arrangement is the following:



Tutor tip:
Accounting for joint operations is not within the Advanced Reporting and Performance syllabus, however you should be able to identify whether a joint operation relationship exists in a scenario and be able to advise on what that means.

When is an entity exempted from using the equity method?

Accounting methods for joint ventures

In general, the accounting methods for parties to a joint arrangement are not the same for all. It is different for the parties that are sharing joint control (joint operators or joint venturers) compared to those parties that participate but are not having joint control (other parties).

In the case of joint ventures:

- A joint venturer should account for its interest using the equity method under IAS 28, unless exempted from applying the equity method.
- Other parties that participate but do not have joint control should account for their interest in accordance with IFRS 9 Financial Instruments. Where they have significant influence, they could use the equity method under IAS 28.

Equity method – introduction (IFRS 11.24, IAS 28.16, IAS 27.10, IFRS 11.10)

You are already familiar with the equity method through its application in accounting for associates in the previous lessons. The equity method for joint ventures is identical to that for associates. Therefore the below is primarily intended to aid your revision.

Equity accounting is:

- Required in the consolidated financial statements for investments in associates and joint ventures
- Permitted in the separate financial statements of the investor for subsidiaries, joint ventures and associates

Cost of investment

The cost of investment may be more or less than the share of the fair value of net assets acquired.

Cost > FV of net assets acquired - Goodwill relating to an associate or joint venture is included in the carrying amount of the investment; this is **not recognised separately.**

Cost < FV of net assets acquired - Included as income in the period in which the investment is acquired

Impairment losses (IAS 36.41A, 36.42)

The net investment in a joint venture is impaired and impairment losses are incurred if, and only if, there is objective evidence of impairment (e.g. significant financial difficulty of the joint venture). It may not be possible to identify a single, discrete event that caused the impairment. Rather, the combined effect of several events may have caused the impairment.

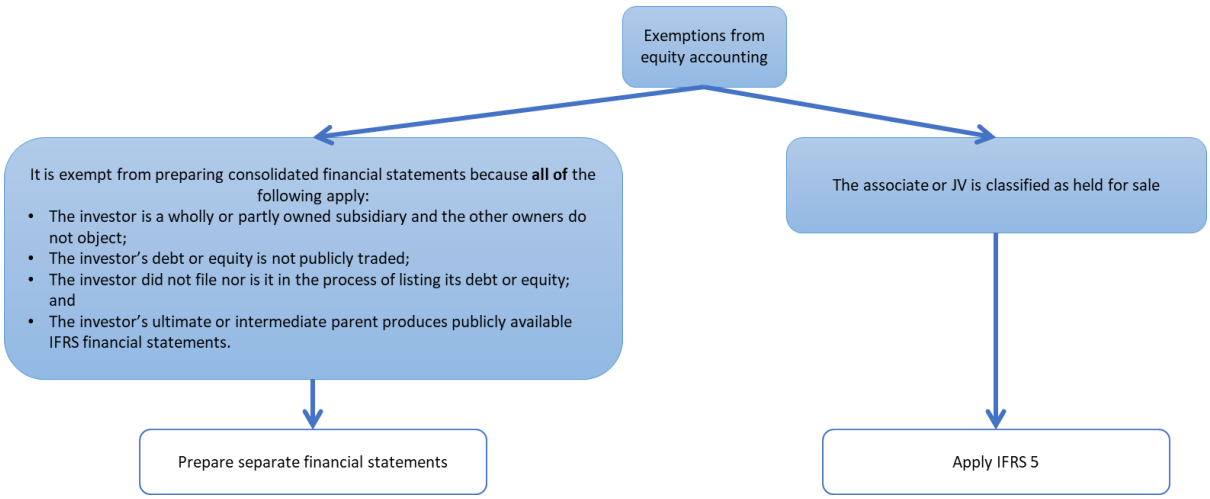
- It is important to remember that **goodwill** included in the net carrying value of an investment in a joint venture is **NOT recognised separately**, so it is **NOT tested for impairment separately** per IAS 36.
- Instead, **the entire carrying amount of the investment is tested for impairment** in accordance with IAS 36 as a single asset. This is done by comparing its recoverable amount with its carrying amount and **when there is indication for impairment as described previously**.
- An impairment loss recognised in those circumstances is not allocated to any asset, including goodwill, that forms part of the net investment.
- The approach is the same for investment in an associate.

The effect of intercompany trading

Accounting treatment for intercompany trading in joint ventures is identical to the treatment for an associate.

Exemptions from equity accounting for associates and joint ventures

An investor need not apply the IAS 28 equity method if[17,20]:



Disclosure of joint arrangements

Under IFRS 12, companies shall disclose information that enables users of its financial statements to evaluate the nature, extent and financial effects of its interests in joint arrangements and the nature of risks associated with their interests [IFRS 12, 20].

Specifically, an entity shall disclose [IFRS 12, 21, 22]:

a) A list of joint arrangements that are material for the entity, including the names of joint arrangements, the nature of the entity's relationship with them, the principal place of business, and the proportion of ownership interest.
b) Accounting method used and summarised financial information for the joint ventures that are material to the firm.
c) the nature and extent of any significant restrictions (e.g. resulting from borrowing arrangements, regulatory requirements or contractual arrangements between investors with joint control of or significant influence over a joint venture or an associate) on the ability of joint ventures or associates to transfer funds to the entity in the form of cash dividends, or to repay loans or advances made by the entity.

Separate financial statements

Where an investor does not prepare consolidated financial statements, it should incorporate its investment in an associate or joint venture in its separate financial statements in line with IAS 27. The investment should be measured [44]:

At cost; or

In accordance with IFRS 9; or

Using the IAS 28 equity method

Uniform accounting policies

Uniform accounting policies should be applied by associates/ joint ventures and investors [35].

Coterminous year-end dates

Unless impractical, all companies included in consolidated financial statements should have the same reporting date [33].

Where an associate or joint venture does not have the same reporting date as the group, its accounts may be used for equity accounting purposes provided that the gap between reporting dates is three months or less and adjustments are made for the effects of significant transactions or events during this time [34].

d) Risks associated with an entity's interests in joint ventures, namely commitments that it has relating to its joint ventures and contingent liabilities incurred relating to its interests in joint ventures.

Lesson 7: Foreign subsidiaries

Some key terms and definitions

Functional currency	The currency of the primary economic environment in which the entity operates.
Presentational currency	The currency in which the financial statements are presented.
Exchange rate	The ratio of exchange for two currencies.
Spot exchange rate	The exchange rate for immediate delivery.
Closing rate	The spot exchange rate at the end of the reporting period.
Monetary items	Units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency.

What are the requirements of IAS 21 to translate the individual financial statements of a foreign subsidiary?

As exchange differences result in increases or decreases in assets and liabilities and are not transactions with holders of equity claims (shareholders), they meet the definitions of income and expense from the *Conceptual Framework for Financial Reporting*.

The accounting for exchange differences on individual company transactions is part of your assumed knowledge.

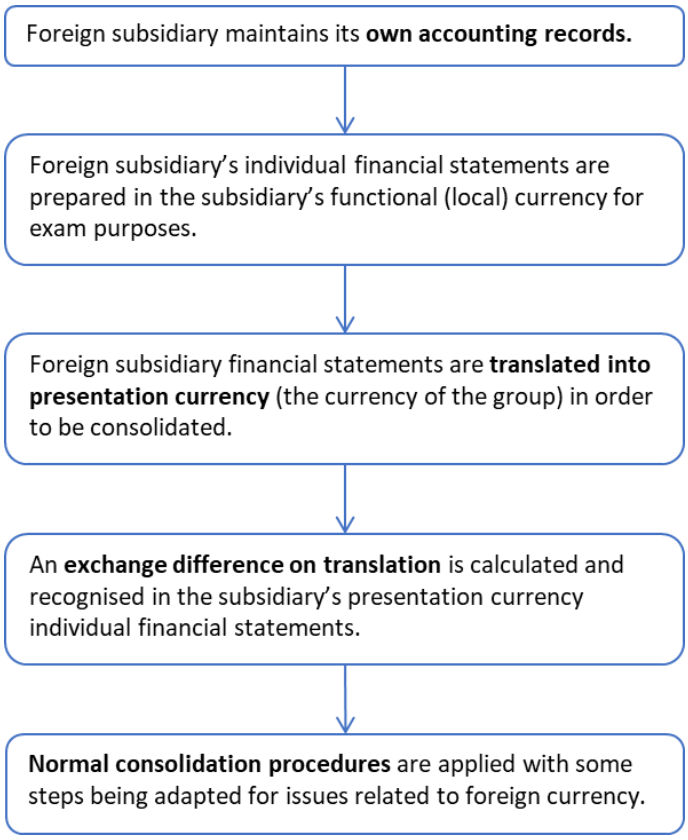
IFRS 18 provides guidance on where in the SPL the foreign currency exchange gains or losses should be recognised. It states that "an entity [is] to classify foreign exchange differences in the same category of the statement of profit or loss as income and expenses from the items that give rise to the foreign exchange differences..."[IFRS 18.48, BC207].

This means that if the translation loss is on trade payables, the loss should be recorded in the Operating category of the SPL.

The results of a foreign subsidiary must be included in consolidated financial statements in the same way as the results of all other subsidiaries.

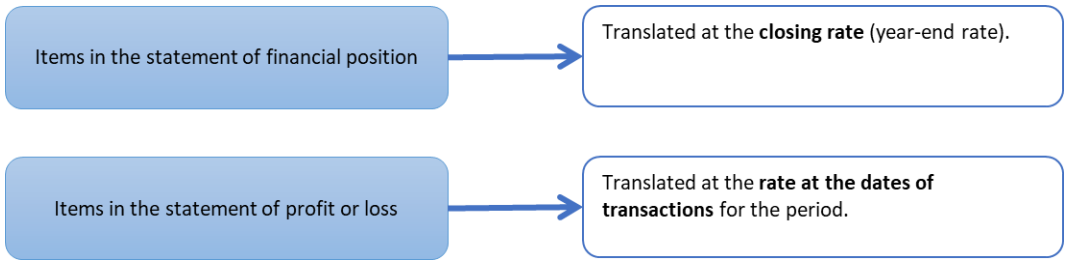
How do you translate gains and losses arising on consolidation of a foreign subsidiary?

If the foreign subsidiary's functional currency differs from the group's functional currency, it translates its results and financial position into the group's presentation currency [38].



All questions in the ARP exam will be based on a UK group with sterling as its presentation currency.

Translation of foreign subsidiary's financial statements



Exchange differences are a result of [IAS 21.41]:



Recognition of exchange differences (IAS 21.41)

Exchange differences are **not recognised in profit or loss**. The cumulative amount of the exchange differences is **presented in a separate component of equity**. We will use a **translation reserve** [41].

This is reported in **other comprehensive income** (OCI) in the subsidiary's individual financial statements.

An exchange difference arises each year on translation and the amount reported in the translation reserve is cumulative. For the purposes of the ARP exam, all foreign subsidiaries will be acquired in the current accounting period.

The translation reserve is a post-acquisition reserve and therefore part of it must be allocated to the non-controlling interests (NCI).

How do you construct consolidated financial statements that include a foreign subsidiary

We now have an additional PRE-CONSOLIDATIONS step to be performed.

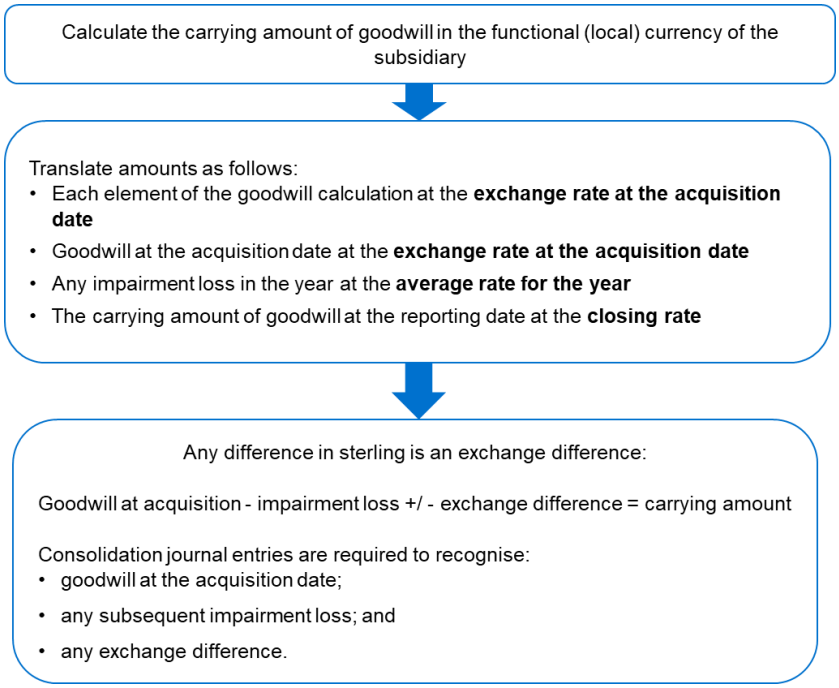
Pre-consolidation: Step 1 – Translate the financial statements to presentation currency

Pre-consolidation: Step 2 – Calculate and recognise exchange differences on translation
(see worked example below for calculation and journal entry)

Goodwill and Fair Value Adjustments

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition of that foreign operation shall be treated as assets and liabilities of the foreign operation. Thus, they shall be expressed in the functional currency of the foreign operation and shall be translated at the closing rate [47].

The relevant process for the goodwill adjustment is presented below:



Consolidation of a foreign subsidiary: Worked Example

Worldwide plc (Worldwide) purchased 75,000 $1.00 shares in a Canadian company, Maple Ltd (Maple), for £360,000 on 1 January 20X3. Extracts from the statement of financial position of Maple at that date are shown below:

Maple Ltd
Statement of financial position (extracts)
As at 1 January 20X3

	$'000
Equity	
Share capital	100
Retained earnings	560
Total equity	660

The abbreviated statements of financial position and extracts from the statements of profit or loss of the two companies at 31 December 20X3 were as follows:

Statements of financial position (abbreviated)
As at 31 December 20X3

	Worldwide	*Maple*
	£'000	$'000
Non-current assets	180	170
Investment in Maple	360	-
Other net assets	250	530
	790	700
Share capital	150	100
Retained earnings	640	600
	790	700

Statements of profit or loss (extracts)
For the year ended 31 December 20X3

	Worldwide	*Maple*
	£'000	$'000
Profit before income taxes	81	86
Income tax expense	(20)	(21)
PROFIT	61	65

Maple paid a dividend of $25,000 during the year, when the exchange rate was $1.63. Dividends received from Maple are included in dividend income.

Following an impairment review in the current year, 20% of the goodwill must be written off. NCI is based on share of net assets.

The relevant exchange rates are as follows:

- 1 January 20X3 – $1.60:£1
- Average for 20X3 – $1.63:£1
- 31 December 20X3 – $1.65:£1

Pre-consolidation: Step 1 – Translate the financial statements to presentation currency

Pre-consolidation: Step 2 – Calculate and recognise exchange differences on translation

Retained profit for the year = $65k - $25k = $40k

Opening net assets	**Closing rate**	**Opening rate**	**Exchange difference**
	£'000	£'000	£'000
Share capital	$100k/1.65	$100k/1.60	
	61	63	(2)
Retained earnings	$560k/1.65	$560k/1.60	
	339	350	(11)
Profits	*Closing rate*	*Average rate*	
Retained profit for the year	$40k/1.65	$40k/1.63	
	24	25	(1)
Exchange losses on translation			(14)

JE 1	Dr	Translation reserve		14	
		Cr	Share capital		2
		Cr	Retained earnings		12
	being exchange losses on translation of subsidiary in the current year				

Consolidation: Step 1 – Add financial statements together

Consolidation: Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

Shareholding = 75k/100k = 75% (25% non-controlling interests)

	$'000	$:£	£'000
Investment in Maple	576	1.60	360
Non-controlling interests' share of net assets	165	1.60	103
	741		463
Share capital	100	1.60	63
Retained earnings	560	1.60	350
	660		413
Goodwill at 1 January 20X3	81		50
Impairment of goodwill (20% x $81k)	(16)	1.63	(10)
Exchange loss			(1)
Goodwill at 31 December 20X3	65	1.65	39

JE 2	Dr	Share capital		63	
	Dr	Retained earnings		350	
	Dr	Goodwill		50	
		Cr	Investment in Maple		360
		Cr	SFP – non-controlling interests		103
	being elimination of investment and creation of goodwill and non-controlling interests				

JE 3	Dr	Translation reserve		1	
		Cr	Goodwill		1
	being exchange loss on goodwill				

Consolidation: Step 3 – Recognise any impairment of goodwill

JE 4	Dr	SPL – impairment loss		10	
		Cr	Goodwill		10
	being current year impairment of goodwill				

Consolidation: Step 4 – Allocate share of subsidiary's historical profit/ loss and other gains/ losses to non-controlling interests

N/A – subsidiary acquired during the current year.

Consolidation: Step 5 – Allocate share of subsidiary's current year profit/ loss and other gains/ losses to non-controlling interests

Non-controlling interests' share of current year profit = 25% x ($65k/1.63) = £10k

Non-controlling interests' share of current year exchange losses on translation = 25% x £14k = £4k

JE 5	Dr	SPL – non-controlling interests	10	
	Cr	Translation reserve		4
	Cr	SFP – non-controlling interests		6

being non-controlling interests' share of current year profit less exchange losses on translation

Note. Non-controlling interests are only allocated their share of the exchange loss on translation of the subsidiary's individual financial statements and not any of the exchange difference on goodwill as non-controlling interests are measured at a share of net assets.

Consolidation: Step 6 – Eliminate intercompany transactions and balances and allocate share of adjustments to profit/ loss to non-controlling interests

Translated dividend = $25k/1.63 = £15k

	£'000
Group share of dividend (75% x £15k)	11
Non-controlling interests' share of dividend (25% x £15k)	4
Dividend	15

JE 6	Dr	SPL – dividend income	11	
	Dr	SFP – non-controlling interests	4	
	Cr	Retained earnings		15

being elimination of intercompany dividend

Consolidation: Final step – Transfer adjustments in the consolidated statement of profit or loss to the consolidated statement of financial position

	£'000
Current year impairment of goodwill (JE 4)	10 Dr
Non-controlling interests' share of current year profit (JE 5)	10 Dr
Elimination of intercompany dividend (JE 6)	11 Dr
Total	31 Dr

JE 7	Dr	Retained earnings	31	
	Cr	SPL		31

being transfer to retained earnings

Disclosures (IAS 21.51-53)

IAS 21 requires certain disclosures:

1. The amount of exchange differences recognised in profit or loss except for those arising on financial instruments measured at fair value through profit or loss in accordance with IFRS 9.

2. Net exchange differences recognised in other comprehensive income.

3. The amount of the separate component of equity, and a reconciliation of the amount of such exchange differences at the beginning and end of the period.

4. When the presentation currency is different from the functional currency, that fact shall be stated, together with disclosure of the functional currency and the reason for using a different presentation currency.



Study guide checklist

Have you completed reading module 6?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 7 – Statement of Cash Flows

Introduction

Welcome to the study guide for Module 7 of the Advanced Reporting and Performance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

SLO1 Advise on the requirements for financial reporting and performance in accordance with relevant standards.

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

1.1 Construct, with appropriate workings, the financial statements for an individual company.
1.2 Construct, with appropriate workings, the consolidated financial statements for a group.
1.3 Advise on the effect of transactions and adjustments on the financial statements of an individual company and of a group.

This will be achieved by working towards the following performance indicators:

1.1.1 Construct the primary financial statements of an individual company in accordance with IFRS Accounting Standards
1.2.3 Construct consolidated financial statements which might include:
- complex consideration
- non-controlling interests measured as a proportionate share of net assets or at fair value
- goodwill or bargain purchase
- fair value adjustments on acquisition
- elimination of intragroup transactions

1.3.1 Advise on the effect of transactions and adjustments on the financial statements of an individual company and of a group.
1.3.3 Advise on the effect of transactions and adjustments related to consolidation on the financial statements of a group.

You will be ‘assessment ready’ for questions in Module 7 when you can confidently complete each set of the learning outcomes above.

Lesson 1: Statement of cash flows for an individual company

What is the purpose of a statement of cash flows and what should be included in the statement of cash flows?

The SCF, together with financial statements, allows users to evaluate:

- Changes in the net assets of an entity
- The financial structure of an entity (including its liquidity and solvency)
- The ability of an entity to adapt to changing circumstances and opportunities

Refer to RP2 Module 7 Study guide for what should be included in statement of cash flows.

Refer also to IFRS Standards, B Book, IAS 7 for a comprehensive example of Statement of Cash Flows.

How is a statement of cash flows constructed?

You learnt how to construction statement of cash flows in both RP1 and RP2. RP1 covering direct method for operating activities and RP2 covering indirect method. Refer to both RP1 and RP2 study guides.

In the ARP assessment, you need to read the requirement carefully to identify which sections or extracts from the statement of cash flows are required.

Cash flows from operating activities

Cash flows arising from operating activities are a key indicator of the extent to which the operations of the entity have generated sufficient cash flows to repay loans, maintain the operating capability of the entity, pay dividends and make new investments, without recourse to external sources of financing.

Cash flows from operating activities are primarily derived from the principal revenue-generating activities of the entity. Net cash flows from operating activities will always include:

- Cash from operating activities before income taxes
- Income taxes paid

IAS 7 offers a choice of method to report cash generated from operations:

- **Direct method**: Disclose cash receipts from customers and cash payments to suppliers and employees
- **Indirect method**: Operating profit is adjusted for: (1) non-cash transactions and (2) working capital movements

Cash flows from operating activities:

Inflows	Outflows
Cash receipts from the sale of goods and rendering of services	Cash payments to suppliers for goods and services
Cash receipts from royalties, fees, commissions and other revenue	Cash payments to and on behalf of employees
	Income taxes paid

Income taxes paid - Income taxes paid (in the UK, corporation tax) are an operating cash outflow. We will not consider other types of taxes paid in further detail.

Interest - Interest paid must be included within the financing activities.
Interest received must be included within the investing activities (IAS 7.34A).
When calculating interest paid/received, consider:

- Interest expense/income in the statement of profit or loss
- Accrued interest expense/income in the statement of financial position

Dividends - Dividends paid must be included within financing activities (IAS 7.33A).

Dividends received must be included within investing activities (IAS 7.34A).

Dividends declared in the year can be calculated by reconciling the opening and closing balance in retained earnings.

If there is a dividend payable balance, it adjusts the calculated dividends declared to find dividends paid.

Lesson 2: Consolidated statement of cash flows

How is a consolidated statement of cash flows constructed?

Consolidated financial statements are the financial statements of a group in which assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity. (IAS 28, 3)

Elimination of intra-group transactions

It is essential to eliminate transactions occurring within the group to avoid any duplication in the consolidated statement. As we use the CSFP and CSPLOCI, these will have been removed.

Equity method of consolidation

This is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's share of the investee's net assets. The investor's profit or loss includes its share of the investee's profit or loss, and the investor's other comprehensive income includes its share of the investee's other comprehensive income. (IAS 28, 3)

When using the equity method of consolidation, we show only cash flows happening between the group and the entity, eg dividends.

Dividends to non-controlling interests

Non-controlling interests are equity in a subsidiary (ie an entity controlled by another entity) which are not attributable, directly or indirectly, to a parent (IFRS 10, Appendix A).

Dividends to non-controlling interests are categorised and presented under cash flows from financing activities.

Acquisition/disposal of subsidiary

The cash paid or received for acquiring or disposing of a subsidiary should be reported in the cash flows from investing activities. This amount should be net of any cash and cash equivalents included in the transaction. In addition, adjustments will be necessary such as inventory, trade receivable, trade payables, and property, plant, and equipment (PPE), which are influenced by the acquisition or disposal. This will be discussed later in the module.

An illustrative example of a consolidated statement of cash flows is provided below. Lines shaded in green are new items that are presented in the consolidated statement of cash flows.

Consolidated Entity Ltd
Consolidated Statement of cash flows
For the year ended 31 December 20XX

	£'000
Cash flow from operating activities	
Operating profit	**XX**
Adjustments for:	
Impairment of goodwill	XX
Depreciation charge	XX
(Gain)/loss on disposal of non-current assets	(XX)/XX
Release of deferred income	(XX)
(Increase)/decrease in inventories	(XX)/XX
(Increase)/decrease in trade receivables	(XX)/XX
(Increase)/decrease in prepayments	(XX)/XX
Increase/(decrease) in trade payables	XX / (XX)
Increase/(decrease) in accruals	XX / (XX)
Increase/(decrease) in provisions related to operating activities	XX / (XX)
Cash from operating activities before income taxes	**XX**
-Income taxes paid	(XX)
Net cash generated from/(used in) operating activities	**XX**
Cash flow from investing activities	
Acquisition of subsidiary undertaking	(XX)
Disposal of subsidiary undertaking	XX
Cash paid to acquire non-current assets	(XX)
Cash receipts from the sale of non-current assets	XX
Cash paid to acquire/received from the sale of shares and debentures in other entities	(XX)/XX
Cash loans made to/repaid by other entities	(XX)/XX
Dividends received	XX
Dividends received from joint ventures and associates	XX
Interest received	XX
Net cash generated from/(used in) investing activities	**XX**
Cash flows from financing activities	
Proceeds from issue of new shares	XX
Dividends paid to non-controlling interests in subsidiary undertakings	(XX)
Cash paid to acquire/redeem own shares	(XX)
Cash proceeds from issuing debentures and loans	XX
Repayment of capital element of lease obligations	(XX)
Interest paid	(XX)
Dividends paid	(XX)
Net cash generated from/(used in) financing activities	**XX**
Net (decrease)/increase in cash and cash equivalents	**XX**
Cash and cash equivalents at the beginning of the year	XX
Cash and cash equivalents at the end of the year	**XX**

How are cash flows related to non-controlling interests in subsidiaries handled and reported in the consolidated statement of cash flows?

Non-controlling interests (NCI)

As noted earlier, non-controlling interests are equity in a subsidiary (i.e. an entity controlled by another entity) not attributable, directly or indirectly, to a parent (IFRS 10, Appendix A).

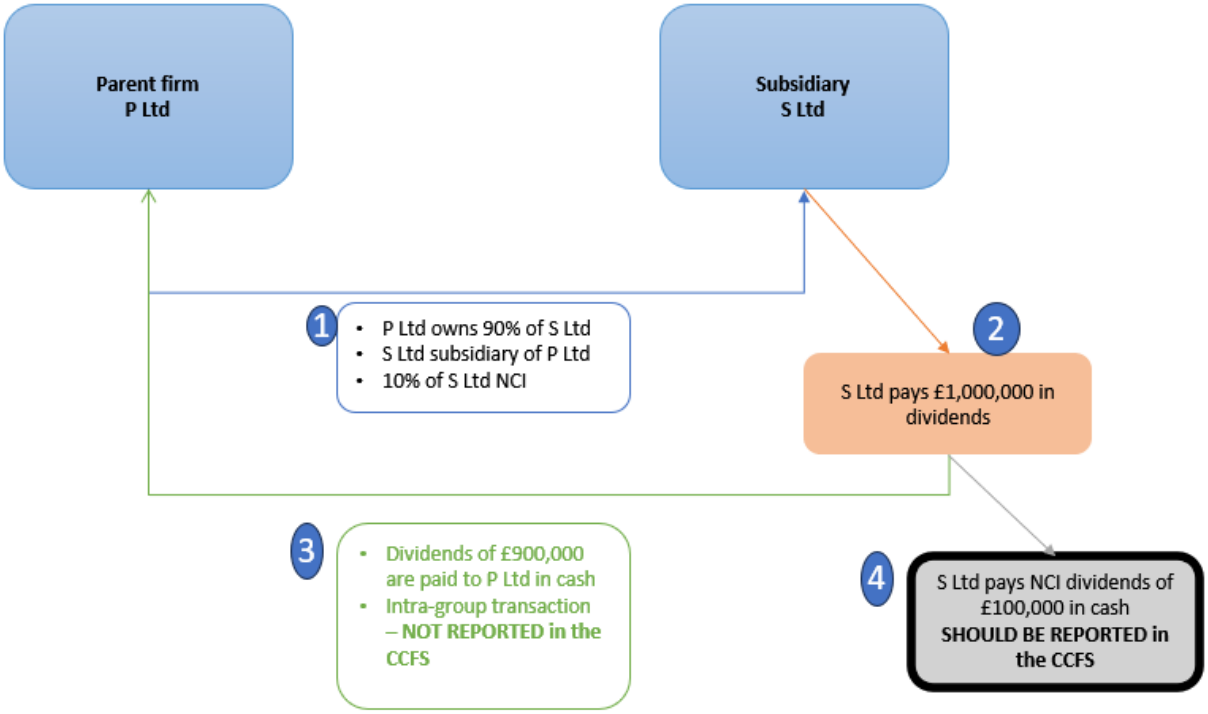
As discussed in the module on consolidation, a subsidiary will be fully consolidated regardless of whether there is anon-controlling interest. This results in the complete integration of all its assets and liabilities with those of the parent firm. This principle also extends to the presentation of cashflow items in the consolidated financial statements.

However, certain cash transactions between the parent and the NCI need to be reflected separately in the consolidated statement of cash flows.

A dividend paid to an NCI is:

- Reported either in cash flows from operating or financing activities.
- If you are explicitly told the amount of dividend paid by a subsidiary, the NCI element can be calculated directly. Otherwise, the dividend paid to an NCI is calculated as: opening balance in CSFP + share of profit and other comprehensive income (OCI) - closing balance in CSFP.

Example:



How are cash flows from associates and joint ventures reported in the consolidated statement of cash flows?

Remind yourself of key definitions:

Associate
An entity over which the investor has significant influence

Joint venture
Joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement

Joint control
Contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control

During consolidation, **both investment in associates and joint ventures** are recognised using the **equity method.**

In the case of investment in associates, this means that the CSPLOCI should include the group's share of profit. While this is not cash related, it is **relevant for the calculation of the payment of dividends by the associates (which is a cash transaction) and should be included either under cash flows from operating activities or investing activities.**

If you are not told the dividend paid by the associate explicitly, the dividends received from the associate = opening balance of CSFP + share of associate's profit for the year and OCI - closing balance of CSFP.

Any other cash transactions between the group and the associate should also be reported in the statement of cash flows (e.g. advances). The same approach should be taken for the treatment of cash flows of joint ventures.

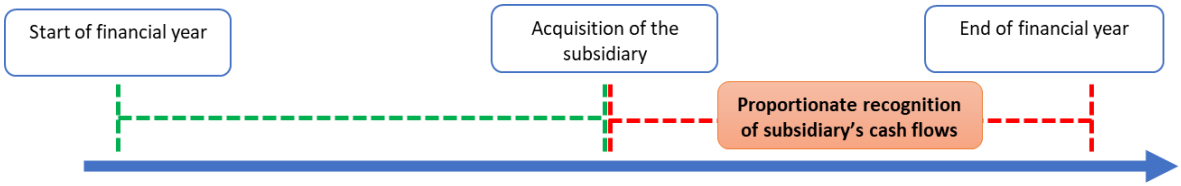
How are cash flows arising from the acquisition or disposal of subsidiaries treated and disclosed in the consolidated statement of cash flows?

Amounts paid to acquire a subsidiary/proceeds on the sale of a subsidiary

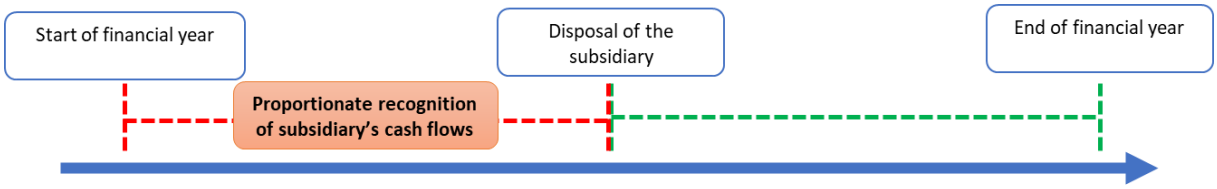
The acquisition/disposal of a subsidiary during the year is presented as a net cash outflow/inflow under investing activities in the consolidated statement of cash flows. It shows the net cash paid/received to acquire/dispose of the subsidiary, net of any cash and cash equivalents held by the subsidiary.

The effect of acquisition/disposal of a subsidiary on non-cash balances in consolidated statement of cash flows

When a group acquires a subsidiary, the consolidated statement of cash flows should reflect only those cash flows relating to the subsidiary that occurred subsequent to the acquisition date. This ensures that the financial reporting accurately represents the group's cashflow activities.



When a group disposes a subsidiary, the consolidated statement of cash flows should reflect only those cash flows that occurred from the start of the financial year and up to the acquisition date. This ensures that the financial reporting accurately represents the group's cashflow activities until the point of disposal.



In both scenarios, adjustments will be necessary to take account of non-cash balances held by the subsidiary at the date of acquisition or disposal. These include balances such as: inventory, trade receivables, trade payables, and property, plant and equipment (PPE).

If a subsidiary is **acquired** during the year, the subsidiary's asset and liability balances at the date of acquisition are **added to the opening statement of financial position balances** before calculating the movement in the balance.

If a subsidiary is **disposed of** during the year, the subsidiary's asset and liability balances at the date of disposal are **deducted from the opening statement of financial position balances** before calculating the movement in the balance.

Worked Example:

What is the amount that will be disclosed as "Acquisition of subsidiary, net of cash acquired" in the consolidated statement of cash flows?

During the financial period 20X3, Alpha Ltd (Alpha) acquired 80% of Beta Ltd (Beta). The acquisition details are provided below:

	£'000	**£'000**
Investment in Beta Ltd	1,400	
Non-controlling interests' shares of net assets	336	
		1,736
Share capital	1,000	
Retained earnings	680	
		1,680
Goodwill		56

Discharged by:

Issue of shares	300
Cash paid	1,100
	1,400

Note: The fair value of the net assets at the date of acquisition are presented below:

	£' 000
Property, plant and equipment	1,200
Inventory	450
Trade receivables	200
Cash	150
Trade payables	(320)
	1,680

Summary amounts from the Consolidated SOFP are provided below:

Alpha Ltd

Summary figures from the Consolidated SOFP	20X3 £'000	20X2 £'000
Non-current assets		
Property, plant and equipment	4,200	2,500
Current assets		
Inventory	920	200
Trade receivables	1,400	320
Cash and cash equivalents	600	200
Current liabilities		
Trade payables	(600)	(400)

SOLUTION:

Acquisition of subsidiary, net of cash acquired (£1,100,000 - £150,000) = £950,000

Although Alpha spent £1,100,000 in cash to acquire Beta, the actual net cash flow is £950,000, considering that Beta had a cash position of £150,000 at the date of acquisition.

What is the amount of cash paid to acquire property, plant and equipment (PPE), assuming depreciation of £320,000 was charged and there were no other transactions impacting PPE?

SOLUTION:

	£'000
Opening PPE per Consolidated SOFP	2,500
Add: PPE on acquisition of Beta	1,200
Less: Depreciation	(320)
	3,380
Closing PPE per Consolidated SOFP	4,200
Cash purchase	820

IAS 7 – Disclosure requirements

Under IAS 7, regardless of whether the direct or indirect method is used, a consolidated statement of cash flows must include notes that detail the acquisition and disposal of subsidiaries.

The consolidated statement of cash flows should report the net cash flows arising from acquisitions or disposals under investing activities.

In the event of an acquisition or disposal of a subsidiary, the notes to the financial statements should disclose:

- The total consideration for the purchase or disposal
- The portion of the purchase or disposal consideration settled in cash and cash equivalents
- The amount of cash and cash equivalents in the subsidiary at the time of acquisition or disposal
- A summary of the assets and liabilities, excluding cash and cash equivalents, in the subsidiary acquired or disposed of, categorised by major headings



Study guide checklist

Have you completed reading module 7?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 8 – Non-financial Reporting: Sustainability Disclosures

Introduction

Welcome to the study guide for Module 8 of the Advanced Reporting and Performance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

By completing this module, you will have worked towards the following syllabus learning outcomes:

SLO 2 Advise on the requirements for non-financial reporting and performance in accordance with relevant standards

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

2.1 Advise on the effective communication of statutory and non-statutory information in corporate reporting
3.1 Illustrate ethical dilemmas arising in a financial and a non-financial reporting context.
3.2 Recommend a course of action to address ethical dilemmas in line with the ICAS Code of Ethics.

This will be achieved by working towards the following performance indicators:

2.1.1 Evaluate the quality and sufficiency of the non-financial information disclosed.
2.1.2 Advise whether the non-financial information disclosed meets the requirements under various frameworks (IFRS Sustainability Disclosure Standards, European Sustainability Reporting Standards, GRI Standards).
2.1.4 Recommend improvements to non-financial information and disclosures.

You will be ‘assessment ready’ for questions in Module 8 when you can confidently complete each of the learning outcomes above.

Lesson 1: Non-financial reporting concepts and principles

Reporting concepts and principles

You have met the terms sustainability and environmental, social and governance (ESG) factors in your previous studies. Can you remember the definitions of these important terms?

Sustainability	A concept that refers to the ability to maintain continuously over time. It is about ensuring a prosperous future for people and planet and considering environmental and social risks and opportunities. Different entities use other definitions, but they are anchored in this basic, long-term concept. Embedding a sustainability approach encompasses management of risks and opportunities, responsible business culture, strategy and operations, and includes consideration of ESG factors.
Environmental factors	Environmental factors relate to the use and treatment of the natural environment and natural systems. These include: biodiversity loss, greenhouse gas (GHG) emissions, climate change, renewable energy, energy efficiency, air, water or resource depletion or pollution, waste management, stratospheric ozone depletion, changes in land use, and ocean acidification.
Social factors	Social factors relate to people. Examples of people factors include: labour standards in the supply chain, workplace health and safety, freedom of speech, human capital management, diversity, and relations with local communities. This could be relevant in operational processes too, such as personal data privacy, labelling of products and responsible marketing practices.
Governance factors	Governance factors relate to corporate governance and general governance of the company, which includes governance of environmental and social matters. Examples of corporate governance include: board leadership, shareholder engagement, company strategy, diversity and competence of the board, effectiveness of committees and audit functions, oversight of risk and internal controls, and executive remuneration. Examples of factors relating to general governance include: general ethos and culture, transparency in disclosures, effectiveness of management reporting, time horizon of management, relationships with all staff and other stakeholders, as well as policies, processes and structures to assess and govern all environmental and social matters in accordance with the entity's strategy and in a fully legal and compliant way. Note that some people use the terms governance and corporate governance interchangeably.

You have also been introduced to the GRI, IFRS Sustainability Disclosure Standards and ESRS standards in your previous studies. These are the standards you need to be aware of for the purposes of understanding sustainability related disclosures, either within the annual report or in a standalone report.

What do the standards expect the non-financial disclosures to achieve overall?

The GRI, IFRS Sustainability Disclosure Standards and ESRS standards all establish frameworks which, if followed, require reporting entities to disclose high quality information that aims to:

- satisfy the information needs of stakeholders
- meet the intended objective of the standard by addressing its conceptual foundations and principles
- align with recognised frameworks such as the United Nations Sustainable Development Goals (UN SDGs)
- meet applicable regulatory requirements (i.e. modern slavery disclosure requirements)
- for listed entities, comply with relevant listing requirements of local stock exchanges.

Whilst each of the standards share these common aims, they each take a different approach to important matters such as the stakeholder groups that they intended to provide information to and how materiality is determined.

What are the different approaches to materiality taken by the standards?

The GRI, IFRS Sustainability Disclosure Standards and ESRS standards all expect entities to report information about topics and impacts that are material to the entity's operations. Materiality is the cornerstone for determining if content disclosed by a reporting entity meets the information needs of those using the report. Understanding materiality will help you to understand the primary aims and reporting concepts under each of the standards.

Financial Materiality	Impact Materiality	Double Materiality
Financial materiality considers the importance of information which affects the financial position or performance of the reporting entity. IFRS Sustainability Disclosure Standards refer to "risks and opportunities that could reasonably be expected to affect the entity's prospects". **IFRS Sustainability Disclosure Standards apply financial materiality.**	Impact materiality considers the importance of information about the reporting entity's impact on the economy, environment and society for the benefit of multiple stakeholders. **GRI Standards apply impact materiality.**	Double materiality considers both the impact of the organisation on environmental and social issues, and the impact on the organisation of environmental and social issues. Information meets the criteria of double materiality if it is material from the impact perspective or from the financial perspective, or from both of these two perspectives. **ESRS Standards apply double materiality**

			
Cause-effect relationship	The impact **on** the business	The impact **of** the business	The impact **on** the business and/or the impact **of** the business
Users of information	Existing and potential investors and lenders	All stakeholders	All stakeholders
Approach	Financial materiality	Impact materiality	Double materiality
Example of standards taking this approach	IFRS Sustainability Disclosure Standards	GRI Standards	European Sustainability Reporting Standards
Materiality concepts and criteria for the standards	• material, **sustainability-related risks and opportunities** (SROs) that could reasonably be expected to affect the entity's prospects over the short, medium and long term Material SROs are those that would be considered relevant by **primary users** when making decisions related to providing capital to the entity.	• most significant **impacts** on the economy, environment, and people, including impacts on their human rights Impacts arise as a result of the entity's activities or business relationships along the value chain, contributing positively or negatively, to sustainable development.	• **sustainability matters** that are material from an **impact and financial** perspective Material sustainability matters are environmental, social or governance matters that have an actual or potential positive or negative material impact on people or the environment, or financial prospects, over the short-medium- or long-term.

Tutor tip: In the assessment, you may be expected to make recommendations for improvements to draft disclosures that have been prepared by the reporting entity. The materiality concept relevant to the standard being applied will be an important part of making such recommendations as referring to materiality will help you to focus on what the entity was aiming to achieve. Reference to materiality will also help you to provide advice on what additional information or changes to information might needed if an entity was reporting under different standards.

What are the conceptual foundations and reporting concepts of the different standards?

GRI

Entities are to disclose information on their **material topics that cause the most significant impacts on the economy, environment and people**, including impacts on their human rights. Due diligence and **stakeholder engagement** are to be conducted to help entities identify their most significant impacts.

Entities are to apply GRI's **eight reporting principles** when preparing reports:

- Accuracy
- Balance
- Clarity
- Comparability
- Completeness
- Sustainability context
- Timeliness
- Verifiability

To report in accordance with the GRI Standards, entities must comply with nine 'in accordance' requirements related to applying the reporting principles, determining material topics, addressing disclosure requirements, preparing a content index etc. If an entity does not comply with the nine requirements, it can report in reference to the standards if it complies with the specific requirements, including publishing a GRI content index, providing a statement of use and notifying GRI.

The IFRS Sustainability Disclosure Standards

The aim of IFRS S1 is for the entity to disclose **information about its sustainability-related risks and opportunities that is useful to primary users of general-purpose financial reports** in making decisions about providing resources to the entity.

To ensure disclosures are useful to the primary users of the information, entities are to apply the conceptual foundations of IFRS S1:

- Fair presentation
- Materiality
- Reporting entity
- Connecting disclosures

Where there is a specific IFRS Sustainability Disclosure Standard that applies to a particular risk or opportunity, then the entity must use that standard. At present, the only specific standard is IFRS S2 Climate-related Financial Disclosure.

Where there is not a specific standard that applies to a particular risk or opportunity, then the entity can use other guidance. IFRS S1 refers to the Sustainability Accounting Standards Board (SASB) Standards as a source of guidance for entities. Entities must refer to the disclosure topics and metrics identified in the SASB Standard(s) relevant to their business and consider whether those metrics are applicable to the entity's reporting.

ESRS

ESRS' goal is for entities to disclose information in a "**sustainability statement" on its material impacts risks and opportunities in relation to environmental social and governance sustainability matters** so that users can understand the entity's **material impacts** on people and environment and the **material effects** of sustainability matters on the entity's development, performance and position.

Qualitative characteristics:

- Relevance
- Faithful representation
- Comparability
- Verifiability
- Understandability

Companies need to link **retrospective** and **forward-looking** information in their sustainability statement, to demonstrate how historical information relates to future-oriented information.

How can you assess whether an entity's disclosures meet the conceptual foundations and reporting principles of the relevant standard?

The extent to which a report adheres to the standard that it claims to meet can be assessed in several ways:

- **Disclosures** can be identified by the reporting entity as meeting particular requirements.
- **Content indices** can be provided to either direct the reader to locations where the relevant information to meet requirements can be found or include the relevant information in the index.
- Disclosures may be assessed as part of an **external assurance process**. An assurance provider will prepare an assurance statement that determines the extent of conformance/compliance with the entity's disclosures and stated claims, including an assessment of the quality and sufficiency of the disclosures, as well as identifying the data that was verified as part of the process.

Tutor tip: In your assessment, you could be asked whether information prepared under one set of standards is more useful, or provides better quality information, to stakeholders. The ability to assess whether information meets the reporting principles of the standard, including through the requirement/ lack of requirement for external assurance, is an important consideration when considering the usefulness and quality of information.

Is there a requirement for external assurance?

GRI	The GRI Standards encourage organisations to seek external assurance for their sustainability reporting and require organisations to describe their policies and practices for seeking external assurance for their sustainability reporting. Assurance may extend beyond the disclosures and cover an assessment of organisations' systems or processes to prepare the information.
IFRS Sustainability Disclosure Standards	The ISSB does not get involved in assurance and has made it clear that it regards it as up to governments and regulators to determine whether assurance is required. However, IFRS Sustainability Disclosure Standards have been designed to make the reported information verifiable, since the ISSB has already anticipated that regulators will require sustainability reporting to be subject to at least some level of assurance. Information prepared in accordance with IFRS Sustainability Disclosure Standards is include in the annual report and will therefore be reviewed by

	the company's statutory auditors in order to ensure it is consistent with their understanding (this will be covered in detail in the Advanced Assurance course). Entities using IFRS Sustainability Disclosure Standards can decide to request assurance of their sustainability information in order for it to be credible and indeed many already do so.
ESRS	Entities using ESRS will be required to seek assurance. The current requirement is for entities to seek limited assurance over their sustainability reporting. This assurance may be provided by an entity's statutory auditor, who will present an assurance report containing a conclusion about whether the entity has disclosed its sustainability information in accordance with ESRS. The European Commission (EC) will perform an assessment to determine whether increasing requirements from limited to reasonable assurance is feasible for both auditors and companies.

Lesson 2: Targeted stakeholders and method of engagement

Targeted Stakeholders and Method of Engagement

What are the requirements of the different standards related to defining, engaging and meeting the needs of stakeholders?

GRI	An entity is expected to engage its stakeholders: 1. In the process of determining its material topics, which are those topics where its activities along the value chain have the most significant impacts on the economy, environment and people, including impacts on their human rights (refer to Lesson 3 for detail on criteria for determining material topics). 2. On a separate basis to address any negative impacts and facilitate meaningful, ongoing engagement.
IFRS Sustainability Disclosure Standards	The primary users of information prepared in accordance with IFRS Sustainability Disclosure Standards are actual and potential investors and lenders: the same as the primary users of general-purpose financial reports. An entity is required to determine what its sustainability-related risks and opportunities (SROs) are and disclose how they are managed as this can impact an entity's ability to generate cash flows over the short, medium and long term. How an entity addresses its SROs is inextricably linked to how its operations and activities along the value chain interact with its stakeholders, society, the economy and the natural environment. IFRS S1 does not include prescriptive requirements related to stakeholder engagement, as the stakeholders (primary users) are clearly defined in the IFRS Sustainability Disclosure Standards and are consistent with the primary users of financial statements as defined by the Conceptual Framework for Financial Reporting. Engaging stakeholders is therefore NOT required under the IFRS Sustainability Disclosure Standards.
ESRS	ESRS classifies stakeholders into the following two groups (although others may belong to other groups): • Affected stakeholders: individuals or groups whose interests are affected or could be affected – positively or negatively – by the entity's activities and its direct and indirect business relationships across its value chain; and • Users of sustainability statements: primary users of general-purpose financial reporting (existing and potential investors, lenders and other

creditors, including asset managers, credit institutions, insurance undertakings), as well as other users, including the entity's business partners, trade unions and social partners, civil society and non-governmental organisations, governments, analysts and academics. Engaging affected stakeholders should be central to the entity's ongoing due diligence process to assess its material, actual and potential, positive and/or negative impacts, the results of which then then inform the assessment process to identify the material impacts for the purposes of sustainability reporting.

Why is engaging stakeholders an important part of meeting the requirements of the standards and how does it benefit an entity's disclosures and overall sustainability strategy?

Stakeholders have a key role to play in reporting because:

- they are affected by an entity's actions
- they can also provide the entity with information on what topics or impacts they consider to be most important.

While there is no single correct way to engage stakeholders, ESRS 1 includes a process for entities to follow when assessing materiality. Engagement with stakeholders is required as part of this process and can take place all the way through the process.



Stakeholders can provide the reporting entity with valuable feedback on what they consider to be the most significant issues and impacts. The diagram below shows a typical reporting process with stakeholder engagement:



What are effective channels for engaging stakeholders as part of a materiality process?

It is good practice to adopt several engagement methods and involve a variety of internal and/or external stakeholders to gather differing perspectives.

Key channels, in order of the depth of engagement (from least in-depth to most in-depth), include:

1. Online surveys
2. Facilitated focus groups or workshops
3. Meetings with targeted stakeholders
4. One-on-on interviews
5. Meetings or workshops with management/functional representatives and of a corporate sustainability committee.

How can you assess whether an entity has met the standards' requirements for defining, engaging and meeting the needs of its stakeholders?

For entities to prepare reports that present the information that readers want and in ways that communicate effectively, they **must know who their stakeholders are and meaningfully engage with them to understand their views and expectations**. Maintaining stakeholder trust requires not only effectively engaging with them but also responding meaningfully to their views and concerns, and providing balanced, credible and accurate disclosures.

To enable the quality and sufficiency in the stakeholder engagement process to be assessed, entities should disclose:

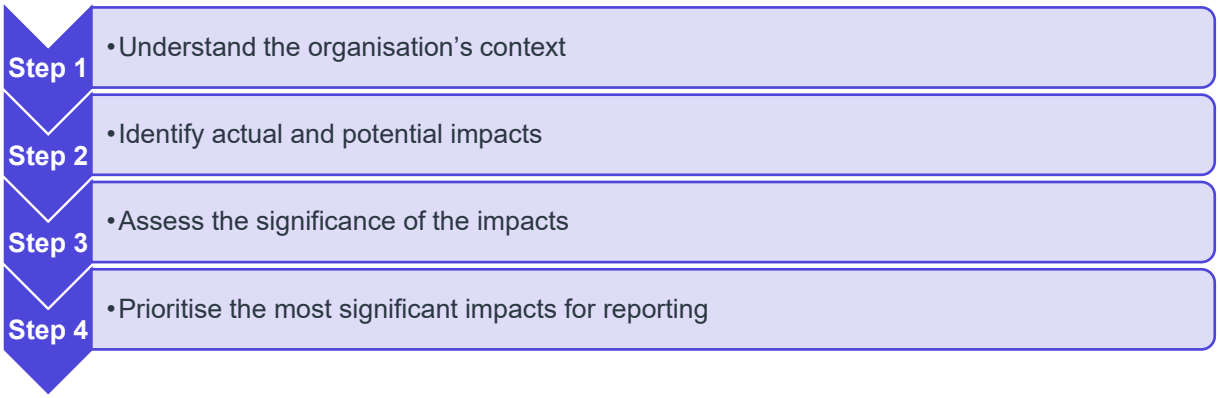
- the criteria for determining their stakeholder groups and **who** those groups are
- the **method and frequency of engagement**, on an ongoing basis and for determining material topics
- the **views and concerns** of stakeholders by group
- how stakeholder feedback influenced the **selection, review and updating of material topics**.
- GRI focuses on stakeholder input to determine material topics from an **impact** perspective along the value chain
- IFRS S1 requires that disclosures are sufficient for primary users to understand how the entity addresses its SROs along the value chain
- ESRS expects stakeholders, who are either affected by the entity's operations along the value chain or users of information in sustainability statements, to be engaged in the determination of the entity's impacts, risks and opportunities from an **impact** and **financial materiality** perspective

Lesson 3: Materiality approach and expectation

Materiality approach and expectations

Which criteria need to be applied to address the standards' requirements for assessing materiality?

Materiality process: GRI



IFRS S1

IFRS S1 refers to Sustainability Accounting Standards Board (SASB) standards for industry-specific issues.

SASB provides a materiality finder which allows reporting entities and users of reports to search by company name or industry to identify material subjects – organised as general issues and disclosure topics.

ESRS

ESRS adopts double materiality as the basis for reporting on "sustainability matters". This approach considers both impact materiality and financial materiality and ESRS notes that both are interrelated and have interdependencies that should be considered.

A sustainability matter is material from an impact perspective when it pertains to the entity's material actual or potential positive or negative impacts on people or the environment over the short medium or long term, which include impacts in relation to environmental, social and governance matters.

For negative impacts, materiality is based on the::

- If the impact is actual, materiality is based on the severity of the impact
- If the impact is potential, materiality is based on the severity and likelihood of the impact, with
- Severity being determined based on the scale, scope and irremediable character of the impact

For positive impacts, materiality is based on the:

- Scale and scope of the impact for actual impacts, and
- Scale, scope and likelihood of the impact for potential impacts

As with IFRS S1, the financial materiality assessment determines if information is considered material for primary users in making decisions relating to providing resources to the entity.

Tutor tip: You should have a general understanding of the approach to materiality taken by each of the standards. You are not required to memorise, for example, the steps in the GRI process. In the assessment, you will be given short extracts from the relevant standards if you are expected to discuss a specific point in your answer.

How can you assess the extent to which an entity has met the standards' requirements regarding material topics?

For disclosures to be material, they should reflect the following information:

- **What does the entity do?**
  The entity's nature (from activities and products to stakeholder relationships along the value chain)
- **What are the relevant requirements?**
  From disclosure standards through to regulations
- **What is the entity's sustainability context?**
  For example, the sustainability issues and trends relevant to its operations and sector
- **What materiality approach has been taken?**
  What are the disclosure standards' requirements for determining material sustainability matters?
- **What do stakeholders think?**
  The entity's stakeholder input and views
- **What are the priority impacts, risks and opportunities?**
  Including where they arise and their significance along the value chain

To determine the quality and sufficiency of the material sustainability matters disclosed ask which of the following have been addressed:

- definition of materiality
- criteria for determining material topics (GRI), SROs (IFRS S1) or sustainability matters (ESRS)
- process for determining materiality topics, including stakeholder engagement
- information disclosed on the material topics/SROs/sustainability matters and materiality process.

Methods to assess quality and sufficiency include reviewing:

- disclosed information against the standards' requirements as noted above
- content indices that identify how these requirements are met and/or where the relevant content is located
- findings from an assurance process against the applied standard(s).

Lesson 4: Climate-related disclosures

Climate-related disclosures

How are climate-related issues covered in reporting standards?

In the area of financial reporting, the Financial Stability Board created the Task Force on Climate-related Financial Disclosures (TCFD) in 2015 to improve and increase the reporting of climate-related financial information. The ISSB has now taken over responsibility from TCFD for monitoring climate-related disclosures within corporate reporting. IFRS S2 Climate-related Disclosures reflects the content and structure of the TCFD recommendations.

IFRS Sustainability Disclosure Standards and ESRS are highly aligned around disclosures that provide information for the primary users of financial statements about the impact of risks and opportunities on an entity's financial performance and prospects. Remember that whereas IFRS Sustainability Disclosure Standards are based on financial materiality, ESRS are based on double materiality, going beyond information that is capable of affecting decision making by investors and lenders. Therefore, ESRS contain additional requirements for information relevant to stakeholders interested in the impact of an entity's activities.

Climate-related issues are covered by the standards in two ways:

Material topics	When entities identify material topics for sustainability reporting, they will consider and prioritise different environmental, social and governance factors. Entities will identify climate-related risks and opportunities (CROs) within these factors. For some entities, climate-related risks and opportunities will be very significant to their operations.
Disclosures specific to climate-related issues	There are also specific standards, or parts of standards, that require entities to make climate-related disclosures (CRDs). This reflects the way in which climate-change and societal responses affect all entities and their stakeholders.
GRI standards climate-related disclosures have always been part of the GRI guidelines and standards.	GRI 101: Biodiversity 2024 – If material, entities must make specific disclosures about their impact on biodiversity GRI 201: Economic Performance 2016 – Entities have to disclose financial implications and other risks and opportunities due to climate change GRI 301: Energy 2016 – Entities disclose details of • Energy consumption within the entity, including the entity's energy mix and consumption that gives rise to its Scope 1 and 2 GHG inventory and emissions, and is directly linked to management of CROs • Energy consumption outside of the entity, including its energy mix and consumption for related upstream and downstream activities that are part the entity's Scope 3 emissions and contributes to climate change-related risks • Energy intensity, reduction of energy consumption and reductions in energy requirements of products and services GRI 305: Emissions 2016 – Entities disclose details of: • Direct (Scope 1) GHG emissions • Energy indirect (Scope 2) GHG emissions • Other indirect (Scope 3) GHG emissions • GHG emissions intensity • Reduction of GHG emissions • Emissions of ozone-depleting substances (ODS) • Nitrogen oxides (NOx), sulphur oxides (SOx), and other significant air emissions (i.e. those that have global warming potential [GWP] and are direct or indirect GHGs) GRI 306: Waste 2020 – Entities disclose details of their approach to waste management, including diversion and disposal methods.
IFRS Sustainability Disclosure standards IFRS Sustainability Disclosure Standards and ESRS are highly aligned around disclosures that provide information for the primary users of financial statements	IFRS S2 *Climate-related Disclosures* is the first subject-specific IFRS Sustainability Disclosure standard. Entities disclose information about climate-related risks and opportunities that could reasonably be expected to affect the entity's financial prospects. The structure of both IFRS S1 and IFRS S2 follows the familiar structure of: • Governance • Strategy • Risk management • Metrics and targets

about the impact of risks and opportunities on an entity's financial performance and prospects.	We consider each of these areas in turn in the remaining lessons in this module. Remember: IFRS Sustainability Disclosure standards include industry-based guidance on application: entities should refer to, and consider the applicability of, the SASB standards. Metrics relevant to CROs include: • GHG emissions • Energy management – (1) Total energy consumed, (2) percentage grid electricity and (3) percentage renewable • Climate change adaption – Description of climate change risk exposure analysis, degree of systematic portfolio exposure, and strategies for mitigating risks
ESRS ESRS contain additional requirements for information relevant to stakeholders interested in the impact of an entity's activities.	ESRS has ten Topical Standards for reporting on key ESG matters, including one specifically on climate change and another four that cover content that interacts directly with climate-related matters (see E2, E3, E4 and E5 below). ESRS E1 Climate change has topical disclosure requirements, including: • Transition plan for climate change mitigation • Policies related to climate change mitigation and adaptation • Actions and resources in relation to climate change policies • Energy consumption and mix • Gross Scopes 1, 2, 3 and Total GHG emissions • GHG removals and GHG mitigation projects financed through carbon credits • Internal carbon pricing • Anticipated financial effects from material physical and transition risks and potential climate-related opportunities ESRS E1 Climate change also has a subset of ESRS 2's general disclosure requirements related to CROs, following the structure of Governance – Strategy - Risk management - Metrics and targets. • ESRS E2 Pollution – Entities disclose emissions of GHGs connected to air pollution and their approach to managing them. • ESRS E3 Water and marine resources – Entities disclose how their energy consumption, GHG emissions and approach to CROs impact on water and marine resources. • ESRS E4 Biodiversity and ecosystems – Entities disclose how GHG emissions and energy resources (i.e. energy mix and consumption) affect the entity's material impacts on biodiversity and ecosystems. • ESRS E5 Resource use and circular economy – Entities disclose initiatives to reduce resource use and energy consumption and adopt circular economy models could positively or negatively impact the generation of GHG emissions along the value chain.

The standards refer to Scope 1, 2 and 3 GHG emissions. Scope 1 emissions are the direct emissions from owned or controlled sources – for example, all the emissions directly caused by the operations involved in producing and selling goods or services. Scope 2 and 3 emissions are indirect emissions. Scope 2 relate to emissions from the energy consumed by a business and Scope 3 to emissions generated throughout the value chain by suppliers, customers and staff.

Tutor tip: In the assessment, you are expected to have a high-level understanding of the requirements of the IFRS Sustainability Disclosure Standards, GRI and ESRS standards relating to climate-related issues, but you not expected to be able to list the specific standards nor recall the disclosures required under the specific standards. You may be provided with a short extract from a specific standard in the assessment which you need to apply to the scenario given.

What are some examples of climate-related risks and opportunities and what is their financial impact?

Climate-related risks	The potential negative effects of climate change on an entity
Physical risks	Risks resulting from climate change that can be event-driven or from longer-term shifts in climatic patterns
Transition risks	Risks that arise from efforts to transition to a lower-carbon economy
Climate-related opportunities	The potential positive effects arising from climate change for an entity

Transition risks	
Policy and Legal Risks	Governments can adopt policies that constrain actions that contribute to the climate change (e.g. carbon pricing) and policies that promote adaptation to climate change (e.g. sustainable land use practices). In addition, the risk of litigation relating to business activities – e.g. the failure of the entity to mitigate the impacts of climate change – is increasing.
Technology Risk	Technological improvements or innovations can have a significant impact on entities.
Market Risk	Changes in supply or demand for particular goods or services can have a direct effect on costs and revenues.
Reputation Risk	Customers may prefer or avoid entities in reaction to the perception of the entity's position on climate change and its activities that may contribute to or mitigate the effects of climate change.

Physical risks	
Acute	Acute physical risks are event-driven risks such as those arise from fires, floods, storms, droughts and heatwaves. They are weather-related events.
Chronic	Chronic physical risks arise from longer-term shifts in climate patterns such as changing sea levels, changes in soil fertility, changes in water availability and bio-diversity loss.

Opportunities	
Resource Efficiency	Improving energy efficiency and waste management can reduce overall use of resources and operating costs.
Energy Source	Using low emission energy sources, particularly ones that are subsidized, could deliver cost savings.
Products and Services	As consumer preferences change, businesses that can offer new, low emission products and services may enjoy a competitive advantage, increasing market share and/or charging a premium price.
Markets	New markets may develop in response to a shift to a low carbon economy, and opportunities could include activities such as financing green infrastructure.
Resilience	Organisations that develop the capacity to respond to climate change better maybe, overall, more resilient and in a better position to exploit other opportunities.

What are the disclosure requirements relating to climate-related issues?

GRI Standards	The GRI Standards do not provide specific guidance on CROs but they would be identified and assessed as part of the GRI prescribed process for determining and assessing climate-related material topics. For each climate-related issue that could be a potential CRO, the significance of its impact on the economy, environment and people, including impacts on their human rights, would be assessed Those that meet a threshold determined by the entity are considered material topics for reporting.
IFRS S2	IFRS S2 – Appendix B Application Guidance provides the definitions for CROs that we used above. In assessing the CROs to determine if they are material to be included in CRDs, the ISSB approach to materiality is used: information is material if omitting, misstating or obscuring that information could reasonably be expected to influence decisions that primary users of general-purpose financial reports make on the basis of those reports. CROs are those that could reasonably be expected to affect the entity's prospects, and CRDs should identify: • whether the risks are physical or transition risks • time horizons over which effects of risks and opportunities are reasonably expected to occur Entities should consider the current and anticipated effects of those CROs on their business model and value chain, including where the risks and opportunities are located (e.g. geography, facilities, asset type). Assessing the significance of a CRO's impact on financial performance, is based on the following criteria: • what is relevant to primary users of the information; • metrics specified in the SASB Standards; and/or • relevant guidance from CDSB or other standard-setting bodies.
ESRS	ESRS follows a double materiality process for determining material sustainability impacts, risks and opportunities. ESRS E1 Impact, risk and opportunity management has three disclosure requirements: • Disclosure Requirement related to ESRS 2 IRO-1 – Description of the processes to identify and assess material climate-related impacts, risks and opportunities (refer to the detail below) • Disclosure Requirement E1-2 – Policies related to climate change mitigation and adaptation (refer to Lesson 4 on Risk and opportunity management) • Disclosure Requirement E1-3 – Actions and resources in relation to climate change policies (refer to Lesson 4 on Risk and opportunity management) For the requirements related to Impact, risk and opportunity management in ESRS E1, there is a disclosure requirement that is related to ESRS 2 IRO-1 – Description of the processes to identify and assess material climate-related impacts, risks and opportunities. For the relevant requirement in ESRS E1, entities are to describe their process for identifying and assessing climate-related impacts, risks and opportunities, including: • "impacts on climate change, in particular, the undertaking's GHG emissions • climate-related physical risks in own operations and along the upstream and downstream value chain, in particular: – the identification of climate-related hazards, considering at least high emission climate scenarios; and – the assessment of how its assets and business activities may be exposed and are sensitive to these climate-related hazards, creating gross physical risks for the undertaking; • climate-related transition risks and opportunities in own operations and along the upstream and downstream value chain, in particular:

	– the identification of climate-related transition events, considering at least a climate scenario in line with limiting global warming to 1.5°C with no or limited overshoot; and – the assessment of how its assets and business activities may be exposed to these climate-related transition events, creating gross transition risks or opportunities for the undertaking."

Lesson 5: Governance – Approach and requirements

How do governance structures further accountability for entities SROs?

Robust governance policies, structures and systems are essential accountability mechanisms for:

- **Providing guidance, oversight, review and recommendations** on an entity's management of its business, including its sustainability-related risks and opportunities and resulting impacts along the value chain
- Ensuring that an entity's **reporting transparently reflects its impacts** and is accurate, robust and meeting applicable reporting principles
- Disclosing material information to users of the disclosures, in alignment with applicable standards and requirements, and stakeholder expectations

What are the standards' requirements for disclosures relating to governance and SROs?

All three reporting frameworks have a similar intent, GRI and ESRS are more prescriptive.

- **Governance processes, controls and procedures**
  For overseeing and managing the entity's impacts and/or sustainability-related risks and opportunities
- **Assignment and delegation of roles and responsibilities**
  For those overseeing and managing the entity's impacts and/or sustainability-related risks and opportunities
- **Composition of the responsible bodies**
  Including skill sets and competencies relevant to sustainability impacts, risks and opportunities
- **How information is communicated**
  To the governing bodies and how frequently it is communicated
- **Integration of sustainability impacts, risks and opportunities into strategy and operations**
  Including target setting and performance metrics

GRI	GRI has specific disclosure requirements on the entity's governance structure, composition, knowledge, roles and remuneration. These aspects shed light on how the entity manages its impacts on the economy, environment and people, including impacts on their human rights, and how this is addressed in its strategy and operations. They cover: • how the governance bodies are set up; • how well equipped they are to oversee the management of the organisation's impacts; and • the role and the responsibilities of the governance bodies related to the oversight and/or management of these impacts. GRI also has disclosure requirements around including a statement on the entity's sustainable development strategy, and its due diligence process for identifying and accounting for how it addresses/remediates its actual and positive negative impacts.

IFRS S1	The objective of sustainability-related financial disclosures on governance is to enable users of general-purpose financial reports to understand the governance processes, controls and procedures an entity uses to monitor, manage and oversee sustainability-related risks and opportunities (SROs). Requirements for disclosures relate to the role of the governance body(s) in overseeing SROs, include: • responsibilities for SROs • skills and competencies for overseeing strategies designed to respond to SROs • frequency of information sharing on SROs • how SROs are accounted for in strategy and operations and target setting • management's role in the governance processes, controls and procedures used to monitor, manage and oversee SROs and how they are integrated into internal functions
ESRS	ESRS 2 General Disclosures has requirements related to governance relating to: • The role of the administrative, management and supervisory bodies and access to expertise and skills with regard to sustainability matters • How the entity's administrative, management and supervisory bodies are informed about sustainability matters and how these matters were addressed during the reporting period • Integration of sustainability-related performance in incentive schemes • Statement on due diligence - disclose a mapping of the information provided in the entity's sustainability statement about the due diligence process • Risk management and internal controls over sustainability reporting, including: – scope, main features and components of the risk management and internal control processes and systems in relation to sustainability reporting – the risk assessment approach followed, including the risk prioritisation methodology – the main risks identified and their mitigation strategies including related controls – a description of how the entity integrates the findings of its risk assessment and internal controls as regards the sustainability reporting process into relevant internal functions and processes.

Tutor tip: You should have a general understanding of what is meant by governance and a high-level understanding of the disclosure requirements under each of the standards. You will be given a short extract from the relevant standard if you are expected to apply any specific requirements relating to governance in the Advanced Reporting and Performance assessment.

How can you assess the extent to which an entity has met the standards' requirements relating to governance/SROs

- Governance structure and composition
- Competency
- Active oversight
- Integration
- Alignment of compensation to sustainability performance

Lesson 6: Strategy – approach and requirements

Why is an entity's strategy an important element of sustainability reporting?

The entity's strategy and overall approach to business will reflect its assessment of sustainability-related risks and opportunities and will also reflect the importance it attaches to sustainability.

The importance of sustainability in business strategy will depend on:

- The attitude towards sustainability of investors and directors
- The nature of the business – some industries are more directly affected than others
- The influence of external factors such as regulation

What are the standards' requirements for disclosures about strategy?

GRI	GRI 2 General Disclosures 2021 has specific and detailed disclosure requirements related to an **entity's strategy for managing its impacts** on the economy, environment and people, including impacts on their human rights. Key elements from the GRI Standards relating to the entity's strategy are as follows: • **Statement on sustainable development strategy** – the entity is to report a statement from the highest governance body or most senior executive of the entity about the relevance of sustainable development to the organisation and its strategy for contributing to sustainable development. • **Policy commitments** – the entity is to disclose its policy commitments for responsible business conduct and how the policy commitments for responsible business conduct, including human rights specifically, throughout its activities and business relationships are embedded • **Processes to remediate negative impacts**, including those related to human rights specifically • **Mechanisms for seeking advice and raising concerns** including those related to human rights specifically • **Compliance and non-compliance with laws and regulations** • **Participation in industry associations**, other membership associations, and national or international advocacy organisations.
IFRS S1	A conceptual foundation of IFRS S1 is Core Content, which requires an entity to disclose information about its strategy. **Strategy is defined as the approach the entity uses to manage sustainability-related risks and opportunities (SROs)**. The disclosures are to enable users of general-purpose financial reports to **understand an entity's strategy and decision-making processes for managing SROs**. The information should therefore address those SROs that could reasonably be expected to affect the entity's: • prospects; • business model and value chain (location, facilities, assets); • financial position, performance and cash flows for the reporting period and for the short, medium and long term based on how they are factored into the entity's financial planning; and • resilience of the entity's strategy and business model to the SRO.
ESRS	ESRS 2 requires disclosure of all material sustainability matters in the sustainability statement. Disclosures will cover the reporting areas of governance, strategy, impact, risk and opportunity management and metrics and targets. For the requirements related to strategy, entities are required to address the following disclosure items, including as they pertain to and are required by the Topical ESRS standards: • Disclosure Requirement SBM-1 – **Strategy, business model and value chain** • Disclosure Requirement SBM-2 – **Interests and views of stakeholders** • Disclosure Requirement SBM-3 - **Material impacts, risks and opportunities and their interaction with strategy and business model**

How can you assess whether disclosures meet the standards' requirements relating to strategy?

To ensure the quality and sufficiency of the strategy-related disclosures, entities should identify their sustainability-related impacts and risks and opportunities (SROs) and demonstrate how they are:

- **credibly aligned** with what the entity's purpose/values/mission are focussed on achieving
- **prioritised** in statements by top governance bodies/senior leadership
- **articulated in a strategic framework** that is structured into pillars, focus areas or elements that provide the foundation for its overarching strategy with alignment to the business model
- **embedded in policies and systems** to manage them over the short, medium and long terms; and
- **assessed and considered**, including trade-offs between the impacts/SROs, reviewed and updated by internal and external stakeholders in iterative processes.

Entities that disclose information to meet the GRI, IFRS S1 and/or ESRS standards should identify where and how their disclosures sufficiently meet the requirements of the applicable standard(s), throughout the report or in the form of a content index. If external assurance is provided, such statements can also be reviewed to determine if the quality and sufficiency of the disclosures meet the applicable standards

Lesson 7: Risk, Impact and Opportunity Management – Approach and Requirements

What do the standards expect entities to disclose related to impacts, risks and opportunities?

GRI, IFRS S1 and ESRS all have disclosure requirements for:

- Sustainability-related impacts, risks and opportunities along the value chain
- How they affect an entity's strategy and business model
- The approach to determining and managing them

GRI	Entities are required to disclose **how they address, manage or respond to the risks and opportunities that affect the significance of the impacts** on the economy, environment and people, including on their human rights. An entity's material topics are those where the entity can have significant positive or negative impacts on the economy, the environment or people, including on their human rights. The **impacts can pose risks to, or create opportunities for, the economy, the environment or people**. How an **entity proactively addresses, manages or responds** to the risks and opportunities will affect the impact it has outwardly but also inwardly on its own performance, which could be: • **financial** (e.g. increase/decrease revenue, stock price); • **reputational** (e.g. harm or enhance perception); and/or • **operational** (e.g. licence to operate, ability to attract or retain talent, maintain relationships with suppliers or business partners, deliver on business commitments). Risk and opportunity identification, assessment, management and review should be part of an entity's governance structure. Disclosures on risks and opportunities should convey how well they are addressed by the entity and provide useful information for users of the information, including customers, investors, current and future employees, affected communities and other stakeholders.

IFRS S1	The sustainability-related risks and opportunities (SROs) that could impact the entity's financial prospects are the priority. Risks and opportunities are the backbone of IFRS S1; an entity should **disclose information about how it identifies, assesses, prioritises and monitors sustainability-related risks and opportunities** so that primary users can make informed decisions based on its management of those risks and opportunities.
ESRS	The emphasis is on **sustainability matters that give rise to the entity's material impacts, risks and opportunities**, including those that currently affect or could be anticipated to affect its financial performance. ESRS 1 requires entities to **disclose a sustainability statement that includes information on its "material impacts, risks and opportunities** connected to the undertaking through its direct and indirect business relationships in the upstream and/or downstream value chain ("value chain information")." The material impacts, risks and opportunities connected with its value chain(s) should be identified through: 1. a sustainability due diligence process(es) 2. materiality assessment; and 3. alongside the most relevant sector-agnostic and sector-specific disclosures.

How can you assess whether disclosures meet requirements for risks and opportunities?

To assess the quality and sufficiency of disclosures related to sustainability-related risks and opportunities (SROs), entities should comprehensively:

- Identify their approach to, and/or due diligence **steps for, identifying and assessing impacts** along the value chain
- Demonstrate **how they determine and are managing their material impacts and SROs**
- **Integrate** the identification, assessment and management of **impacts and SROs in their overall risk management and strategy processes**
- **Identify what the actual and potential impacts and/or effects are for the material SROs** on the economy, environment, people, including human rights, and/or financial performance
- **Disclose the alignment/interplay** between the impacts and SROs and their business model, strategy, policies and systems and allocation of resources, and resulting actions and outcomes

Entities that disclose information to meet the GRI, IFRS S1 and/or ESRS standards should identify where and how their disclosures sufficiently meet the requirements of the applicable standard(s), throughout the report or in the form of a content index. If external assurance is provided, such statements can also be reviewed to determine if the quality and sufficiency of the disclosures meet the applicable standards. ESRS has specific items to be disclosed in the sustainability strategy related to impacts and SROs, as noted above.

Lesson 8: Metrics and targets – approach and requirements

Why are metrics and targets important parts of sustainability reporting?

Credible and transparent reporting on metrics and targets holds companies accountable and, importantly, demonstrates to key stakeholders how material impacts, risks and opportunities are managed.

What are the requirements of the standards regarding sustainability metrics and targets?

GRI	GRI standards require entities to provide information about: • processes used to track the effectiveness of the entity's actions; • goals, targets, and indicators used to evaluate progress; and, • the effectiveness of the actions, including progress toward the goals and targets for each material topic. When reporting on its metrics and targets the entity must disclose: • how the goals and targets are set; • whether and how the goals and targets take into account the sustainability context in which the impacts take place; • whether the goals and targets are informed by external standards or regulations or scientific consensus; • whether goals and targets are mandatory or voluntary, and if mandatory, the relevant regulation; • the activities to which the goals and targets apply; • the baseline for the goals and targets; and, • the timeline for achieving the goals and targets. Entities must also report provide reasons for omission of any disclosures and requirements (e.g. lack of available information).
IFRS S1	The IFRS S1 disclosure requirements for Metrics and Targets, state that for each SRO the following should be disclosed if it could be reasonably expected to affect the entity's prospects: • the metric used to set the target and to monitor progress towards reaching the target • the specific quantitative or qualitative target the entity has set or is required to meet • the period over which the target applies • the base period from which progress is measured • any milestones and interim targets • performance against each target and an analysis of trends or changes in the entity's performance • any revisions to the target and an explanation for those revisions The entity will refer to the metrics in the SASB Standard(s) and decide whether those metrics are appropriate. The entity can use all or some or none of the metrics in the SASB standard(s) as well as other metrics.
ESRS	When disclosing information on metrics and targets, the entity is to meet the relevant minimum disclosure requirements: • on … targets … and if it cannot (e.g. doesn't meet the minimum disclosure requirements or have the datapoints in the topical and sector-specific ESRS, or not set the respective target), it should state that and report a timeframe in which it aims to have these in place; • on *metrics* for a material *sustainability matter* according to the Metrics and Targets section of the relevant topical ESRS the entity if material; and • it may omit the information prescribed by a datapoint of a Disclosure Requirement if it assesses such information to be not material and concludes that such information is not needed to meet the objective of the Disclosure Requirement.

How can you assess whether disclosures meet the standards' requirements for metrics and targets?

Credible and transparent reporting on metrics and targets holds companies accountable and, importantly, demonstrates to key stakeholders how material impacts, risks and opportunities are managed.

To assess the quality and sufficiency of disclosures on metrics and targets, it is helpful to determine if they are:

- Identified for each material topic/SRO
- Aligned with strategy and disclosed content
- Overseen by an effective governance structure
- Quantitative and qualitative where relevant and appropriate
- Set over the short, medium and long term
- Tracked and disclosed over multi-year periods so progress can be compared and assessed
- Monitored, recorded, reported, reviewed and updated on an appropriately frequent basis
- Verified through internal mechanisms and external parties

Tutor tip: The challenging aspects of this module can be the application of the different standards and assessing whether the disclosure requirements have been met. You will often be given short extracts from the relevant standards and asked how they should be applied to a particular scenario.



Study guide checklist

Have you completed reading module 8?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 9 – The Relationship between financial and non-financial reporting

Introduction

Welcome to the study guide for Module 9 of the Advanced Reporting and Performance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

By completing this module, you will have worked towards the following syllabus learning outcomes:

SLO 2 Advise on the requirements for non-financial reporting and performance in accordance with relevant standards
SLO 3 Evaluate and respond appropriately to ethical issues in the context of reporting and performance

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

2.1 Advise on the effective communication of statutory and non-statutory information in corporate reporting.
2.2 Critically review the corporate reporting of an individual company or a group and advise on the consistency of the sustainability and financial disclosures.
3.1 Illustrate ethical dilemmas arising in a financial and a non-financial reporting context.
3.2 Recommend a course of action to address ethical dilemmas in line with the ICAS Code of Ethics.

This will be achieved by working towards the following performance indicators:

2.1.1 Evaluate the sufficiency of non-financial information disclosed.
2.1.3 Advise on the purpose and content of the strategic report and integrated report
2.1.4 Recommend improvements to non-financial information and disclosures.
2.2.1 Evaluate whether financial and non-financial information is reported consistently.
3.1.1 Advise on the ethical risks related to financial and non-financial reporting, with reference to the ICAS fundamental ethical principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.
3.2.1 Recommend appropriate actions to mitigate ethical risks

You will be ‘assessment ready’ for questions in Module 9 when you can confidently complete each of the learning outcomes above.

Lesson 1: Strategic report

What is the purpose and content of the Strategic report?

All UK companies, except small companies and micro-entities, have to prepare a Strategic Report under the Companies Act 2006.

The purpose of the strategic report is to:

- Help the shareholders to assess how the directors have performed their duty to promote the success of the company
- Provide information to the shareholders of the company.

The strategic report includes three sections:

Strategic management – an explanation of the company's strategy, objectives and business model.

Business environment in which the company operates, including the principal risks and uncertainties facing the business, changes in the marketplace, and relevant environmental and social matters.

Business position and performance – an analysis of the entity's performance, including appropriate qualitative and quantitative information, with appropriate reference to key performance indicators (KPIs).

Strategic Report requirements and company size

The requirements relating to the content of the Strategic Report differ depending on the company size.

Micro-entities are exempt from the requirements to produce a Strategic Report

Small companies are exempt from the requirements to produce a Strategic Report

Medium-sized companies must prepare a Strategic Report and must include sections which:

- Provide insights into the entity's business model and its main strategy and objectives
- Describe the principal risks the entity faces and how they might affect its future prospects
- Provide relevant non-financial information
- Provide an analysis of the entity's past performance

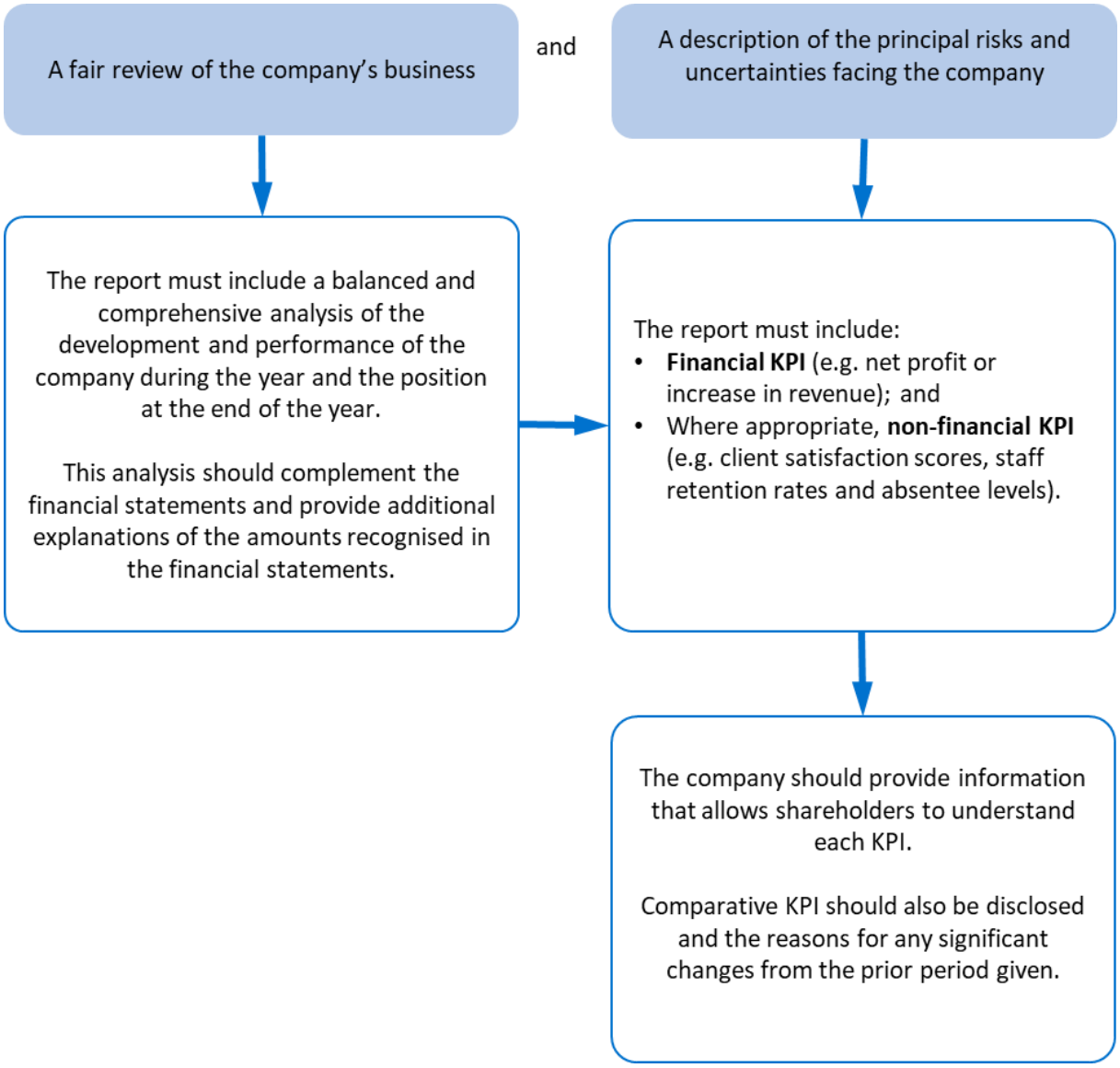
Large companies must prepare a Strategic Report. In addition to the requirements for medium-sized companies, large companies must also provide information:

- to enable shareholders to assess how directors have had regard for stakeholders and other matters when performing their duty under section 172 of the Companies Act 2006.

Quoted companies and PIEs are required to provide more detailed non-financial information.

Tutor tip: You do not need to memorise the definitions of different sizes of company, you will be provided with extracts from the Companies Act 2006 if this is required.

Contents of the Strategic Report



If a company qualifies as medium-sized, it is exempt from having to provide non-financial KPI information.

If the company is quoted (i.e. listed on a stock exchange) or is a PIE, the Strategic Report must also include the following additional non-financial information:

- The main trends and factors likely to affect the future development, performance or position of the company's business
- Information on the environmental matters, the company's employees and social, community and human rights issues
- A description of the company's strategy
- A description of company's business model
- Employee number analysis by gender split into various categories: directors, senior managers and all other employees

Corporate governance and remuneration

Companies also report on corporate governance and remuneration. These are typically presented separately, either before or after the Strategic Report. Together with the Strategic Report, they comprise the narrative reporting of the annual report.

Climate-related disclosures in the Strategic Report

Climate change introduces significant risks for companies encompassing both physical risks and transition risks. To mitigate these risks, the disclosure of climate-related financial information is crucial for supporting investment decisions to enable investors to better understand companies' vulnerabilities and opportunities related to climate change.

Companies must include their climate-related financial disclosures in the **Non-Financial and Sustainability Information Statement** section of the Strategic Report. If located elsewhere, the statement should cross-reference these details. Companies can disclose extra information beyond the requirements outside of the annual report, with appropriate signposting within the report to indicate extra disclosures.

The required disclosures for quoted companies and PIEs are:

- A description of the entity's **governance arrangements** in relation to assessing and managing climate-related risks and opportunities;
- A description of **how the entity identifies, assesses and manages** climate-related risks and opportunities;
- A description of how processes for identifying, assessing and managing climate-related risks are integrated into the entity's overall **risk management process**;
- A description of the **principal climate-related risks and opportunities** arising in connection with the entity's operations, and the periods by which those risks and opportunities are assessed;
- A description of the **actual and potential impacts** of the principal climate-related risks and opportunities on the entity's business model and strategy;
- An analysis of the **resilience of the entity's business model and strategy**, considering different climate-related scenarios;
- A description of the **targets** used by the entity to manage climate-related risks and to realise climate-related opportunities, and of performance against those targets;
- The **KPIs used to assess progress against targets** used to manage climate-related risks and realise climate-related opportunities, and a description of the **calculations** on which those KPIs are based.

Reporting standards

Future requirements for sustainability reporting will be known as UK Sustainability Disclosure Standards (UK SDS). It is expected that UK SDS will be closely based on IFRS Sustainability Disclosure Standards.

There is some uncertainty over the exact timing of changes, but businesses and their advisers are actively preparing to make disclosures in accordance with IFRS Sustainability Disclosure Standards / UK SDS.

Lesson 2: Integrated reporting

What is the purpose and principles of Integrated reporting?

The International Integrated Reporting Council (IIRC) developed the Integrated Reporting Framework (IRF) to encourage organisations to provide a holistic view of their performance by integrating financial and non-financial information. This helps stakeholders gain a deeper understanding of an organisation's value creation process, long-term strategy, and impact on sustainable development.

Integrated reporting aims to provide better information on how organisations create value by drawing on their resources (known as 'capitals') and managing them over the longer term.

The Framework takes a principles-based approach to integrated reporting. It is intended as guidance and does not provide organisations with prescribed specific KPIs.

Fundamental concepts

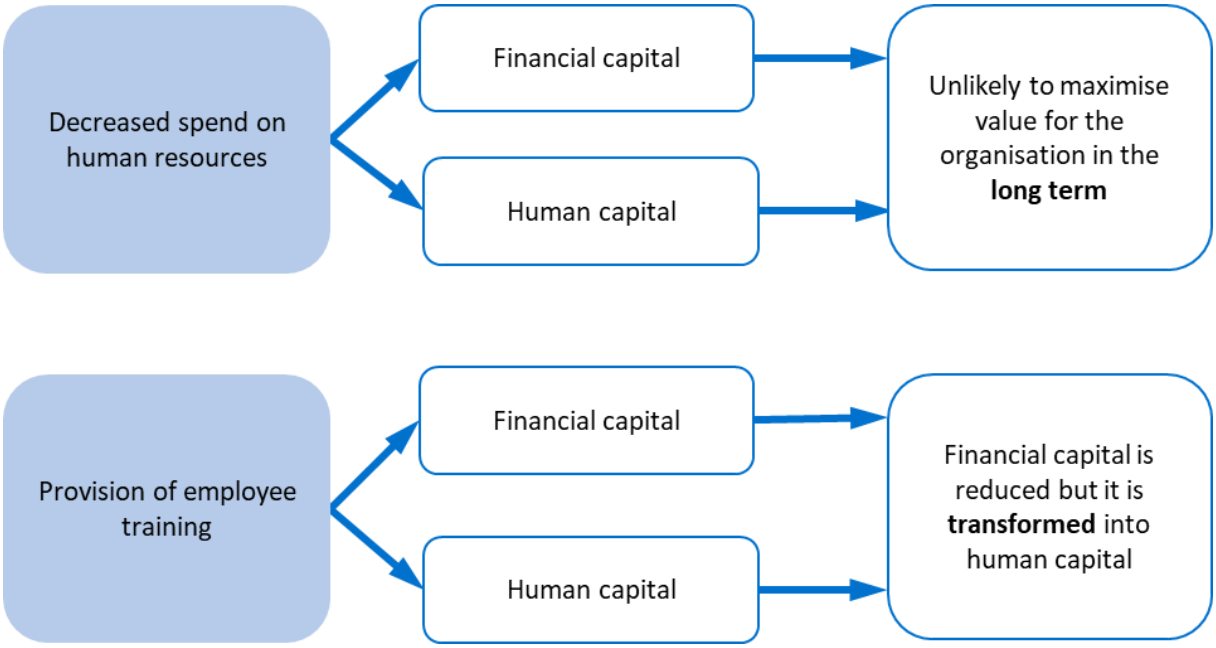
The capitals	Stocks of value that are increased, decreased or transformed through the activities and outputs of the organisation. Includes: • Financial capital • Manufactured capital • Intellectual capital • Human capital • Social and relationship capital • Natural capital
Value creation	Value created by an organisation over time is seen in increases, decreases or transformations of the capitals caused by the organisation's business activities and outputs. There are two interrelated aspects to value; value created for: • the organisation itself (enabling financial returns to providers of financial capital) • others (i.e. stakeholders and society at large)
The value creation process	The business model of an organisation draws on several capitals as inputs and converts them to outputs including products, services, by-products and waste.

Materiality

Information reported should focus on material matters. A matter is material if it could substantively affect the organisation's ability to create value in the short, medium and long term.

Interconnectivity and value

One of the fundamental concepts of integrated reporting is that these various forms of capital are all interlinked and that organisations should consider the holistic impact of these.



The value creation process

The value creation process within an organisation is a dynamic process and will include:

- External factors
- Purpose, mission and vision
- Governance structures
- Conversion of inputs to outputs, influencing the capitals
- Adaptability of the business model
- Innovation
- Continuous monitoring
- Regular reviews

Guiding Principles and Content Elements

For a report to formally be named an 'integrated report', it must meet the mandatory criteria below:

The **principles** provide the foundations for what an integrated report should be focused on.

A Strategic focus and future orientation	Provide insight into the organisation's strategy, and how this relates to: • Its ability to create value in the short, medium and long term • Its use of and effects on the capitals
B Connectivity of information	Provide a holistic view of the combination, interrelatedness and dependencies between the factors that contribute to the organisation's ability to create value over time
C Stakeholder relationships	Provide insight into the nature and quality of relationships with the organisation's key stakeholders and how their legitimate needs and interests are understood, taken into account and responded to by the organisation

D Materiality	Include information about matters that substantively impact the organisation's ability to create value over the short, medium and long term
E Conciseness	Provide sufficient context to allow an understanding of the organisation's strategy, governance, performance and prospects without being burdened with less relevant information
F Reliability and completeness	Be balanced, including all material matters, whether positive or negative, without material error
G Consistency and comparability	Disclose information consistently over time and in a way that allows comparison with other organisations to the extent it is material to the organisation's own ability to create value over time

There are eight linked **content** elements:

A Organisational overview and external environment	What does the organisation do and what are the circumstances under which it operates?
B Governance	How does the organisation's governance structure support its ability to create value in the short, medium and long term?
C Business model	What is the organisation's business model?
D Risks and opportunities	What are the specific risks and opportunities that affect the organisation's ability to create value over the short, medium and long term and how is the organisation dealing with them?
E Strategy and resource allocation	Where does the organisation want to go and how does it intend to get there?
F Performance	To what extent has the organisation achieved its strategic objectives and what are its outcomes in terms of effects on the capitals?
G Outlook	What challenges and uncertainties are the organisation likely to encounter in pursuing its strategy, and what are the potential implications for its business model and future performance?
H Basis of preparation and presentation	How does the organisation determine what matters to include in the integrated report and how are such matters quantified or evaluated?

How is integrated reporting linked with sustainability?

The IRF is closely linked with sustainability reporting through its emphasis on a more holistic view of business performance and value creation over time.

- **Non-financial Information**
  Organisations are encouraged to report on both financial outcomes and non-financial outcomes.
- **Value creation**
  Integrated reporting takes a holistic approach to reporting helping organisations disclose their sustainability practices and impacts, illustrating whether they contribute to the capitals.

- **Stakeholder orientation**
  Both integrated reporting and sustainability reporting emphasise the importance of broader stakeholder engagement.
- **Strategic focus**
  Integrated reporting helps organisations align their sustainability goals with their business model, influencing long-term strategic planning and execution.
- **Links with sustainability standards**
  The organisation responsible for IRF has been consolidated with the ISSB to reduce fragmentation in sustainability reporting standards and establish a common language for sustainability reporting.

IFRS S1 builds on concepts from the IRF which helps a company articulate how it uses and affects resources and relationships for creating, preserving and eroding value over time.

Lesson 3: The relationship between Financial and Non-Financial Reporting

Financial reporting

- Based on principles for the **recognition and measurement of assets, liabilities, equity, income and expenses,** with appropriate disclosures**.**
- Financial statements provide **information to the primary users relating to current financial position and past financial performance**.
- The primary users are **current and potential shareholders, lenders and other providers of finance**. Financial reporting is not intended to provide information that is useful to wider stakeholders, such as suppliers, customers and employees.
- **limited opportunity for providing information about:**
  - **resources** that could contribute to value creation, but which do not meet the criteria for recognition as assets (for example some intangible assets)
  - **long-term risks, particularly risks relating to sustainability issues,** that could contribute to value destruction, but which do not meet the criteria to be recognised as expenses**.**

Non-financial reporting

- Provides insights into **non-monetary** factors that may contribute to the overall success and sustainability of an entity.
- Designed to provide a more comprehensive view of an organisation's **overall position and potential prospects** than that which can be provided solely by the financial statements.
- Sustainability reporting is one element of non-financial reporting.
- Sustainability reports prepared under Global Reporting Initiative (GRI) or ESRS Standards serve **the broader stakeholder audience** (as they are based on, or refer to, **impact materiality**). Sustainability-related financial information prepared under ISSB standards (based on **financial materiality**) accommodates the evolving **sustainability-related information needs of investors and lenders.**

Summary of the relationship between financial and non-financial reporting

Financial reporting mainly refers to the financial statements, including the notes to those financial statements.

Non-financial reporting contextualises financial reporting information and extends the discussion of issues that affect future wealth creation as well as prospective risks and uncertainties.

What is the relationship between financial and non-financial reporting?

Financial vs impact materiality

- **Financial reporting** has a distinct **financial materiality** perspective
- **Non-financial reporting** has a complementary and broader role and applies the **impact materiality** perspective.

Definition of reporting entity

- **Financial reporting follows certain rules** related to the recognition of a consolidated entity or investment under the umbrella of a reporting entity.
- **Non-financial reporting follows a broader approach**. It has the reporting entity as a starting point but, depending on the type of disclosure or the framework followed, adds additional interested parties.

Time horizon

- **Financial reporting** presents the entity's **current financial position** and **past financial performance.**
- **Non-financial reporting** adopts a **more forward-looking** approach**.** For instance, sustainability considerations usually need significant time to be realised and implemented.

Monetary considerations

- **Financial reporting** is clearly expressed in **monetary terms.**
- **Non-financial reporting** usually expresses **non-monetary considerations** associated with the broader environment and the entity's business model.

Reliability

- **Financial reporting** includes information that has a **high degree of reliability** in terms of measurement and recognition while also providing detailed disclosures on sources of uncertainty.
- **Non-financial reporting** has a **high degree of uncertainty**, mainly due to its forward-looking nature and limited guidance over measurement and recognition.

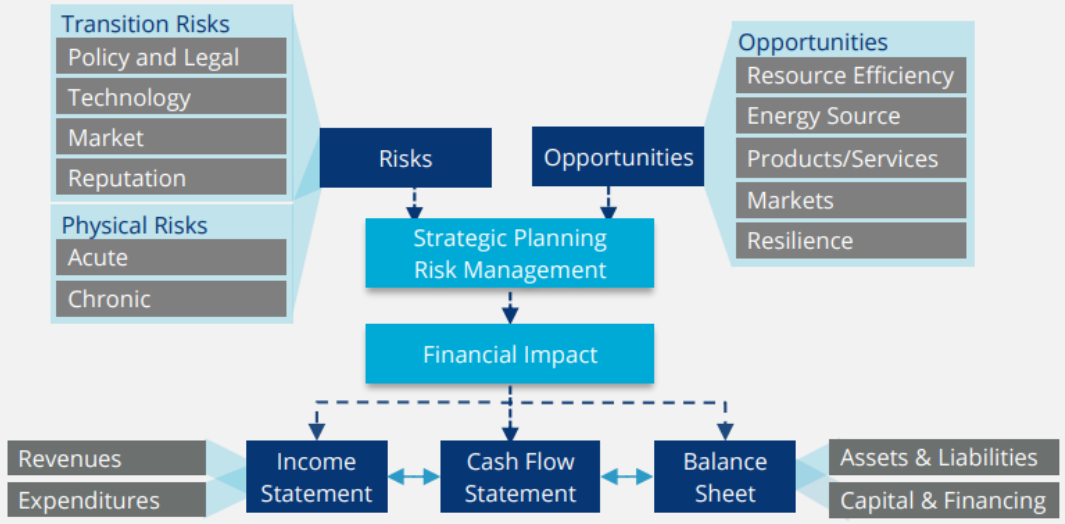
Tutor tip: The assessment could ask you to evaluate financial and non-financial disclosures to determine whether they are consistent. The main areas of consistency and inconsistency should be applied in the context of the scenario given.

The effects of climate-related matters on the financial statements

While no IFRS Accounting Standards specifically refer to sustainability or climate-related matters, there are long-standing requirements in IFRS Accounting Standards to report on the effects of climate-related matters in the financial statements when those effects are material.

Figure 1

Climate-Related Risks, Opportunities, and Financial Impact



Tutor tip: There could be a question in the assessment which asks you whether climate-related matters should be taken into account when preparing financial statements. The scenarios will be limited to the following IFRS Accounting Standards:

IFRS 18 Presentation and Disclosure in Financial Statements

- requires disclosure of information not specifically required by an IFRS Accounting Standard but that is relevant to an understanding of the financial statements.
- requires a company to consider whether any material information is missing from its financial statements.
- requires disclosure of the judgements a company makes about the future that have a significant risk of resulting in the carrying amount of assets or liabilities in the next financial year.
- requires disclosure of the judgements (for example future cash flows arising from assets that are subject to changing regulations) that have a significant effect on the amounts recognised in the financial statements.
- requires management to assess a company's ability to continue as a going concern. Climate-related matters may be so significant to an entity that the going concern assumption may not be valid.

IAS 2 Inventories

- changes in consumer preferences and demand, or changes in legislation meaning products can no longer be sold will impact the NRV of inventories which, in turn, may decrease the carrying amount of inventories and increase expenses.

IAS 12 Income Taxes

- climate-related matters might impact a company's taxable profits in the future which may change assumptions as to the extent to which deductible temporary differences or unused tax losses will be utilised in the future. This may mean that potential deferred tax assets cannot be recognised.

IAS 16 Property, Plant and Equipment

- assets may become 'stranded', meaning that regulatory changes or changes in industry best practice significantly reduce the estimated useful life and/or residual value of the asset.

IAS 36 Impairment of Assets

- climate-related matters may be indicators of impairment either directly, for example, because a company's products fall out of favour due to not being considered environmentally friendly, or because of changes to a company's operating environment as a result of regulatory or industry changes.
- climate-related matters need to be considered when making assumptions as to the future cash flows and the appropriate discount rate (due to the impact of risk) when calculating value-in-use.

IAS 37 Provisions, Contingent Liabilities and Contingent Assets

- decommissioning provisions may be required in respect of an obligation to repair or restore assets.
- legal provisions might be required as a result of environmental damage caused by an entity.
- contracts may become onerous as a result of a change in direction for the company to, for example, meet net-zero targets.

IFRS 7 Financial Instruments: Disclosure and IFRS 9 Financial Instruments

- climate-related matters may impact the nature and extent of risks arising from financial instruments and how an entity manages those risks.
- 'green finance' may be available in the form of, for example, loans which include requirements to meet climate-related targets.
- climate-related matters may also impact expected credit losses as, for example, a borrower's ability to repay debt may be impacted by flooding or wildfires.

Connectivity and enhancing consistency between financial reporting and non-financial reporting disclosures

Non-financial information disclosed either as part of the annual report (for example in the Strategic Report) or in a separate sustainability report (for example prepared under GRI Standards) must align with the information provided in the financial statements so that the information is understandable to users, and they feel they can rely upon it:

Example

A company manufactures products…
Impact materiality
• The manufacturing process leads to the **emission of CO_2** into the atmosphere. • Anthropogenic CO_2 emissions are considered one of the leading causes of **climate change…** • …which leads to **changes in weather patterns** globally.
Financial materiality
• Changing weather patterns could lead to **more frequent hurricane incidents and higher sea levels**. • This might lead to the company needing to recognise **impairment losses** to property, plant and equipment (PPE) located in areas impacted by hurricanes and higher sea levels. • This leads to a deterioration in the **performance and financial position** of the company**,** affecting both the **SPLOCI and SOFP.**

Examples of connectivity and consistency between financial reporting and non-financial reporting

- Sources of estimation uncertainty and significant judgement
- Impairment of non-current assets due to transition and/or physical risks
- Provisions for environmental liabilities
- Supply chain and inventory valuations

Non-financial reporting frameworks and the role of the ISSB

The growing demand for companies to disclose their social, environmental, and broader economic impacts, alongside financial performance, has given rise to fragmented non-financial landscape.

Reporting methods differ widely from the IFRS Sustainability Disclosure Standards which focus on financial disclosures and the needs of the primary users of financial reports and the GRI Standards which are stakeholder oriented. Additionally, the IRF advocates for a holistic view of value creation through the interaction of different capitals.

These varied approaches have created a complex landscape of non-financial reporting, often leading to reports that stakeholders found hard to understand and compare which limited their usefulness.

The ISSB is focused on simplifying the non-financial reporting landscape. The ISSB collaborates with GRI to ensure compatibility and interconnectedness their different frameworks. This work will help reduce the reporting burden for companies and help to improve consistency in the reporting of non-financial information.

Ethical dilemmas arising in non-financial disclosures

The Guidance to the ICAS Code of Ethics: Sustainability, which you covered in the Ethics Fundamentals course, provides advice in meeting the ethical principles in the context of non-financial disclosures.

Performance claims

RP2 covered “greenwashing” and the different ways that disclosed information can be:

- untrue
- exaggerated
- unsubstantiated

Reporting entities will include claims regarding their performance against metrics and targets in their sustainability disclosures. It is important that these claims meet the Conceptual Foundations and reporting principles set out in the standards.

CAs engaged in a reporting process must ensure that an entity's disclosures:

- meet the reporting concepts and principles of the standard(s) and address the relevant disclosure requirements that the entity claims to meet.
- do not include disclosures or claims that are untrue or misleading.

Key questions to assess potential greenwashing and/or misstated performance claims

- Is the information factually correct?
- Has a rigorous, fact-checking and review process been undertaken to determine whether the information is based on credible evidence?
- Are high-quality references provided, where relevant, for any controversial statements or claims?
- Could the information be construed as misleading in any way?
- Is there sufficient supplementary context to any claims, such as the detail on any methodologies taken or protocols followed?
- Where progress against targets is reported, if certain targets have not been met, has enough information been provided on why this is the case?
- Have multiple people reviewed the information and messaging to identify any personal or professional biases that may be present and/or conflicts with other interests of the entity?

Tutor tip: In the assessment, you may be provided with a scenario in which performance against targets is misstated. You should be able to discuss any misstatement in the context of the reporting principles and consider whether any ethical issues arise as a result of the misstatement.

You should adopt a three-step approach:

- **What is the issue?**
- **Why is this an issue?**
  Identify which ICAS fundamental principle(s) is/are under threat due to the issue.
- **What are you going to do about it?**
  Explain how you should respond to the issue.

You should be measured in your discussion of ethical issues, reflecting on whether the misstatement is:

- intentional, in which case **integrity**, **objectivity** and **professional behaviour** are likely to be the ethical principles threatened
- unintentional, in which case **professional competence and due care** is likely to be the ethical principle threatened.

Tutor tip: The challenging aspects of this module can be questions which ask you to evaluate financial and non-financial disclosures to determine whether they are sufficient and consistent and to consider whether there are any ethical implications.



Study guide checklist

Have you completed reading module 9?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
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